

MINERAL RULES AND REGULATIONS
OF THE
COLORADO MINED LAND RECLAMATION BOARD
FOR THE EXTRACTION OF

CONSTRUCTION MATERIALS



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This copy of the Rules and Regulations is prepared by the Office of Mined Land Reclamation, based on the records of the Division of Reclamation, Mining and Safety and those of the Secretary of State.

Legislative Declaration in Section 34-32.5-102 of The Colorado Land Reclamation Act for the Extraction of Construction Materials States That:

- (1) It is declared to be the policy of this state that the extraction of construction materials and the reclamation of land affected by such extraction are both necessary and proper activities. It is further declared to be the policy of this state that both such activities should be and are compatible. It is the intent of the general assembly by the enactment of this article to foster and encourage the development of an economically sound and stable mining and construction materials industry and to encourage the orderly development of the state's natural resources, while requiring those persons involved in mining operations to reclaim land affected by such operations so that the affected land may be put to a use beneficial to the people of this state. It is the further intent of the general assembly by the enactment of this article to conserve natural resources, to aid in the protection of wildlife and aquatic resources, to establish agricultural, recreational, residential, and industrial sites, and to protect and promote the health, safety, and general welfare of the people of this state.
- (2) The general assembly further declares that it is the intent of this article to require the development of a mined land reclamation regulatory program in which the economic costs of reclamation measures utilized bear a reasonable relationship to the environmental benefits derived from such measures. The mined land reclamation board or the division, when considering the requirements of reclamation measures, shall evaluate the benefits expected to result from the use of such measures. It is also the intent of the general assembly that consideration be given to the economic reasonableness of the action of the mined land reclamation board or the division. In considering economic reasonableness, the financial condition of an operator shall not be a factor.
- (3) These Rules shall apply to all operators of existing mining operations that extract construction materials only, as defined in the statute, and to all new operations that engage only in the extraction of construction materials.

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RULE 1: GENERAL PROVISIONS AND REQUIREMENTS - PERMIT PROCESS

1.1 DEFINITIONS

- 103 (1) "the Act" refers to the Colorado Land Reclamation Act for the Extraction of Construction Materials, Section 34-32.5-101, et seq., C.R.S. 1984, as amended.
- (2) "Activity" for the purpose of protecting groundwater quality, means any mining, storing, disposing, or processing operations, or any reclamation operation or process that may discharge or cause discharge of pollutants to groundwater.
- 103(1) (3) "Affected Land" means the surface of an area within the state where a mining operation is being or will be conducted, which surface is disturbed as a result of such operation. Affected lands include but shall not be limited to private ways, roads, except those roads excluded pursuant to Rule 1.1(3), and railroad lines appurtenant to any such area; land excavations; exploration sites; drill sites or workings; refuse banks or spoil piles; evaporation or settling ponds; work, parking, storage or waste discharge areas; and areas in which structures, facilities, equipment, machines, tools or other materials or property which result from or are used in such operations are situated. All lands shall be excluded that would be otherwise included as land affected but which have been reclaimed in accordance with an approved plan or otherwise, as may be approved by the Board. Affected land shall not include off-site roads which existed prior to the date on which notice was given or permit application was made to the office and which were constructed for purposes unrelated to the proposed mining operation and which will not be substantially upgraded to support the mining operation.
- 103(1.5) (4) "Aggrieved" means suffering actual loss or injury, or being exposed to potential loss or injury, to legitimate interests. Such interests include, but are not limited to, business, economic, aesthetic, governmental, recreational, or conservational interests.
- (5) "Ambient Groundwater Quality" for mining operations permitted prior to January 31, 1994, ambient groundwater quality shall mean the quality of the groundwater at the mine site as of January 31, 1994. For mining operations permitted on or after January 31, 1994, ambient groundwater shall mean the quality of groundwater at the time of submittal of the permit application. In establishing ambient groundwater quality, an Operator or Applicant shall use available or collected groundwater data sufficient to characterize the site's ambient groundwater quality and submit such information in a form suitable to the Office.
- 112(7)(a) (6) "Amendment" means a change in the permit or an application which increases the acreage of the affected land, or which has a significant effect upon the approved or proposed Mining Plan or Reclamation Plan.
- (7) "Anniversary date of the permit" means the date the Office or Board issues the permit and is the date the annual fee shall be deposited with the Office on an annual basis until the Office or Board terminate the permit.
- (8) "Applicant" means any person who applies to the Office for a mining permit.

- (9) "Aquifer" means a geologic formation, group of geologic formations, or part of a geologic formation containing sufficient saturated permeable material that could yield a sufficient quantity of water that may be extracted and applied to a beneficial use.
- (10) "Authorized Agent" means any corporate officer, corporate attorney, individual person, or persons so designated in the permit application.
- (11) "Certification by an Independent Auditor" means a letter or report from a Certified Public Accountant rendering an opinion as to the financial condition of a Financial Warrantor with regard to the financial tests required for self-insurance. The opinion must demonstrate clearly and fully, without significant disclaimers, that the financial tests have been met by the Financial Warrantor.
- 115(2) (12) "Complex Application" is an application which may require the Office to involve additional professional staff or outside professional or agency expertise, and is beyond what the Office considers to be a typical application review process for the majority of applications received.
- 103(3) (13) "Construction Material" means rock, clay, silt, sand, gravel, limestone, dimension stone, marble or shale extracted for use in the production of non-metallic construction products.
- 110(6) (14) "County Composite Applications" means the operator is a unit of county government and has the discretion to submit one (1) composite application for all similarly situated sand, gravel, or quarry operations which qualify as limited impact as described in these definitions. However, each operation shall be issued a separate permit and shall require separate, appropriate annual fees. As a guideline, "Similarly situated sand, gravel or quarry operations" means those operations within a county which, due to their location, hydrology, geology, or topography, have similar requirements for mining and reclamation. As a guideline to the counties, the Board suggests that the following situations are distinct from each other, and reasonable classifications of "similarly situated" operations:
 - (a) dry alluvial operation: Operation in alluvial material where no groundwater is encountered;
 - (b) wet alluvial operation: Operation in alluvial material where groundwater is encountered;
 - (c) dry non-alluvial operation: Operation in non-alluvial material where no groundwater is encountered;
 - (d) wet non-alluvial operation: Operation in non-alluvial material where groundwater is encountered; and
 - (e) in addition, other physical factors such as substantial differences in elevation, aspect, or vegetation may distinguish operations which would otherwise fall within a single one of the four classifications set forth above.
- 103(9) (15) "Exploration" means the act of searching for or investigating a construction material deposit. "Exploration" includes, but is not limited to, sinking shafts, tunneling, drilling core

and bore holes and digging pits or cuts and other works for the purpose of extracting samples prior to commencement of development or extraction operations, and the building of roads, access ways, and other facilities related to such work. The term does not include those activities which cause no or very little surface disturbance, such as airborne surveys and photographs, use of instruments or devices which are hand carried or otherwise transported over the surface to make magnetic, radioactive, or other tests and measurements, boundary or claim surveying, location work, or other work which causes no greater land disturbance than is caused by ordinary lawful use of the land by persons not exploring.

- 113 (16) "Exploration Notice" shall mean that notice required by the Act to engage in the exploration for construction materials.
- (17) "Extraction" means the removal of construction materials and/or overburden from places of natural occurrence to surface locations.
- (18) "Facility" means the combined "activities" occurring on the affected land.
- 121(2) (19) "Failure or Imminent Failure" means, for the purpose of emergency notification response, the actual or pending release of an unauthorized or unpermitted material or liquid from any impoundment, embankment, or from any other containment facility or system where such release poses a reasonable potential for danger to human health, property or the environment.
- (20) "Financial Warrantor(s)" means a person who provides a Financial Warranty to the Board.
- 117(3)(a) (21) "Financial Warranty" shall mean a written promise to the Board to be responsible for reclamation costs up to the amount specified by the Board or Office or required by the Act.
- (22) "Inert Material" means non-water-soluble and non-putrescible solids together with such minor amounts and types of other materials, unless such materials are acid or toxic producing, as will not significantly affect the inert nature of such solids. The term includes, but is not limited to, earth, sand, gravel, rock, concrete which has been in a hardened state for at least sixty (60) days, masonry, asphalt paving fragments, and other inert solids.
- (23) "Filed" means an application submitted to the Office and determined to contain the permit application information required by Rules 1.4.1, 1.6.2(1)(a)(i) and (b), 1.6.2(1)(g), and Rules:
- 1.4.2(2) for a 110 Limited Impact operation application; or
 - 1.4.3(1) for a 110(6) Limited Impact Composite operation application; or
 - 1.4.4(2) for a 111 Special Operation application; or
 - 1.4.5(2) for a 112 Reclamation Permit Operation application.
- A determination by the Office that an application submitted to the Office contains the referenced application materials shall trigger the decision making periods provided under Sections 34-32.5-110(4), 111(5), or 34-32.5-115(1) and 115(2), C.R.S., as appropriate. A determination that an application is filed does not constitute a determination that the application adequately meets statutory and regulatory requirements.

(24) "Landowner" means any individual person or persons, firm, partnership, association, corporation, or any department, division, or agency of federal, state, county, or municipal government which owns or controls the surface rights to any land area under consideration for the extraction or exploration for construction materials. These surface rights are separate from mineral rights which may or may not be owned and controlled by the same entity.

103(11)

(25) "Life of the Mine" means and includes, but is not limited to, those periods of time from when a permit is initially issued, that an Operator engages in or plans to continue extraction of construction materials, complies with the Act and these Rules, and as long as construction material reserves remain in the mining operation. It can include limited periods of non-production or Temporary Cessation. "Life of the mine" also includes that period of time after cessation of production necessary to complete reclamation of disturbed lands as required by the Board and this article, until the Board releases, in writing, the Operator from further reclamation obligations regarding the affected land, declares the operation terminated, and releases all applicable Performance and Financial Warranties.

110(1)(a)

(26) "Limited Impact Operation" applies to any mining operation which affects less than ten (10) acres for the life of the mine.

110

(27) "Limited Impact Permit" shall mean a permit issued to a Limited Impact Operation.

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(28) "Meeting" as the term is used in these Rules, means the regular monthly session held by the Board in accordance with Section 34-32.5-106, C.R.S. 1984, as amended. The topics to be considered include, but are not necessarily limited to:

- (a) approval or denial of permit applications;
- (b) approval or denial of applications for permit revisions, amendments, and permit transfers;
- (c) cause to hold a formal hearing with respect to a particular application or operation pursuant to Section 34-32.5-114, C.R.S. 1984, as amended;
- (d) determinations with respect to temporary cessation; and
- (e) other permit-related considerations which do not require a "formal hearing."
- (f) These meetings may also include, but are not necessarily limited to hearings, rule-making proceedings in accordance with the Administrative Procedures Act, Section 24-4-103, C.R.S. 1984, as amended, and executive sessions.

108
115

103(12)

(29) "Mining" means the extraction of construction materials.

103(13)

(30) "Mining Operation" means the development or extraction of a construction material from its natural occurrences on affected land. The term includes, but is not limited to, open mining and surface operation. and. The term includes transportation or processing on affected lands. The term does not include: the exploration and extraction of natural petroleum in a liquid or gaseous state by means of wells or pipe; the development or

extraction of coal; the extraction of geothermal resources; smelting, refining, cleaning, preparation, transportation, and other off-site operations not conducted on affected land.

(31) "Modification" means any amendment or revision of any previously granted permit, including permit transfers, increases or decreases of the amount of financial warranty required by the Board, and declarations regarding temporary cessation, which is either:

(a) initiated by the Board pursuant to Rule 3.3.2 as necessary to bring the operation into compliance with the provisions of these Rules or the Act, or

(b) the subject of a petition for a formal hearing granted by the Board pursuant to Section 34-32.5-114 of the Act.

103(14) (32) "Office" means the Office of Mined Land Reclamation within the Division of Reclamation, Mining and Safety (DRMS).

(33) "Off-site" means the area outside of the permitted affected area.

103(15) (34) "Open Mining" means the extraction of construction materials by removing the overburden lying above such deposits and mining directly from the deposits thereby exposed. The term includes mining directly from such deposits where there is no overburden. The term includes, but is not limited to, such practices as open cut mining, open pit mining, strip mining, quarrying, and dredging.

103(16) (35) "Operator" means any person, firm, partnership, association, corporation, or any department, division, or agency of federal, state, county, or municipal government engaged in or controlling a mining operation.

103(17) (36) "Overburden" means all of the earth and other materials which lie above natural construction materials and also means such earth and other materials disturbed from their natural state in the process of mining.

(37) "Owner of Record" means the owner or owners of a surface property interest shown on the records of the County Assessor as of the date of filing.

(38) "Party" means a person who demonstrates that they are directly and adversely affected or aggrieved by the conduct of a mining operation, proposed mining operation, or an order of the Board and whose interest is entitled to legal protection under the Act.

103(18)
117(2) (39) "Performance Warranty" shall mean a written promise to the Board, by the operator, to comply with all requirements of the Act.

(40) "Permittee" means any person holding a mining Permit.

(41) "Person" means any individual, firm, partnership, joint venture, association, limited liability company, or corporation or other entity, or any department, division, or agency of federal, state, county, or municipal government.

- (42) "Point of Compliance" means locations down-gradient of the facility or activity at which water sampling may be conducted to demonstrate compliance with applicable groundwater standards established by the Water Quality Control Commission, or permit conditions required by the Office or Board to measure compliance with the MLRB permit.
- (43) "Processing" means any activities associated with the preparation of construction materials for use. These activities include, but are not limited to: on-site transport, waste products from air emissions control and water treatment, crushing, screening, washing, slabbing, polishing, grinding, concrete or asphalt mixing or other such action exclusive of extraction.
- 117(7) (44) "Rating of 'A' or Better" means, with regard to financial warranties, that the rating organization has determined that the obligations are at least of an upper-medium grade, meaning that factors giving security to the principal and interest are considered adequate but that elements may be present which suggest the possibility of adverse effects if economic and trade conditions change.
- 103(19) (45) "Reclamation" means the employment during and after a mining operation of procedures reasonably designed to minimize as much as practicable the disruption from the mining operation and to provide for the establishment of plant cover, stabilization of soil, the protection of water resources, or other measures appropriate to the subsequent beneficial use of such affected lands. Reclamation shall be conducted in accordance with the performance standards of the Act.
- 103(20) (46) "Refuse" means all waste material directly connected with the cleaning and preparation of substances mined by a mining operation.
- 112 (47) "Regular Operation" applies to all mining operations not included within the definitions of Limited Impact, Special, or Exploration Operations, specifically, any mining operation affecting ten (10) acres or more.
- 117(3)(f)(V)(C) (48) "Rolling Stock" means any portable or mobile equipment.
- 117(3)(f)(V)(C)
117(8) (49) "Salvage Value" of Project-related fixtures or equipment means the market value of the particular fixture or equipment less any necessary costs of demolition and/or removal, as determined by the Office or Board in accordance with the requirements in Rule 4.12.2.
- 111(1)(a) (50) "Special 111(1)(a) Operation Permit" applies to any sand, gravel or quarry aggregate operation, or combination thereof:
- (a) which is operated for the sole purpose of obtaining materials for highway, road, utility, or similar construction;
 - (b) under a federal, state, county, city, town, or special district contract;
 - (c) where the contract calls for work to be commenced and completed within a specifically short time; and
 - (d) which will affect thirty (30) acres or less.

- 111(1)(b) (50.1) "Special One-time Excavation 111(1)(b) Operation Permit" applies to any operation of a one-time excavation project which:
- (a) is not performed pursuant to a federal, state, county, city, town, or special district contract;
 - (b) generates small quantities of excess construction materials, twenty thousand (20,000) tons or less, that are incidental to the intent of the one-time project and introduces those materials into the construction materials market;
 - (c) is clearly defined, of short duration of less than one (1) year and scope;
 - (d) does not employ material processing activities typically associated with mining operations, such as crushing, washing, or asphalt and concrete production, unless approved by the Office;
 - (e) all extraction and export of materials are completed within twelve (12) months of permit issuance. Any Operator with a Special One-Time Excavation 111(1)(b) Operation Permit for which extraction and export activities are not completed within twelve (12) months after issuance of the permit, shall replace the Special One-Time Excavation 111(1)(b) Operation Permit with the applicable regular construction materials permit. All fee, warranty and processing requirements shall apply as a new permit application. A fee, as specified in Section 34-32.5-125(1)(a), C.R.S., shall be submitted at the time of the applicable regular construction materials permit application;
 - (f) reclaims all affected lands within twelve (12) months after issuance of the permit; and
 - (g) will affect thirty (30) acres or less.
- 111 (51) "Special Permit" shall mean a permit issued in accordance with the provision of Section 34-32.5-111, C.R.S. 1984, as amended.
- 115(4)(e) (52) "Structure, Significant, Valuable and Permanent Man-made" means a non-portable improvement to real property which has defined, current and recognizable value of an economic nature; generally including but not limited to: buildings, houses, barns, fences, above or below ground utilities, irrigation ditches, maintained or public roads, bridges, railroad tracks, cemeteries, communication antennas, pipelines, water wells, water storage structures, discharge and conveyance structures, etc.
- (53) "Technical Revision" means a change in the permit or an application, which does not have more than a minor effect upon the approved or proposed Reclamation Plan.
- 103(11)(b)
103(11)(c) (54) "Temporary Cessation" means those limited periods of non-production as specified according to Rule 1.13.
- 34-32-103 (55) "Toxic and Acid Producing Materials" means natural or reworked earth materials having acid or toxic chemical and physical characteristics that, under mining or post-mining

conditions of drainage, exposure, or other processes, produce materials which contain detrimental amounts of chemical constituents such as acids, bases, or metallic compounds.

- (56) "Topsoil" means the material at the surface of the earth which has been so modified and acted upon by physical, chemical, and biological agents that it will support rooted plants necessary to achieve reclamation goals.
- (57) "Vegetation Cover" means an ocular estimate of the percentage of ground covered by the above-ground living plant parts.
- (58) "Vegetation Type" means a designation for a natural grouping of plant species named according to one or more visually-dominant species.
- (59) "Working Day" means Monday through Friday, except for those days that are State holidays.
- (60) "1976 Act" refers to the Colorado Mined Land Reclamation Act of 1976, Section 34-32-101, et seq., C.R.S. 1984, as amended.

1.2 ACTIVITIES THAT DO NOT REQUIRE A RECLAMATION PERMIT

1.2.1 Specified by Rule

The Board has determined that certain types of activities do not need reclamation permits either because the excavated substance is not a construction material as defined in Section 34-32.5-103(3), Colorado Revised Statutes 1984, as amended or because the activity is not a mining operation as defined by Section 34-32.5-103(13), C.R.S. 1984, as amended. Such activities include the following:

- (a) the exploration and extraction of natural petroleum in a liquid or gaseous state by means of wells or pipe;
- (b) the development or extraction of coal (refer to the Colorado Surface Coal Mining Reclamation Act Section 34-33-101, et seq., C.R.S. 1984, as amended);
- (c) cleaning, preparation, transportation, and other off-site operations not conducted on permitted land; and
- (d) the extraction of geothermal or groundwater resources.

1.2.2 Reserved

1.2.3 Reserved

1.2.4 Extraction or Exploration on Federal Lands

103(3)
103(13)

Any person who intends to extract or explore for construction materials on federal lands shall apply for a Mined Land Reclamation Board permit or submit a Notice of Intent to conduct exploration operations unless specifically exempted by the Board according to the provisions of Rule 1.2.

1.3 PUBLIC INSPECTION OF DOCUMENTS

- (1) Except as provided in Rule 1.3(3) all applications, public notices, inspection reports, documents, maps, exhibits, correspondence, tests, analyses, records of actions or findings of the Board or Office and other information required under this law or these Rules shall be promptly made available for inspection to any member of the public at the offices of the Office, during its normal business hours.
- (2) Upon request, copies shall be provided at cost or other suitable arrangements made for copying at the requester's expense, as allowed by copyright law.
- 112(8) (3) An Operator may mark "CONFIDENTIAL" information supplied in a permit application disclosing the location, size, or nature of the deposit or depth and thickness of the deposit and thickness and type of overburden to be removed.
 - (a) Confidential information so marked shall not be available to the public until the mining operation is terminated, unless the Operator gives a written consent on company letterhead and signed by an authorized agent of the company to release all or any part of the information.
 - 113(3) (b) All information in a Notice of Intent to Conduct Exploration shall be treated as confidential. Such information shall not be available to the public until a finding by the Board that reclamation is satisfactory, unless the Operator gives a written consent to the release of all or any part of the information.
 - (c) Anyone who willfully and knowingly violates the provisions of confidentiality shall be punished as provided by law.

1.4 APPLICATION REVIEW AND CONSIDERATION PROCESS

1.4.1 Applications - General Provisions

- (1) Application forms, attachments, maps and fees shall be submitted in accordance with the specific requirements for each permit type.
- (2) All tests, analyses, surveys and maps shall be prepared by qualified persons.
- (3) All information submitted in an application must be accurate and complete, and acknowledged as such by the signature of an authorized agent on an application form provided by the Board.

- 105(5)(c)
112(9)(c)
- (4) Prior to Office consideration of the application, submit proof of all required notices either by submitting return receipts of a Certified Mailing or by proof of personal service.
- 110(1)(a)
111(2)(c)
112(1)(c)
- (5) All application forms shall contain the following information:
- (a) the address and telephone number of the general office and the local address or addresses and telephone number of the Operator/Applicant;
 - (b) the name of the Owner of the surface of the affected land;
 - (c) the name of the Owner of the subsurface rights of the affected land;
 - (d) a statement that the Applicant has applied for all necessary approvals from local government;
 - (e) a statement that the operations will be conducted in accordance with the terms and conditions listed in the application, as well as with the provisions of the Act and these Rules, as amended, in effect at the time the Permit is approved; and
 - (f) the Operator's/Applicant's signature.
- (6) In addition to submitting an appropriately completed Permit application form, the Operator/Applicant shall submit all applicable Exhibits specified in Rule 6 for the appropriate type of operation.
- 115(2)
- (7) In the case of any complex Permit applications, serious unforeseen circumstances or significant snow cover on the affected land that prevents a necessary on-site inspection, the decision date established by the Office may be extended up to sixty (60) days beyond the usual maximum limit for an operation of that particular type and size. The Office shall notify the Applicant and any persons commenting on the application, of such findings and of the new decision date as soon as possible.
- (8) The Office shall notify the Applicant of any deficiencies that prevent the application from being considered filed by the Office within ten (10) working days of receiving the application. In the case of 111 Special Operation applications, the Office shall notify the Applicant within five (5) working days. An Applicant has sixty (60) days from such notice to submit all the necessary documents that the Office needs for an application to be considered filed. If, at the end of sixty (60) day period, the application has not been determined to be filed with the Office, the Office may deny the application and terminate the application file. If the Office denies and terminates the application file, the Office shall determine if the Applicant desires a return of the applications and shall provide the applications to the Applicant at no cost to the Office. Otherwise, the Office may dispose of all copies as appropriate. An Applicant may appeal such denial to the Board according to the provisions of Rule 1.4.11.
- (9) At the request of the Applicant, the review time may be extended and the decision date reset, not to exceed three hundred and sixty-five (365) days from the date the application was filed. The additional time may be requested to allow the Applicant an opportunity to provide information necessary to meet the adequacy requirements of the Office. If, at the

end of the three hundred and sixty-five (365) day period, the application has outstanding adequacy issues, the Office may set the matter for a Board hearing. At the hearing the Board may deny, or approve the application with or without conditions.

- (10) The Applicant has the burden of demonstrating that the application meets the minimum requirements of the Act, Rules, and Regulations.

24-4-105(7)

- (11) The Applicant shall follow the appropriate Notice Procedures, according to permit type, as outlined in Rule 1.6.

- (12) A condition or limitation to approval of the application, unless acknowledged and consented by the Applicant in writing, shall be treated as a denial.

- (13) Failure of an Applicant to publish the notice pursuant to Rule 1.6.2(1)(d) shall add a sufficient number of days for the required public notice to be accomplished. An additional time period, as determined by the Office, may be added for the Office or Board to make a decision. Such time period shall not exceed thirty (30) days for any 110 or 110(6) Limited Impact application, ninety (90) days for any 112 Reclamation Permit application without objections, or one hundred and twenty (120) days for any 112 Reclamation Permit application with objections.

110

1.4.2 Specific Application Requirements for 110 Limited Impact Permit Applications

116(4)

- (1) All general application requirements outlined in Rule 1.4.1 shall be required for 110 Limited Impact Operations.

- (2) An application will be considered filed for the purpose of calculating the thirty (30) day decision-making time period under Section 34-32.5-110(4), C.R.S., as amended, when the application file includes all of the following submittals:

- (a) the application fee, as determined under Section 34-32.5-125, C.R.S., as amended;
- (b) one (1) original and one (1) copy, or an electronic submittal as designated and approved by the Office, of:
 - (i) the application form;
 - (ii) all information, attachments, maps, and exhibits, as listed and described in Rules 1.4.1 and 6.3;
 - (iii) an affidavit that notice signs were posted on-site pursuant to Rule 1.6.2(1)(b);
 - (iv) the appropriate information under Rule 6.5 if required by the Office; and
 - (v) proof of notice according to the provisions of Rule 1.6.2(1)(a).

- (3) Proof of the notices required pursuant to Rules 1.6.2(1)(d), (e), and (f) is not required in order for an application to be considered filed, but such proof must be submitted to the Office prior to the Office's decision to approve an application, pursuant to Rule 1.6.2(1)(g).

110 **1.4.3 Specific Application Requirements - 110(6) County Composite Limited Impact Permit**

- (1) All general application requirements outlined in Rules 1.4.1, 1.4.2(2), and (3) shall also be required for and apply to a County Composite 110(6) Operation.

- 110(6) (2) Applications shall comply with Sections 34-32.5-110(1) through (7), C.R.S. 1984, as amended. Financial Warranty requirements under Section 34-32.5-110(2), C.R.S. 1984, as amended, shall not be required if:

- (a) the Operator is a unit of county government or the State Department of Transportation; and
- (b) the Operator submits a Performance Warranty, in lieu of financial warranty, stating that the affected lands will be reclaimed in accordance with the terms of the permit and Section 34-32.5-116, C.R.S. 1984, as amended.

111 **1.4.4 Specific Application Requirements - 111 Special Operations Applications**

- (1) Prior to submission of an application for a 111 Special Operations Permit, any County Applicant shall apply for and receive a Declaratory Order by the MLRB that it qualifies for a 111 Special Operation Permit.

- 111(1)
111(2) (2) All general application requirements outlined in Rules 1.4.1 and 1.4.2(2) shall be required for and apply to a 111 Special Operation.

- 111(5) (3) The Office shall approve or deny the application within fifteen (15) calendar days after the date the application is filed.

- (4) In the event of an objection regarding the approval or denial of a 111 Special Operation Permit, the provisions of Rule 1.4.11 shall apply.

- 111(6) (5) A governmental subdivision shall be exempt from an application fee and a Financial Warranty when such subdivision, acting as an Operator, requires a permit solely to extract construction material for the construction of public roads under a contract with the Department of Transportation or otherwise.

1.4.5 Specific Application Requirements - 112 Reclamation Permit Operations

- (1) All general application requirements outlined in Rule 1.4.1, shall be required for a 112 Reclamation Permit Application.

- (2) An application will be considered filed for the purpose of calculating the decision-making time periods under Section 34-32.5-115(1), C.R.S., as amended, when the application file includes all of the following submittals:

- (a) The application fee, as determined under Section 34-32.5-125 C.R.S., as amended;
- (b) one (1) original and one (1) copy, or an electronic submittal as designated and approved by the Office, of:
 - (i) the application form;
 - (ii) all information, attachments, maps, and exhibits, as listed and described in Rules 1.4.1 and 6.4;
 - (iii) an affidavit that notice signs were posted on-site pursuant to Rule 1.6.2(1)(b);
 - (iv) the appropriate information under Rule 6.5 if required by the Office; and
 - (v) proof of notice according to the provisions of Rule 1.6.2(1)(a).
- (3) Proof of the notices required pursuant to Rules 1.6.2(1)(d), (e), and (f) is not required in order for an application to be considered filed, but such proof must be submitted to the Office prior to the Office's decision to approve an application, pursuant to Rule 1.6.2(1)(g).

1.4.6 Office Consideration - 110 or 110(6) Limited Impact Operation Permit Applications

110(6)

- (1) The Office shall approve or deny a 110 Limited Impact or 110(6) Limited Impact application within thirty (30) days of the date the application is considered filed. However, the date set for consideration by the Office may be extended pursuant to the provisions of Rule 1.8 (unless the submitted materials satisfy Rule 1.8.1(4)) or of Rules 1.4.1 (9) or (13). The time for consideration shall not be extended beyond thirty (30) days after the last such change submitted under Rule 1.8., unless requested by the Applicant.
- (2) In the event that an objection to a 110 or 110(6) Limited Impact permit application, submitted in the form of a protest or petition for a hearing, is received by the Office pursuant to the provisions of Rule 1.7, the Office shall proceed to issue its decision by the date set for consideration in Rules 1.4.6(1), 1.4.1(9), 1.4.1(13) or 1.8. However, the Office may set the matter for a hearing before the Board, pursuant to the provisions of Rule 1.4.11.

1.4.7 Office Consideration - 111 Special Operations Permit Applications

111(5)

- (1) The Office shall approve or deny the application within fifteen (15) calendar days after the date the application is filed.
- (2) In the event of an objection regarding the approval or denial of a 111 Special Operation Permit, the provisions of Rule 1.7.1(2)(b) shall apply.

1.4.8 Office Consideration - 112 Reclamation Permit Application with No Objections

- (1) When a 112 Reclamation Permit application has been filed, and there are no protests or petitions for a hearing on the application submitted by a party pursuant to Rule 1.7, the Office shall issue the decision to approve or deny the application, as provided for in Section 34-32.5-115 C.R.S., no more than ninety (90) days after the application was filed with the Office. The Office shall not set a new date unless the date for consideration has been extended pursuant to Rules 1.4.1(7), (9), or (13).
- (2) The date set for a decision on the application may be extended, pursuant to Rule 1.8 (unless the submitted materials satisfy Rule 1.8.1(4)). Such date shall not be extended beyond ninety (90) days after the last revision to the application.

1.4.9 Office Consideration - 112 Reclamation Permit Application to which an Objection Has Been Received

- (1) If a timely and sufficient objection or petition for a hearing on a 112 Reclamation Permit Application is received by the Office from a party pursuant to Rule 1.7, the Office shall set a date for consideration of the application in conformity with the provisions of this Rule. Such date shall be no more than ninety (90) days after the application is filed with the Office. The date for consideration may be extended pursuant to Rules 1.4.1(7), (9), or (13), or 1.8 (unless any submitted materials satisfy Rule 1.8.1(4)). Instead of a decision, the Office will issue a recommendation to the Board by the date set for Office consideration.
- (2) In addition, the Office shall:
 - (a) schedule the permit application for a hearing before the Board;
 - (b) provide all parties notice of any Pre-hearing Conference and of the Board hearing related to consideration of the application. Unless notice is waived in writing by all parties, the office shall provide all parties at least thirty (30) days written notice of the formal Board hearing date; and;
 - (c) on or before the date set for Office consideration of the application, issue a recommendation to the Board for approval, approval with conditions, or denial of the application. Such recommendation shall identify the issues raised by the Office or by the petitions for a hearing filed with the Office. The Office's recommendation and rationale for approval or denial shall be sent to the Applicant and to all objectors of record at least three (3) Working Days prior to the Pre-hearing Conference. Upon request, the Office will also send by electronic mail its recommendation and rationale to a party, or a party may pick up a copy at the Office. Copies of the Office's recommendation and rationale will be available at the Pre-hearing Conference.
- (3) Where a 112 Reclamation Permit Application is set for a hearing, the Board shall make a final decision on the application within one hundred and twenty (120) days after the date the application was filed, unless the date set for consideration has been extended pursuant to Rules 1.4.1(7), (9), or (13), 1.8, or Section 34-32.5-115(2), C.R.S.

- (4) The decision rendered by the Board shall be considered final agency action for the purposes of the judicial review provisions of Section 24-4-106, C.R.S.

1.4.10 Reserved

1.4.11 Administrative Appeal of an Office Decision

- (1) Any person who can demonstrate that they are directly and adversely affected or aggrieved by an action of the Office, including a decision to grant or deny a permit application, other than an application considered under the provisions of Rule 1.4.9, and whose interests are entitled to legal protection under the Act may petition for a hearing before the Board on such action within:

24-4-104(9)

- (a) sixty (60) days of the date of the Office decision if the Office decision was a denial, without a hearing, of an application for a permit or a Notice of Intent; or
 - (b) thirty (30) day for an appeal of any other Office decision.
 - (c) Such hearings before the Board shall comply with this Rule and Section 24-4-105, C.R.S.
 - (d) Such petitions for a hearing shall state how the petitioner is directly and adversely affected or aggrieved by the Office's decision, and how the petitioner's interests are entitled to protection under the Act. The petitioner shall list and explain any issue the petitioner believes should be considered by the Board at the hearing on the matter. The petition for a hearing shall specify the application or file number assigned by the Office.
- (2) If no petition decision is made by the Board within sixty (60) days of the date the petition is submitted, the petition will be deemed denied. Such denial shall be considered final agency action for the purposes of the judicial review provisions of Section 24-4-106, C.R.S.
- (3) The Office shall give notice of any Formal Board Hearing to consider an appeal according to the provisions of Rule 1.6.1(4).
- (4) The Office may determine whether to hold a pre-hearing conference dependent upon the number of parties to the Formal Board Hearing and/or complexity of the issues, or the Board may so direct the Office as the Board sees fit.

1.4.12 Appeal of a 112 Reclamation Permit Application Denial

If the Office issues a decision to deny an application for a 112 Reclamation Permit, it shall schedule the application for a hearing before the Board unless the Applicant decides to withdraw the application. Such hearing shall be scheduled prior to the deadline for a final decision on the application pursuant to Section 34-32.5-115(2), C.R.S., and Rule 1.4.9(3) or 1.4.8(2) above, and shall be conducted in conformance with the provisions of Section 24-4-105, C.R.S.

- (a) Within ten (10) days of receipt of the letter of denial, the Applicant shall file a statement of issues to be considered by the Board at the hearing. The statement shall include an explanation of the grounds for seeking a reversal of the Office's decision.
- (b) If there are no other parties to the proceedings on the application the Applicant may waive the statutory deadline for a final decision. In that event, the Applicant shall file the statement of issues to be considered by the Board at the hearing within sixty (60) days of the receipt of the letter of denial.

1.4.13 Automatic Application Approval

- (1) If the Office or the Board fail to make a decision on a permit application by the deadlines set forth in Rules 1.4.6, 1.4.7, 1.4.8, and 1.4.9, or as extended by Rule 1.8, the application shall be deemed approved and the permit shall be granted upon submittal by the Applicant and approval by the Office of the appropriate performance and financial warranties.
- (2) Where an Applicant has waived its right, in writing, to a decision by the deadlines set forth in statute or by these Rules, the automatic approval provisions of Rule 1.4.13(1) shall not apply.

1.5 ANNUAL FEE

Each year, on the anniversary date of the permit, the Permittee shall submit the appropriate annual fee specified in Section 34-32.5-125(1), C.R.S.

1.6 PUBLIC NOTICE PROCEDURES

1.6.1 Office/Board Procedures - Permit Application Decision Dates

- (1) The Office shall give such notice for all types of mining operations, including applications for:
 - (a) 110 Limited Impact Operations;
 - (b) 111 Special Operations; and
 - (c) 112 Reclamation Operations.
- (2) The Office shall give notice, as required by this Rule 1.6 and the following specific provisions, of the decision date of the application to:
 - (a) the Applicant;
 - (b) the county(s) in which the proposed mining operation is to be located;
 - (c) any municipality within two (2) miles of the proposed mining operation; and

106

109(4)

109(4)

- (d) the public, by newspaper release, and posting as prescribed in Rule 2.2.1(a)(iii).
- (3) The Office shall send notice of the date, time and place of any Pre-hearing Conference to:
 - (a) the Applicant;
 - (b) all persons who submitted timely statements in support of or objections to the application and a basis for party status; and
 - (c) the Board of County Commissioners and the applicable Conservation District.
- 115(2) (4) The Office shall provide notice of the date, time, and place of any application hearing by the Board, by:
 - (a) sending written notice to the Applicant, any person previously filing a protest or petition for a hearing or statement in support of the application, and the local Board of County Commissioners;
 - (b) publishing notice in a newspaper of general circulation in the locality of the proposed mining operation once a week for two (2) consecutive weeks immediately prior to the hearing; and
 - (c) mailing list, newspaper release, and posting as prescribed in Rule 2.2.1(a)(iii).

1.6.2 General Applicant Procedures

- (1) The Applicant shall:
 - (a) Prior to submitting the application to the Office, send a notice, on a form approved by the Board, to the local Board of County Commissioners and, if the mining operation is within the boundaries of a Conservation District, to the Board of Supervisors of the Conservation District.
 - (i) The Applicant shall include proof of such notice with the application at the time the application is submitted to the Office.
 - (ii) Proof of notice shall be in the form of a return receipt of a Certified mailing or a date-stamped copy of the notice acknowledging receipt by the appropriate local Board.
 - (b) Prior to submitting the application to the Office for a 112 Reclamation Permit, post notices (signs) at the location of the proposed mine site, as required by the Office, of sufficient number and a minimum size of eleven (11) inches wide by seventeen (17) inches high, with appropriate font size, to clearly identify the site as the location of a proposed mining operation giving name, address, and phone number of the Applicant, and stating that (name of Applicant) has applied for a mining permit with the Colorado Mined Land Reclamation Board. Anyone wishing to comment on the application may view the application at the County Clerk's or

Recorder's office and should send comments prior to the end of the public comment period to the Colorado Mined Land Reclamation Office, and state the Office's address, as given on the cover of these Rules. For any class of 110 Limited Impact or 111 Special Operation, the Applicant need only post notice at the location of the proposed access to the site. After having posted such notice, failure by an Applicant to maintain such notice (sign) shall not constitute just cause to deny approval of the application. At the time the application is filed with the Office, the Applicant shall provide a signed affidavit that such notices (signs) were posted according to the provisions of this Rule.

- 112(9)(a) (c) Prior to submitting the application to the Office and/or prior to submitting amendments to the application, place for public review a copy of the application and amendments, without confidential items, with the Clerk or Recorder of the county or counties in which the affected land is located and provide proof as required by Rule 6.3.9 for 110 Limited Impact and 111 Special Operations and Rule 6.4.18 for 112 Reclamation Operations.
- 110(5)(c) (d) Except for 111 Special Operation Permit applications, within ten (10) days after the Office notifies the Applicant that the application is considered filed, publish a public notice in a newspaper of general circulation in the locality of the proposed mining operation containing:
- (i) name and address of Applicant;
 - (ii) location of the proposed mining operation by section, township and range and street address where applicable;
 - (iii) proposed dates of commencement and completion of the operation;
 - (iv) proposed future use of affected land;
 - (v) location where additional information on the operation may be obtained; and
 - (vi) location and final date for submitting statements of support or **objections** with the Office.
- 110(5)(c)
112(9)(c) (e) Except for 111 Special Operation Permit applications, the applicant shall mail or personally serve a copy of the notice in Rule 1.6.2(1)(d) immediately after the first publication to
- (i) all Owners of Record of the surface and mineral rights of the affected land; and
 - (ii) the Owners of Record of all land surface within 200 feet of the boundary of the affected lands.
- 110(5)(c)
112(9)(c) (f) As soon as designated by the Office, mail a copy of the Notice provided for in Rule 1.6.2(1)(d) to any other Owners of Record who might be affected by the proposed

mining operation. The Office shall designate such owners, if any, during its adequacy review process. (Not applicable to 111 Special Operation Permit applications.)

110(5)(c)
112(9)(c)

- (g) Prior to Office consideration of the application, submit proof of publication and proof of all required notices. Proof of Notice may be by submitting return receipts of a Certified mailing or by proof of personal service. An application will be considered filed by the Office when the Applicant supplies the proper application fee, a signed affidavit that all notices as provided for in Rule 1.6.2(1)(b) have been posted, and the application meets the applicable requirements of Rules 1.4.1, 1.4.2, 1.4.3, 1.4.4, or 1.4.5. Prior to Office consideration of the application, proof of notice provided for in Rules 1.6.2(1)(d), (e), and (f) must be received by the Office.

110(5)(c)
112(9)(c)

- (2) The copy of the permit application, adequacy responses of the applicant, application revisions, and any permit amendment applications placed at the office of the County Clerk or Recorder shall not be recorded, but shall be retained until final agency action, as defined at C.R.S. 24-4-105(14), on said application has occurred, and be available for inspection during such period. At the end of such period, such application may be reclaimed by the Applicant or destroyed. Applicants should contact the Office prior to removal of the copy of the application materials placed with the office of the County Clerk or Recorder in order to ensure compliance with C.R.S. 24-4-105(14).

1.6.3 Specific Provisions - 110 Limited Impact Permit Applications

- (1) The following Notice Rules and the notice requirements of Rule 1.6.2 also apply to applications for new 110 Limited Impact Permits.
- (2) The Office shall give written notice, by mailing, of the decision date for the application.
- (3) The Public Notice, as required in Rule 1.6.2(1)(d), shall be published once.

1.6.4 Specific Provisions - 111 Special Operations Permit Application

The Office shall, upon filing, give notice by an expeditious method, of the decision date of the application.

1.6.5 Specific Provisions - 112 Reclamation Permit Application

- (1) The Public Notice, as required in Rule 1.6.2(1)(d) shall be published four (4) times, once a week for four (4) consecutive weeks.
- (2) Within ten (10) working days after the last publication or as soon thereafter as proof has been obtained, the Applicant shall mail proof of the publication required by Rule 1.6.2(1)(d) to the Office. Proof of publication may consist of either a copy of the last newspaper publication, to include the date published, or a notarized statement from the paper. An application may not be approved until such proof has been obtained.

1.6.6 Conditions that Require New Notice to the Public

If a notice is in error or a change to the application is so substantial, as determined by the Office, that it affects any of the terms contained in the notice that was published in the newspaper or mailed to the owners of the affected and adjacent lands, or the change is an amendment to the application, the Applicant shall be required to publish and mail a new notice of the application. In the event that the Applicant is required to issue a new notice, all applicable deadlines shall begin to run anew.

1.7 SUBMISSION OF COMMENTS AND PETITIONS FOR A HEARING

1.7.1 General Provisions

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- (1) Any person has the right to submit written statements supporting or objecting to any application for a permit or for an amendment, or revision of a previously granted permit. For a person to become a party, the person must meet the definition of a party as provided in these regulations. Any party may petition for a hearing on any application for a permit, or for an amendment or technical revision to a previously granted permit.
- (2) In order for statements supporting or objecting to an application, petitions for a hearing, and/or submissions to become a party to be considered timely, the following deadlines shall apply:
 - (a) In the case of a 112 Reclamation Permit Application, such written comments, protests, and petitions for a hearing must be received by the Office not more than twenty (20) calendar days after the last date for the newspaper publication of notice of the application provided for in Rules 1.6.2(1)(d) and 1.6.5(1). Written comments, protests and/or petitions must contain the name, mailing address and telephone number of the interested parties. The Office shall set the matter for a hearing before the Board upon timely receipt of a written objection, protest, or petition for a hearing under this Rule.
 - (b) In the case of a 111 Special Operations Permit application, any person directly or adversely affected or aggrieved by the Office's decision to grant or deny the 111 Special Operations Permit application and whose interests are entitled to legal protection under the Act may appeal the Office's decision pursuant to Rule 1.4.11. The written appeal must contain the name, mailing address and telephone number of the person directly or adversely affected or aggrieved by the Office's decision.
 - (c) In the case of a 110 Limited Impact Permit application, such written comments, protests or petitions for a hearing must be received by the Office not more than ten (10) days after the last date for newspaper publication of notice of the application provided for in Rules 1.6.2(1)(d) and 1.6.3(3). The written comment, protest and/or petition must contain the name, mailing address and telephone number of the interested parties. The Office may set the matter for a hearing before the Board upon timely receipt of a written petition for a hearing under this Rule, but in any case shall approve or deny the permit application within thirty (30) days of the date the Office considers the application filed according to the provisions of Rules

1.4.1(9), (13) or 1.8. If the Office does not set the matter for a hearing, any person directly and adversely affected or aggrieved by the Office's decision to grant or deny the 110 Limited Impact Permit application and whose interests are entitled to legal protection under the Act may appeal the Office's decision pursuant to Rule 1.4.11.

- (3) If the Office receives any written objections to an application pursuant to the Rule 1.7.1(2), the Office shall provide a copy of the objection to the Applicant within ten (10) days of receipt.

1.7.2 Specific Provisions - 110 Limited Impact Operations and 110(6) County Composite Operations

- (1) Comments shall be submitted in accordance with Rule 1.7.1.
- (2) To be considered, such statements must be received by the Office within ten (10) days after the last date of the Applicant's newspaper publication.

1.7.3 Specific Provisions - 111 Special Operations Permit Applications

- (1) Comments, to be considered, must be received by the Office within five (5) working days after the application has been filed.
- (2) Upon consideration, the Office shall approve or deny the application within the fifteen (15) calendar days after the application has been filed.
- (3) Objections to final decisions by the Office shall be handled according to the procedures outlined for 110 Limited Impact Permits, specifically Rule 1.4.11.

1.7.4 Specific Provisions - 112 Reclamation Permit Applications

- (1) Comments shall be submitted in accordance with Rules 1.7.1 and 1.7.4.
- (2) In the event the Office receives an objection within twenty (20) calendar days of the last day of publication and in accordance with this Rule 1.7, it shall set the permit application for a hearing before the Board according to the provisions of Rule 2.

1.8 AMENDMENTS AND TECHNICAL REVISIONS TO A PERMIT APPLICATION

1.8.1 General Provisions - 110 Limited Impact or 112 Reclamation Permit Applications

- (1) An Applicant may amend or make technical revisions to an application for a permit under consideration by the Office by filing a copy of such amendment or technical revision with the Office and placing a copy with the County Clerk and Recorder.
- (2) Within five (5) working days of placement with the County Clerk or Recorder, the Applicant shall provide the Office with an affidavit or receipt demonstrating that the amendment or

technical revision was placed with the County Clerk and Recorder not later than the close of business on the day the amendment or technical revision was filed with the Office.

- (3) Any amendment or technical revision to an application shall constitute a new filing for the sole purposes of determining the date for the consideration of the application by the Office, and for the deadline for a final decision on the application. The provisions of Rule 1.6.6 shall apply to submitted amendments and the provisions of Rules 1.8.2 or 1.8.4 shall apply to technical revisions for 110 Limited Impact or 112 Reclamation Permit applications, respectively.
- (4) If the Office determines that additional information is submitted by the Applicant for the purpose of detailing, clarifying or explaining any part of the application, whether at the request of the Office or otherwise, then such additional information shall not constitute a change or an addition resulting in an amendment or technical revision to the application.
- (5) If the Operator notifies the Office of a proposed change in post-mining land use, the Office shall decide whether such change in post-mining land use requires a change in the Reclamation Plan and whether such change shall require a Technical Revision or Permit Amendment.
- (6) Within five (5) working days of the filing of an amendment or technical revision to an application, the Office shall set a new date for the consideration of the application. The new date shall be set pursuant to Rule 1.6.6, 1.8.2 or 1.8.4, as applicable.

1.8.2 Technical Revisions to 110 Limited Impact Permit Applications

The Office shall set a new date for the consideration of a technical revision to an application a 110 or 110(6) Limited Impact Permit only as necessary to afford an adequate opportunity for a review of the technical revision by the Office and by any interested members of the public.

1.8.3 111 Special Operation Permit Applications

- (1) An Applicant may amend or technically revise an application for a 111 Special Operations by filing a copy of the amendment or technical revision with the Office and by providing the Office with proof of submittal of notice of the amendment or technical revision to an application to the local Board of County Commissioners. Proof of notice shall be submitted with the amendment or technical revision to the application. An amendment to an application must be submitted on a form approved by the Board.
- (2) Within three (3) working days of the filing of an amendment or a technical revision to an application with the Office, the Office shall set a new date for the consideration of the application. A new date shall be set only as necessary to afford an adequate opportunity for a review of the amendment or technical revision to the application by the Office and by any interested members of the public.

1.8.4 Technical Revisions to 112 Reclamation Permit Applications

- (1) Written objections to the application:

The Office shall not set a new date for consideration of an application for a 112 Reclamation Permit for which it has received written objections, any earlier than twenty (20) days after the date of filing a technical revision to the application, unless the Applicant and all parties agree on an earlier date.

- (2) No written objection to the application:
The Office shall set a new date for the consideration of an application to which no objection has been submitted only as necessary to afford the Office an adequate opportunity to review the technical revision.

1.9 TECHNICAL REVISION TO A PERMIT

1.9.1 Filing and Review Process

An application for Technical Revision shall be filed in writing with the Office. The Office shall act on a Technical Revision application within thirty (30) days after the Technical Revision has been filed with the Office. A Technical Revision is considered filed when the submittal includes the appropriate fee. A Technical Revision shall be considered automatically approved within thirty (30) days after filing unless the application is denied. Notice of Technical Revisions shall be acknowledged in the monthly activity report attached to the monthly Board agenda.

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1.9.2 Denial and Appeal Process

In the event that the Office decides to deny an application for Technical Revision, the Office will notify the Applicant in writing within ten (10) days after the decision deadline. The Applicant may appeal the decision to the Board for a final determination by submitting a petition for a hearing pursuant to the provisions of Rule 1.4.11.

1.10 AMENDMENT TO A PERMIT

1.10.1 112 Reclamation Permit and 110 Limited Impact Permit Amendments

112(7)(a)

- (1) Where applicable, there shall be filed with any application for a 112 Reclamation Permit amendment, attachment(s) map(s) and one (1) original and one (1) copy, or by electronic submittal as designated and approved by the Office, of the application with the same content as required for an original application, except that the Applicant will not be required to submit any information which duplicates applicable previous submittals. However, the Applicant shall clearly describe where in the original application and supporting documents the information not included in the amendment application, but necessary to render the amendment technically adequate, may be found.
- (2) A 110 Limited Impact permit amendment submittal shall include attachment(s), map(s), and one (1) original and one (1) copy, or by electronic submittal as designated and approved by the Office, of the application with the same content as required for an original application, except the Applicant will not be required to submit any information which duplicates applicable previous submittals. However, the applicant shall clearly describe

where, in the original application and supporting documents, the information not included in the amendment application, but necessary to render the amendment technically adequate, may be found.

- (3) The amendment application shall be accompanied by a basic fee as specified in Section 34-32.5-125, C.R.S.
- (4) Applications for amendments shall be reviewed by the Board or Office in the same manner as applications for new Permits.
- (5) All aspects of the mining operation and Reclamation Plan that are subject to the amendment will be subject to these Rules, as amended, in effect at the time the Permit is amended.

1.10.2 111 Special Operation Permit Amendments

111 Special Operation permit amendments are not allowed by statute. An Operator may only make changes defined under Rule 1.1(53).

110(5)

1.11 CONVERSIONS

1.11.1 Purposes and Types

- (1) A conversion is an application to change an existing permit to another type of permit such as changing a 110 Limited Impact Permit to a 112 Reclamation Permit.
- (2) Unless such mining is incidental to the permitted activity, any Operator who intends to mine any commodity other than a "construction material" commodity, as defined in Section 34-32.5-103(3), C.R.S., shall apply for a conversion to a new permit under the provisions of Section 34-32-101, et seq, C.R.S. Upon issuance of the new permit, the existing permit under Section 34-32.5-101, et seq, C.R.S., shall be terminated. Such determinations may be made through declaratory order by the Board.
- (3) Any Operator with a Special One-Time Excavation 111(1)(b) Operation Permit for which extraction and export activities are not completed within twelve (12) months after issuance of the permit, shall replace the Special One-Time Excavation 111(1)(b) Operation Permit with the applicable regular construction materials permit. All fee, warranty and processing requirements shall apply as a new permit application. A fee, as specified in Section 34-32.5-125(1)(a), C.R.S., shall be submitted at the time of the applicable regular construction materials permit application.

1.11.2 Application Process

- (1) Except for permit conversions under Rule 1.11.1(2), the original Permittee cannot convert a Permit unless the permit has been in existence for two (2) consecutive years.

- (2) All fee, warranty and processing requirements shall apply as though the Conversion application were a new permit application. A fee, as specified in Section 34-32.5-125(1)(a), C.R.S., shall be submitted at the time of application submittal.
- (3) Contents of application:
 - (a) except as otherwise indicated in this Rule 1.11.2, the Operator shall provide all the information required by the Act and these Rules for the size of operation. However, the Operator need not supply any information required by the provisions of the Act which has been previously supplied unless such information is different from that in the original application. However, the Applicant shall clearly describe where in the original application and supporting documents the information not included in the conversion application, but necessary to render the conversion application technically adequate, may be found.
 - (b) In addition, the application shall show:
 - (i) the area mined or disturbed; and
 - (ii) the area reclaimed since the original permit application.

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1.12 PERMIT TRANSFERS AND SUCCESSION OF OPERATORS

1.12.1 Approval Process

- (1) Where one Operator succeeds another at any uncompleted operation, the first Operator shall be released from all liability as to that particular reclamation operation and all applicable Performance and Financial Warranties as to such operation shall be released if the successor Operator assumes, as part of the obligation under the Act and these Rules, all liability for the reclamation of the affected land, and the obligation is covered by replacement Performance and Financial Warranties as to such affected land.
- (2) Requests for permit transfers and succession of Operators must be submitted on "Request for Transfer of Construction Material Permit and Succession of Operators" forms provided by the Board. Each request must include an executed Performance Warranty and applicable replacement Financial Warranty.
 - (a) The Office shall act on a Succession of Operator application within thirty (30) days.
 - (b) Succession of Operator requests will be considered automatically approved after thirty (30) days of the date the Succession of Operator request is filed with the Office unless the Operator is notified by the Office that the request is denied. Succession of Operator requests must be submitted on forms approved by the Board, and include the fee specified in Section 34-32.5-125(1) C.R.S., and the properly executed financial and performance warranties, when required.

- (3) Approval of a permit transfer and succession of Operator request shall be given by the Office if it finds that the successor Operator is capable of assuming all responsibility for the conditions included under the original permit. Notice of Permit Transfer will be acknowledged in the monthly activity report attached to the monthly Board agenda.

1.12.2 Denial and Appeal Process

- (1) In the event that the Office decides to deny a succession of Operator application, the Office will notify the Applicant in writing within ten (10) days of the decision deadline.
- (2) The Applicant may appeal the Office's decision to the Board for a final determination according to the provisions of Rule 1.4.11.

1.13 TEMPORARY CESSATION

1.13.1 General Provisions

- (1) A permit granted pursuant to these Rules shall continue in effect as long as:
 - (a) an Operator continues to engage in the extraction of construction material and/or the mining operation and complies with the provisions of the Act; and
 - (b) construction material reserves are shown by the Operator to remain in the mining operation.
- (2) The Board will consider all relevant testimony and facts related to a mining operation in its determination as to whether or not temporary cessation has occurred. The Board recognizes that no one factor is necessarily determinative, but that each determination will be based on site-specific conditions. Factors to be included in the determination if a mine will be considered for temporary cessation, include, but are not limited to the following:

1.13.2 Indications of Temporary Cessation

- (1) there are no personnel working at the site for one hundred and eighty (180) consecutive days;
- (2) there are only security personnel at the site;
- (3) there are personnel other than security people at the site, but they are engaged in activities which can be described as maintenance or housekeeping, or related activity;
- (4) there are personnel at the site, but they are engaged in activities which are not significantly moving the site towards completion of the mining operation. The Board will judge these activities in relation to the size of the operation, the nature of the deposit and other facts;
- (5) there is no sale or processing of material or movement of stockpiled material;

(6) there is only minimal or token excavation of construction material or other material; or

(7) mine development has ceased and mining has not recommenced.

1.13.3 Indications Against Temporary Cessation

103(11)

- (1) Extraction of construction materials has been completed and only final reclamation and related activities occurring at the site are part of the "life of the mine" (see Definition or see Section 34-32.5-103(11), C.R.S.); or
- (2) a permit has been issued, but the mining operation has not commenced.

1.13.4 Temporary Cessation for a Portion of a Mining Operation

There may be Temporary Cessation for part of the mining operation when one or more operations of several separable types within a permit has been discontinued. Movement of portable equipment between permitted sites shall not be construed to be Temporary Cessation.

1.13.5 Notice by Operator

- (1) If the Operator plans to, or does, temporarily cease production of the mining operation for one hundred and eighty (180) days or more, the Operator must file a Notice of Temporary Cessation in writing, to the Office.
 - (a) Initial period shall be the first five (5) years of Temporary Cessation beginning with the one hundred and eighty (180) day period of production cessation.
 - (b) The second five (5) year period of Temporary Cessation shall begin at the end of the initial period of Temporary Cessation.
- (2) The Notice of Temporary Cessation for the initial period shall include the following:
 - (a) the date of cessation;
 - (b) the reasons for non-production or cessation of the mining operation;
 - (c) a plan for resumption of mining;
 - (d) the measures to be taken to comply with reclamation requirements and/or other activities related to the performance standards of Rule 3.1 while the mine is in Temporary Cessation; and
 - (e) demonstration that the existing Financial Warranty is adequate to cover the reclamation liability.
- (3) The Notice for the second period shall include the following:

- (a) demonstration that the existing Financial Warranty is adequate to cover the reclamation liability;
 - (b) explanation as to why the Operator has not recommenced operations or begun reclamation;
 - (c) demonstration of continued commitment to conduct mining operations at the site by the end of the second five (5) year period.
- (4) Prior to the Board Hearing to consider the request for the second five (5) year period of Temporary Cessation, the Office shall:
 - (a) conduct an inspection of the site to verify compliance with the Act and Construction Material Rules and Regulations;
 - (b) review the permit file for complaints against the operation and the status of resolution of those complaints;
 - (c) report to the Board at the Hearing comments by any owner of affected land or local government comments.
- (5) The Notice shall be separate from any other correspondence or reports submitted to the Office.
- (6) The requirement of a Notice of Temporary Cessation shall not apply to Operators who resume the mining operation within one (1) year and have included in the permit applications a statement that the affected lands are to be used for less than one hundred and eighty (180) days per year.

1.13.6 Board/Office Procedure

103(11)(b)

- (1) Upon receipt of the above submission as outlined in Rule 1.13.5(2), the Office will place the Notice of Temporary Cessation on the agenda of the next regular Board meeting and give notice to the Operator, the county and any municipalities within two (2) miles of the proposed operation, by mail.
- (2) The Board, at said meeting and in consultation with the Operator and other interested parties, may take whatever action(s) it deems necessary and are authorized by law, including but not necessarily limited to:
 - (a) acceptance of the Notice of Temporary Cessation as submitted;
 - (b) acceptance of the Notice of Temporary Cessation with modifications and other necessary activities as established by the Board;
 - (c) determination that the mining operation is not in a state of temporary cessation; or

- (d) continuance of the matter for another month or more to allow the Operator to revise the Notice of Temporary Cessation and/or to allow the Office staff to conduct a site inspection or otherwise review the matter as necessary.
- (3) When no reclamation or performance standard issues or problems are indicated in the Notice of Temporary Cessation or by field or file inspection, and no concerns are expressed by interested persons, the Notice shall not be placed on the agenda or heard by the Board. In such cases, the county and appropriate municipality will be notified and the fact of the receipt of the Notice by the Office will be acknowledged in the monthly activity report attached to the monthly agenda.

1.13.7 Application Requirements - Substitute for Notice of Temporary Cessation

103(11)(b)

Where certain mining operations have periods of inactivity exceeding one hundred and eighty (180) days, the Operator may include in the permit application, amendment or technical revision, the information otherwise required when filing a Notice of Temporary Cessation (Please see Rules 6.3.3(1)(a) or 6.4.4(e)). If approved by the Board or Office, such Notice in the permit shall serve as a substitute for the Notice of Temporary Cessation with the following conditions:

- (a) The Operator must report to the Board through the Annual Report:
 - (i) the condition of the operation at the time of cessation;
 - (ii) what specific measures have been and will be implemented to comply with reclamation and performance standards; and
 - (iii) plans for resumption of mining.

103(11)(c)

1.13.8 Five Year Term of Temporary Cessation

- (1) A permit granted pursuant to these Rules shall continue in effect as long as:
 - (a) the mining operation is resumed within five (5) years of the beginning of Temporary Cessation; or
 - (b) the Operator files a request for an extension of the period of Temporary Cessation with the Board meeting the requirements of Rule 1.13.5(3) and secures Board approval of that request.
- (2) The Board shall, when necessary, establish the commencement of temporary Cessation to determine the start of the five (5) year period described in Rule 1.13.8.

1.13.9 Ten Year Limitation for Temporary Cessation

In no case shall Temporary Cessation be continued for more than ten (10) years without terminating the mining operation and fully complying with the Reclamation Plan requirements of the Act and these Rules.

1.14 TERMINATION

1.14.1 Permit Termination

103(11)(d)

- (1) A permit granted pursuant to these Rules shall continue in effect as long as:
 - (a) the Board does not take action to declare termination of the life of the mine, which action shall require a sixty (60) day notice to the Operator alleging a violation of the permit, the Act or Rules; or
 - (b) there is a discontinuance of the mining operation with a Temporary Cessation filing as provided in Rule 1.13.5 or 1.13.7;
 - (c) there is no failure to submit the reports required under Rules 1.13.5 and 1.13.7; or
 - (d) there is no failure to comply with the requirements of Rule 1.13.8.
- (2) In the event the Operator is not in compliance with the provisions of Rule 1.14.1(1), the Board shall provide a reasonable opportunity for the Operator to meet with the Board to present the full case and further provide reasonable time for the Operator to bring violations into compliance. Such hearings and procedures shall be in compliance with the requirements of Rule 3.3.2; or at such hearings the Board may:
 - (a) declare termination of the life of the mine according to the provisions of this Rule and after finding a violation in accordance with Rule 3.3.2; or
 - (b) declare that a mining operation is in a state of Temporary Cessation, establishing a commencement date, as necessary, according to a review of the facts.

1.15 ANNUAL REPORT INCLUSIONS

- (1) The Annual Report shall include all information specified on the Annual Report Form, in the format required by the Office, and specifically:
 - (a) the Operator shall submit, together with the Annual Report, an updated statement regarding the sufficiency of the value of the Financial Warranty. Additional reasonable data to substantiate the value of the existing Financial Warranty shall be provided if requested by the Office or Board; and
 - (b) for any Financial Warranty which is submitted in the form of a Deed of Trust or a Security Agreement, the Operator shall submit, together with the Annual Report, an update by a qualified appraiser indicating any changes in property value, and a statement summarizing any circumstances which may affect the adequacy of the Deed of Trust or Security Agreement, or the value of the property subject thereto.

- (c) The Operator shall provide all monitoring information required as part of the approved Reclamation Plan.
- (2) An Operator may request a one-time change to a date other than the anniversary date of the permit for the purpose of submitting Annual Reports.
- (3) The Annual Report for Special 111(1)(a) Operations shall include a statement as to the date the public road construction project has or will terminate.

1.16 ADDRESS CHANGE, SALE OF PROPERTY BY AN OPERATOR, CHANGE IN PROPERTY LEASE, OR BUSINESS NAME OR OWNERSHIP CHANGE, AND NOTICE OF FILING OF A PETITION IN BANKRUPTCY

- (1) It shall be the duty of the Operator to keep the Office notified of any mailing address change by promptly sending written notice of such change to the Office. The Office is entitled to assume, in the absence of such Notice, that it may proceed with the last previous address provided by the Operator, and the Operator will be bound by such Notice as if actually received.
- (2) Where an Operator is the owner of the lands to be mined and the Operator sells such lands, the Operator shall promptly notify the Office of such sale. Where an Operator leases the lands, the Operator shall promptly notify the Office of any substantial changes that affect right of legal entry upon the lands to be mined.
- (3) Where an Operator's official business name changes or there is a change in business ownership or business form, the Operator shall contact the Office within thirty (30) days of such change in order to revise performance and financial warranty documents and complete the Succession of Operator forms.
- (4) Where an Operator files a petition in bankruptcy, the Operator shall immediately notify the Office via certified mail of such filing.

RULE 2: **BOARD MEETINGS - PERMIT APPLICATION HEARINGS, DECISIONS AND APPEALS**

2.1 BOARD MEETINGS

2.1.1 General Provisions

Except for Executive Sessions of the Board, all meetings shall be open to the public and any member of the public may, at the discretion of the Board, address the Board on any subject within the Board's jurisdiction. In the event the item is not on the agenda, no formal action may be taken by the Board until the full notice provisions in these Rules are met.

2.2 NOTICE PROCEDURES FOR MEETINGS OF THE BOARD

2.2.1 Regular Board Meetings

Except as otherwise provided by law or these Rules, Public Notice of regular meetings shall be provided by the Board as follows:

- (a) A minimum of ten (10) days prior to the meeting, Notice of its date, time, place, and agenda by:
 - (i) mailing to all persons having requested Notice of Board meetings and prepaid costs of the service, unless costs are waived for good cause, and to Operators whose Permit(s) or operation(s) may be the specific subject of consideration at the meeting;
 - (ii) publishing at least once in a newspaper of general circulation in the state, listing each Applicant's name, local address and the location of the affected land by section, township and range and by street address, if applicable;
 - (iii) posting in a conspicuous, publicly accessible location at the offices of the Office of Mined Land Reclamation and in all Press Rooms of the State Legislature; and
 - (iv) mailing a copy of the agenda to the local newspaper in the locality of the proposed mining operation.
- (b) All parties entitled to notice of the hearing, including the Applicant shall be given notice of the time, place, and nature thereof, the legal authority and jurisdiction under which it is to be held, and the matters of fact and law asserted. Such hearing shall be conducted pursuant to these Rules and the provisions of Section 24-4-105, C.R.S.

2.2.2 Other Meetings

Public Notice of all other meetings shall be provided by the Board as prescribed in Rules 2.2.1 and/or 1.12.2 except upon a Board finding that an emergency condition exists, whereupon notice shall be provided as much in advance of the meeting as possible.

2.2.3 Agenda Changes or Additions

Additions or changes to the agenda after the 10-day notification may be made regarding emergency situations, informational items, and Special Permits as outlined in Rules 1.4.4 and 1.7.3. In this event, the Board will endeavor to give notification, if possible, as outlined above, and will be required to notify any Operator or individual scheduled to be heard.

2.3 BOARD QUORUM

105(2)

- (1) Four (4) Board members shall constitute a quorum.
- (2) The Board shall act by majority vote of members present, except that four (4) affirmative votes are required for any amendment of these Rules.

2.4 RESERVED

2.5 DECLARATORY ORDERS (Section 24-4-105, C.R.S.)

2.5.1 Cause for Seeking a Declaratory Order

Any person who is or may be directly and adversely affected or aggrieved and whose interests are entitled to legal protection under the Act may petition the Board for declaratory order to terminate controversies or to remove uncertainties as to the applicability to the Petitioner of any statutory provision of or any rule or order of the Board made pursuant to the Colorado Land Reclamation Act For The Extraction Of Construction Materials (Section 34-32.5-101, C.R.S. et seq.).

2.5.2 Petition Submission

- (1) The petition must be submitted, at a minimum, seven (7) days prior to the Board meeting at which it is to be considered.
 - (a) At the regularly scheduled Board meeting, the Board will determine in its discretion and without notice to Petitioner, whether to rule upon any such petition.
 - (b) If the Board determines that it will not rule upon such a petition, the Board shall promptly notify the Petitioner of its action and state the reasons for such action.
- (2) Any petition filed pursuant to this rule shall set forth the following:
 - (a) the name and address of the Petitioner and whether the Petitioner is a Permittee pursuant to the Colorado Mined Land Reclamation Act;
 - (b) the statute, rule or order to which the petition relates;

- (c) a concise statement of all of the facts necessary to show the nature of the controversy or uncertainty and the manner in which the statute, rule or order in question applies or potentially applies to the Petitioner.

2.5.3 Consideration of Petition

In determining whether to rule upon a petition filed pursuant to this Rule, the Board will consider the following matters, among others:

- (a) whether a ruling on the petition will terminate a controversy or remove uncertainties as to the applicability to Petitioner of any statutory provision or rule or order of the Board.
- (b) whether the petition involves any subject, question or issue which is the subject of a formal or informal matter or investigation currently pending before the Board or a court involving one or more of the Petitioners.
- (c) whether the petition involves any subject, question or issue which is the subject of a formal or informal matter or investigation currently pending before the Board or a court, but not involving any Petitioner.
- (d) whether the petition seeks a ruling on a moot or hypothetical question or will result in an advisory ruling or opinion.
- (e) whether the Petitioner has some adequate legal remedy, other than an action for declaratory relief pursuant to Rule 57, Colorado Rules of Civil Procedure, which will terminate the controversy or remove any uncertainty as to the applicability to the Petitioner of the statute, rule or other in question.

2.5.4 Procedure for Consideration

If the Board determines that it will rule on the petition the following procedures shall apply:

- (a) The Board may, without further notice, rule upon the petition based solely upon the facts presented in the petition. In such a case, any ruling of the Board will apply only to the extent of the facts presented in the petition and any amendment to the petition.
- (b) The Board may order the petitioner to file a written brief, memorandum or statement of position.
- (c) The Board may set the petition, upon due notice to Petitioner, for a non-evidentiary hearing.
- (d) The Board may request the petitioner to submit additional facts, in writing. In such event, such additional facts will be considered as an amendment to the petition.
- (e) The Board may take administrative notice of facts pursuant to the administrative procedure act (Section 24-4-105(8), C.R.S.) and may utilize its experience, technical competence and specialized knowledge in the disposition of the petition.

- (f) If the Board rules upon the petition without a hearing, it shall within ten (10) working days notify the petitioner of its decision by deposit in the mail.
- (g) The Board may, in its discretion, set the petition for hearing upon due notice to Petitioner, for the purpose of obtaining additional facts or information or to determine the truth of any facts set forth in the petition or to hear oral argument on the petition. The notice to the Petitioner setting such hearing shall set forth, to the extent known, the factual or other matters into which the Board intends to inquire. For the purpose of such a hearing, to the extent necessary, the Petitioner shall have the burden of proving all of the facts stated in the petition, all of the facts necessary to show the nature of the controversy or uncertainty and the manner in which the statute, rule or order in question applies or potentially applies to the Petitioner and any other facts the Petitioner desires the Board to consider.

2.5.5 Party Status and Petition to Intervene

- (1) The Office shall be granted party status upon request.
- (2) Any other person may seek leave of the Board to intervene in such a proceeding, and leave to intervene will be granted at the sole discretion of the Board based upon the interest of the person and whether that interest is entitled to legal protection under the Act and how that person is affected or aggrieved by the petition for Declaratory Order.
- (3) A petition to intervene shall set forth a concise statement of the facts necessary to demonstrate the nature of its position, and the manner in which the statute, rule or order in question does or does not apply to the Petitioner.

2.5.6 Effect of a Declaratory Order

Any declaratory order or other order disposing of a petition pursuant to this Rule shall constitute agency action subject to judicial review pursuant to Section 24-4-106, C.R.S.

2.6 PRE-HEARING PROCEDURES - MOTIONS, WITNESS AND EXHIBIT LISTS

The provisions of this Rule 2.6 shall apply to the Applicant and any entity that has party status.

- (1) All motions, except those made during a hearing, or when the Board deems an oral motion to be appropriate, shall be in writing and shall state the grounds for the motion. Motions shall be received by the Board no later than two (2) Working Days following the Pre-hearing Conference. Any written response to a motion must be received by the Board no later than three (3) Working Days prior to the date of the Formal Board Hearing.
- (2) A party to a Formal Board Hearing may use witnesses or exhibits at the Formal Board Hearing. Parties shall provide a written list of all potential witnesses and exhibits at the Pre-hearing Conference in accordance with the following:
 - (a) The list of potential witnesses must include each witness' name, current address and phone number, area of expertise (if expert witness), and the subject matter of

the testimony. Parties are not obligated to use any witness even if listed, but parties may not, without express permission from the Board at the Formal Board Hearing, introduce testimony from a witness that was not listed in accordance with this Rule.

(b) Information on exhibits shall be exchanged as follows:

- (i) For any materials not already in the Office public files, each party to the Hearing shall provide all other parties to the Hearing and the Office with copies of any materials to be used as exhibits at the Formal Board Hearing at or before the Pre-hearing Conference. Where an item cannot practicably be reproduced, the exhibit must be made available to the parties and the Office for inspection upon request.
- (ii) For any materials that are already in the Office public files, and for any materials not provided to the other parties pursuant to the exception set out in Rule 2.6(2)(b)(i), each party shall provide all other parties and the Office with a list of the materials to be used with sufficient specificity to describe the exhibit, including but not limited to the specific title or description of each exhibit, such as maps, reports, adequacy responses, correspondence, agreements, data printouts, photographs, and drawings. The list must also specify where the other parties to the Formal Board Hearing and the Office may review and obtain a copy of, or inspect, each exhibit.

(3) All motions, responses, replies, witness lists, and exhibit lists shall identify the names, address and phone number of the submitting party, and the file number assigned to the case by the Office. If a party is represented by an attorney or other representative, the name, address and phone number of the attorney or other representative shall be provided on all documents submitted to the Board. All motions and lists shall be served on all parties and the Office at the same time they are served on the Board. The Board shall be served through the Office of Mined Land Reclamation.

2.7 PRE-HEARING CONFERENCES

2.7.1 General Provisions

Prior to the Formal Board Hearing on any matter, the Board may hold a Pre-hearing Conference in accordance with the following procedures:

- (1) The Pre-hearing Conference will be held to describe the Office's review process, to explain the rights and responsibilities of parties, to discuss and resolve issues to the extent possible, to describe the Board Hearing processes, to propose a list of issues under the Board's jurisdiction, to simplify that list, and to identify parties.
- (2) The Pre-hearing Conference shall be conducted by a Pre-hearing Conference Officer appointed by the Board.

- (3) The Pre-hearing Conference Officer shall prepare a proposed Pre-hearing Order. The proposed Pre-hearing Order shall be made available to all parties prior to the formal Board Hearing. In no instance shall the Pre-hearing Conference Officer's recommendations to the Board be considered final agency action for the purposes of judicial review under Section 24-4-106, C.R.S.
- (4) The proposed Pre-hearing Order shall include:
 - (a) a recommended list of the parties and their names, addresses, and phone numbers;
 - (b) a recommended list of issues to be considered by the Board at the Formal Board Hearing; and
 - (c) a recommended schedule for the hearing with time allotments set for presentation by each party and the Office.
- (5) In the case of a Pre-hearing Conference held on the matter of a 112 Reclamation Permit application, the Pre-hearing Conference shall be held after the Office has issued its written recommendation and at least ten (10) calendar days prior the Formal Board Hearing.

2.7.2 Board Consideration of the Proposed Pre-hearing Order

At the Formal Board Hearing on a matter for which a Pre-hearing Conference was held, the Pre-hearing Conference Officer or a representative of the Pre-hearing Conference Officer shall present the proposed Pre-hearing Order to the Board for its consideration. The Board shall consider any objection to the proposed Pre-hearing Order submitted by a party, as well as any changed circumstances related to the Formal Board Hearing arising subsequent to the Pre-hearing Conference, and shall subsequently adopt, amend and adopt, or reject the proposed Pre-hearing Order. If the proposed Pre-hearing Order is rejected by the Board, the Chair of the Board shall direct the Formal Board Hearing on the matter.

2.7.3 Parties Rights and Responsibilities

- (1) All parties have the right to present evidence, call witnesses, and cross-examine all other parties' witnesses. All parties are entitled to be represented by an attorney, or may designate a proxy, by way of a written proxy authorization, to attend the Pre-hearing Conference on behalf of the party. The proxy authorization must be on a form approved by the Board and presented to the Pre-hearing Conference Officer on or before the date of the Pre-hearing Conference.
- (2) In order for a person to seek judicial review of the Board's decision, that person must have been a party to the Formal Board Hearing that considered the issue. However, all parties to the Formal Board Hearing on a matter that do not file for judicial review are required by Section 24-4-106, C.R.S., to be named as defendants in any judicial review action.

- (3) Any person who is a party to a matter before the Board and who wishes to withdraw as a party must do so in writing prior to the commencement of or on the record during the Formal Board Hearing on the matter.
- (4) Any party who does not attend the Pre-hearing Conference forfeits its party status and all associated rights and privileges, unless such party provides a fully executed proxy authorization form to the Pre-hearing Conference Officer and the party's authorized representative is present. A party may attend the Pre-hearing Conference via telephone if such a request is made to the Pre-hearing Conference Officer, or a representative, at least five (5) working days, or less for good cause shown, prior to the scheduled Pre-hearing Conference date, and facilities at the site of the Pre-hearing Conference allow for a conference call.
- (5) If all parties to a 112 Reclamation Permit application that is to be considered at a Formal Board Hearing withdraw, the Board directs the Office to act on behalf of the Board and to timely approve or deny the application, unless the Office determines that a Formal Board Hearing should be held.

2.8 HEARINGS

2.8.1 General Provisions - Board Hearings

- (1) Except as otherwise provided by statute, the proponent of an order shall have the burden of proof, and every party to the proceeding shall have the right to present its case or defense by oral and documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts. Subject to these rights and requirements, where a hearing will be expedited and the interests of the parties will not be substantially prejudiced thereby, a person conducting a hearing may receive all or part of the evidence in written form. Any party who does not attend the Board Hearing forfeits its party status and all associated rights and privileges. A party may file a motion to attend the hearing via telephone pursuant to the following requirements:
 - (a) A party may file a request for telephonic appearance with the Board Chair no later than fourteen (14) calendar days prior to the Hearing. The motion shall state the reason(s) for requesting to participate at the hearing by phone. The motion shall be served by mail or electronic attachment on all parties.
 - (b) Any party may file with the Board Chair a response to the request for telephonic appearance. The response must be filed no later than ten (10) calendar days prior to the hearing.
 - (c) The Board Chair will rule on the request for telephonic appearance at least seven (7) calendar days prior to the hearing. In the event the Board Chair does not issue a ruling on the request no later than seven (7) calendar days prior to the hearing, the request for telephonic appearance shall be deemed denied.

- (2) The rules of evidence and requirements of proof shall conform to the extent practicable, with those in civil non-injury cases in district courts. However, when necessary to do so in order to ascertain facts affecting the substantial rights of the parties to the proceeding, the Board may receive and consider evidence not admissible under such rules, if such evidence possesses probative value commonly accepted by reasonable and prudent people in the conduct of their affairs.
 - (a) Objections to evidentiary offers may be made and shall be noted in the record.
 - (b) The Board shall give effect to the rules of privilege recognized by law.
 - (c) The Board may exclude incompetent and unduly repetitious evidence.
 - (d) Documentary evidence may be received in the form of a copy or excerpt if the original is not readily available; but, upon request, the party shall be given opportunity to compare the copy with the original.
- (3) The Board may utilize its experience, technical competence, and specialized knowledge in the evaluation of the evidence presented to it.
- (4) The Board may take notice of general, technical, or scientific fact, but only if the fact so noticed is specified in the record or is brought to the attention of the parties before final decision and every party is afforded an opportunity to controvert the fact so noticed.
- (5) The Board and Office shall proceed with reasonable dispatch to conclude any matter presented to it with due regard for the convenience of the parties or their representatives.

2.8.2 Board Decision

- (1) In any case on which the Board has conducted a hearing, the Board shall prepare, file and serve upon each party, its decision in the form of a written order.
- (2) Every such decision rendered by the Board at a hearing shall thereupon become the decision of the Board and Office.
- (3) Each written order shall include a statement of findings and conclusions upon all the material issue of fact, law or discretion presented by the record and the appropriate order, sanction, relief, or denial thereof.
- (5) Unless otherwise provided by law, the Final Board Order shall be served on each party and the Office by personal service or by mailing by First Class mail to the last address furnished to the Office by such party and shall be effective on the date mailed or such later date as may be stated in the Final Board Order.

2.9 RECONSIDERATION OF BOARD DECISIONS

2.9.1 Cause for Seeking Reconsideration

- (1) Any party to a hearing may petition the Board to reconsider its decision.
- (2) Such petitions must set forth a clear and thorough explanation of the grounds justifying reconsideration, including but not limited to new and relevant facts that were not known at the time of the hearing and the explanation why such facts were not known at the time of the hearing.

2.9.2 Petition Submission

Petitions for reconsideration must be received by the Office within twenty (20) calendar days of the effective date of the Board's written decision. The effective date of the Board's decision is the date the Board Order is signed, or such other date as may be stated in the Final Board Order.

2.9.3 Consideration of Petition

The Board may grant or deny the petition based solely on the written submittal in support of the petition or written opposition thereto, or the Board may, in its discretion, grant the parties, as defined in Rules 1.1(38) and 1.7.1, an opportunity to present oral arguments. The Office staff shall act as staff to the Board, except on matters related to enforcement.

2.9.4 Automatic Denial of Petition

The petition shall be deemed denied unless it is granted, or the Board takes other action on the petition, within sixty (60) days of receipt of the petition.

2.9.5 Time Limitations

The timely filing of a petition for reconsideration shall toll the time in which the Parties to the hearing may seek judicial review of the Board's decision.

RULE 3: **RECLAMATION PERFORMANCE STANDARDS, INSPECTION, MONITORING, AND ENFORCEMENT**

3.1 RECLAMATION PERFORMANCE STANDARDS

3.1.1 Establishing Post-Mining Use

- (1) In consultation with the Landowner, where possible, and subject to the approval of the Board or Office, the Operator shall choose how the affected lands shall be reclaimed. These decisions can be for forest, rangeland, pastureland, cropland, general agriculture, residential, recreational, industrial/commercial, developed water resource, wildlife habitat, or other uses.
- (2) The results of these decisions shall be formulated into a Reclamation Plan, as specified in Rule 6.3.4 or 6.4.5, as required for the size and type of operation.

3.1.2 Reclaiming Substituted Land

116(4)(q)(IV)

Reclamation shall be required on all the affected land except that the Operator may substitute land previously mined and owned by the Operator but not otherwise subject to the Mined Land Reclamation Act, or the Operator may reclaim an equal number of acres of any land previously mined, but not owned by the Operator, if the Operator has not previously abandoned unreclaimed mining lands. Such exchanges can be done only with the approval of the Board and the Owner of the land to be reclaimed.

3.1.3 Time Limit and Phased Reclamation

116(4)(q)(I)

All reclamation shall be carried to completion by the Operator with all reasonable diligence, and each phase of reclamation shall be completed within five (5) years from the date the Operator informs the Board or Office that such phase has commenced, or from the date the Office has evidence that mining or exploration has ceased, unless extended by the Board or Office. The 5-year period may be applied separately to each phase as it is commenced throughout the life of the mine.

3.1.4 Public Use

116(4)(e)

On lands owned by the Operator, the Operator may permit the public to use the same for recreational purposes, in accordance with the Limited Landowner Liability Law contained in Article 41 of Title 33, C.R.S. 1984, as amended, except in areas where such use is found by the Operator to be hazardous or objectionable.

3.1.5 Reclamation Measures - Materials Handling

The Operator shall set forth the measures that will be taken to meet all the following requirements:

116(4)(a)

- (1) Grading shall be carried on so as to create a final topography appropriate to the final land use selected in the Reclamation Plan.

- 116(4)(g) (2) When backfilling is a part of the plan, the Operator shall replace overburden and waste materials in the mined area and shall ensure adequate compaction for stability and to prevent leaching of toxic or acid-forming materials.
- 116(4)(i) (3) All grading shall be done in a manner to control erosion and siltation of the affected lands, to protect areas outside the affected land from slides and other damage. If not eliminated, all highwalls shall be stabilized.
- 116(4)(q)(l) (4) All backfilling and grading shall be completed as soon as feasible after the mining process. The Operator shall establish reasonable timetables consistent with good mining and reclamation procedures.
- 116(4)(c)
116(4)(d)
116(4)(e) (5) All refuse and acid-forming or toxic producing materials that have been mined shall be handled and disposed of in a manner that will control unsightliness and protect the drainage system from pollution.
- (6) Any drill or auger holes that are part of the mining operation shall be plugged with non-combustible material, which shall prevent harmful or polluting drainage. Adits and shafts should be closed, and where practicable, backfilled and graded in a manner consistent with the post mine land use and shall comply with the provisions of the Act, Construction Material Rules and Regulations.
- (7) Maximum slopes and slope combinations shall be compatible with the configuration of surrounding conditions and selected land use. In all cases where a lake or pond is produced as a portion of the Reclamation Plan, all slopes, unless otherwise approved by the Board or Office, shall be no steeper than a ratio of 2:1 (horizontal to vertical ratio), except from 5 feet above to 10 feet below the expected water line where slopes shall be not steeper than 3:1. If a swimming area is proposed as a portion of the Reclamation Plan, the slope, unless otherwise approved by the Board or Office, shall be no steeper than 5:1 throughout the area proposed for swimming, and a slope no steeper than 2:1 elsewhere in the pond.
- 116(4)(o) (8) If the Operator's choice of reclamation is for agricultural or horticultural crops which normally require the use of farm equipment, the Operator shall grade so that the area can be traversed with farm machinery.
- (9) An Operator may backfill structural fill material generated within the MLRB permitted area into an excavated pit within the permit area as provided for in the MLRB Permit. If an Operator intends to backfill inert structural fill generated outside of the approved permit area, it is the Operator's responsibility to provide the Office notice of any proposed backfill activity not identified in the approved Reclamation Plan. If the Office does not respond to the Operator's notice within thirty (30) days after receipt of such Notice by the Office, the Operator may proceed in accordance with the provisions of this Rule. The Operator shall maintain a Financial Warranty at all times adequate to cover the cost to stabilize and cover any exposed backfilled material. The Notice to the Office shall include but is not limited to:
- (a) a narrative that describes the approximate location of the proposed activity;
 - (b) the approximate volume of inert material to be backfilled;

- (c) a signed affidavit certifying that the material is clean and inert, as defined in Rule 1.1(22);
- (d) the approximate dates the proposed activity will commence and end, however, such dates shall not be an enforceable condition;
- (e) an explanation of how the backfilled site will result in a post-mining configuration that is compatible with the approved post-mining land use; and
- (f) a general engineering plan stating how the material will be placed and stabilized in a manner to avoid unacceptable settling and voids.

116(4)(c) (10) All mined material to be disposed of within the affected area must be handled in such a manner so as to prevent any unauthorized release of pollutants to the surface drainage system.

116(4)(d) (11) No unauthorized release of pollutants to groundwater shall occur from any materials mined, handled or disposed of within the permit area.

3.1.6 Water - General Requirements

116(4)(h) (1) Hydrology and Water Quality: Disturbances to the prevailing hydrologic balance of the affected land and of the surrounding area and to the quantity or quality of water in surface and groundwater systems both during and after the mining operation and during reclamation shall be minimized by measures, including, but not limited to:

- (a) compliance with applicable Colorado water laws and regulations governing injury to existing water rights;
- (b) compliance with applicable federal and Colorado water quality laws and regulations, including statewide water quality standards and site-specific classifications and standards adopted by the Water Quality Control Commission;
- (c) compliance with applicable federal and Colorado dredge and fill requirements; and
- (d) removing temporary or large siltation structures from drainage ways after disturbed areas are revegetated and stabilized, if required by the Reclamation Plan.

116(4)(b) (2) Earth dams, if necessary to impound water, may be constructed if the formation of such impoundments will not damage adjoining property or conflict with water pollution laws, rules or regulations of the federal government, the state of Colorado or with any local government pollution ordinances.

(3) All surface areas of the affected land, including spoil piles, shall be stabilized and protected so as to effectively control erosion.

3.1.7 Groundwater - Specific Requirements

- (1) Standards and conditions applicable to classified and unclassified groundwater.
 - (a) State-wide groundwater quality standards: Operations that may affect groundwater quality shall comply with all state-wide groundwater quality standards established by the Water Quality Control Commission (hereafter, the WQCC).
 - (b) Classified areas: Operations that may affect the quality of groundwater in a specified area that has been classified by the WQCC shall comply with the standards applicable to such specified area.
 - (c) Unclassified areas: Operations that may affect the quality of groundwater which has not been classified by the WQCC shall protect the existing and reasonably potential future uses of such groundwater.
 - (d) Water quality standards applicable to groundwater that has been classified, state-wide standards for certain pollutants, and interim narrative standards set by the WQCC shall supersede any numeric protection levels established for the subject pollutants pursuant to this Rule 3.1.7.
- (2) Establishing permit conditions, including numeric protection levels, protective of unclassified groundwater uses.
 - (a) Pursuant to the procedures specified in Rule 3.1.7(3), permit conditions shall be established for each operation that may have a reasonable potential to adversely affect the quality of a specified area that has not been classified by the WQCC. Such permit conditions may be in the form of numeric protection levels, practice-based permit conditions, or both.
 - (b) Points of compliance for numeric protection levels shall be set pursuant to Rule 3.1.7(5).
 - (c) Permit conditions, whether practice-based or numeric protection levels, shall be established as follows:
 - (i) The permit conditions shall be protective of the existing and reasonably potential future uses of the groundwater that may be affected. The WQCC's groundwater quality table values (The Basic Standards For Ground Water 5 CCR 1002-41), shall be used as a guide in establishing the permit conditions.
 - (ii) Where ambient groundwater quality exceeds values for protection of existing and reasonably potential future uses of groundwater, such as groundwater table values or other numeric criteria, permit conditions shall be established to protect those uses against further lowering of groundwater quality.

- (3) Procedures for establishing permit conditions to protect the quality of unclassified groundwater.
 - (a) New operations and modifications of existing permits: Any application for a new operation, or an application for a modification of an existing permit which modification has a reasonable potential to adversely affect the quality of unclassified groundwater, that is approved by the Office or the Board on or after September 1, 1993, shall include permit conditions pursuant to Rule 3.1.7(2).
 - (b) Existing operations: For operations subject to a permit issued before September 1, 1993, which permit is not the subject of an application or a modification as described in Rule 3.1.7(3)(a), permit conditions shall be established as follows:
 - (i) Upon a determination that a violation of a permit provision affecting groundwater quality has occurred, the Board may order the Operator to submit an application to modify the permit to comply with Rule 3.1.7(2), and may set a reasonable schedule for submittal of such application. Nothing in this Rule shall be construed to limit the Board's authority under Section 34-32.5-124, C.R.S. 1984, as amended.
 - (ii) The Office shall follow the pre-enforcement procedure set out below before requiring an Operator who is in compliance with all permit provisions and regulation requirements related to groundwater quality to modify the permit. The Office may bring an enforcement action under Section 34-32.5-116(4), C.R.S. 1984, as amended, or earlier version thereof. Such enforcement action may result in a finding of a violation of that statutory provision upon finding that there is or may be a reasonable potential for degradation of groundwater quality that adversely affects existing or reasonable potential future uses of such groundwater. The Office shall follow the pre-enforcement procedure outlined below before bringing such an enforcement action:
 - (A) When the Office has reason to believe, based on evidence, that there is or may be a reasonable potential for degradation of groundwater quality that adversely affects uses, the Office shall notify the Operator of the evidence and of the possible need to modify the permit to include permit conditions that comply with Rule 3.1.7(2). The notification may require the Operator to submit necessary information, and shall allow a minimum of ninety (90) days for the Operator to respond. Following a response from an Operator provided with notice under this Rule 3.1, the Office shall allow a reasonable period to negotiate appropriate permit conditions with the Operator pursuant to Rule 3.1.7(2).
 - (B) The Office may bring an enforcement action if the Operator fails to respond within the time specified, or the Office and the Operator do not negotiate appropriate permit conditions within a reasonable period of time, pursuant to Rule 3.1.7(3)(b)(ii)(A). Upon finding a violation of the Act, or Rules promulgated thereunder, the Board

may modify the permit to include groundwater protection provisions in compliance with Rule 3.1.7(2).

- (C) The pre-enforcement procedures described in this Rule 3.1.7(3)(b)(ii) shall not apply if there is an imminent danger to the health, safety, and general welfare of the people of this state. In such a case, the Office may immediately initiate an enforcement action and may seek a cease and desist order. This provision shall not be construed to prevent the Water Quality Control Division from pursuing its remedies under Section 25-8-307, C.R.S. (1989).
- (4) Procedures for establishing compliance with standards promulgated by the WQCC.
 - (a) Existing permits affecting groundwater, subject to existing groundwater quality standards: The Office shall provide notice to operations subject to a permit issued prior to January 31, 1994 if such operation has a reasonable potential to exceed groundwater quality standards promulgated by the WQCC. Such existing groundwater quality standards may include standards applicable to groundwater that has been classified by the WQCC, interim narrative standards and state-wide standards for certain pollutants. The notice shall provide the Operator with a reasonable opportunity to respond and modify the permit if necessary, to establish permit conditions adequate to implement such groundwater standards.
 - (b) WQCC standards promulgated after a permit is issued: If there is a reasonable potential to exceed groundwater quality standards promulgated after the permit is issued the Office shall provide the Operator with notice of the applicable groundwater quality standards. The Operator shall be afforded a reasonable opportunity to submit an application to modify the permit as necessary to implement such groundwater quality standards.
 - (c) Permit conditions established pursuant to Rules 3.1.7(4)(a) and (b) shall include a reasonable schedule of compliance. Such permit conditions may be in the form of numeric protection levels, practice-based permit conditions, or both.
 - (d) If an Operator has a reasonable potential to exceed groundwater quality standards promulgated by the WQCC, the Operator shall modify the permit as necessary to implement such standards in compliance with Rule 3.1.7, within a reasonable period of time after receiving a Notice issued pursuant to Rules 3.1.7(4)(a) and (b). If the Operator fails to do so the Office may initiate an enforcement action to enforce compliance with this Rule and establish any necessary permit conditions.
 - (e) Permits, or applications to modify a permit, shall not be approved unless such permit or modification includes conditions adequate to implement all groundwater quality standards promulgated by the WQCC applicable to such permit or modification.
 - (5) Any Operator, on a voluntary basis, may submit information concerning the protection of the quality of groundwater affected by the operation to the Office. The Operator may submit

such information and a plan for monitoring, where appropriate, including monitoring at points of compliance, for the Office's consideration. The information submitted must satisfy the requirements of Rules 3.1.7(6) and (7). Such voluntary submission by an Operator shall be considered a Technical Revision provided the submittal satisfies Rule 1.8.

(6) Points of Compliance:

(a) In order to evaluate protection afforded groundwater quality, comply with groundwater standards, or to demonstrate compliance with permit conditions established by the Office to protect groundwater quality, one or more points of compliance shall be established. Through incorporation into a permit and on a schedule approved by the Office, an Operator shall comply with groundwater quality standards established by the Water Quality Control Commission at points of compliance.

(i) Where the Water Quality Control Commission has not established standards, then any permit condition established by the Board or Office to protect groundwater quality shall be demonstrated to be met at points of compliance or as specified in the approved permit.

(b) Where groundwater quality standards have been established, the point of compliance shall be established according to the following criteria:

(i) for existing facilities at which an adverse impact to groundwater quality could occur, the point of compliance will be set as follows:

(A) at some distance hydrologically down-gradient from the facility or activity that is causing, or which has the potential to cause, the contamination, and selecting that distance closest to the facility or activity, considering the technological feasibility of meeting the requirements for protecting water quality:

(I) a specified distance, as determined by Rule 3.1.7(6)(b)(i)(B) below;

(II) the hydrologically down-gradient limit of the area in which contamination has been identified; or

(III) the facility permit boundary.

(B) In determining a specified distance the Office shall take into consideration the following factors;

(I) the classified use, established by the Water Quality Control Commission, for any groundwater or surface water which could be impacted by contamination from the facility;

- (II) the geologic and hydrologic characteristics of the site, such as depth to groundwater, groundwater flow direction and velocity, soil types, surface water impacts, and climate;
 - (III) the toxicity, mobility, and persistence in the environment of the contaminants used or stored at the facility and which could reasonably be expected to be discharged from the facility;
 - (IV) the potential of the site as an aquifer recharge area; and
 - (V) recommendations submitted by the facility owner or Operator, including technical and economic feasibility.
 - (ii) For any new facility or new activity which may cause an adverse impact on groundwater quality, the point of compliance will be set as follows:
 - (A) unless modified by the Office as specified in Rule 3.1.7(6)(b)(ii)(B) below, the point of compliance will be set at the hydrologically down-gradient limit of the area below the facility or activity potentially impacting groundwater quality.
 - (B) The point of compliance determined in Rule 3.1.7(6)(b)(ii)(A) above may be modified by the Office on a case-by-case basis with consideration of the following factors:
 - (I) the classified use, established by the Water Quality Control Commission, for any groundwater or surface water which could be impacted by contamination from the facility;
 - (II) the geologic and hydrologic characteristics of the site, such as depth to groundwater, groundwater flow direction and velocity, soil types, surface water impacts, and climate;
 - (III) the toxicity, mobility, and persistence in the environment of contaminants used or stored at the facility which could reasonably be expected to be discharged from the facility;
 - (IV) the potential of the site as an aquifer recharge area; and
 - (V) recommendations submitted by the facility owner or Operators including technical and economic feasibility.
- (7) Groundwater Monitoring:

- (a) For existing operations through permit modifications, and for new permit applications, a groundwater monitoring program shall be required on a case-by-case basis where an adverse impact on groundwater quality may reasonably be expected.
- (b) If groundwater monitoring is required, the Operator shall include the following information as part of a permit application or permit modification to an existing permit:
 - (i) a map that accurately locates all proposed groundwater sample points and any locations that are proposed as a point of compliance;
 - (ii) the method of monitoring well completion where monitoring wells are required;
 - (iii) method of sampling, frequency of sampling and reporting to the Office;
 - (iv) parameters analyzed, water quality analysis methods, and quality control and quality assurance methods;
 - (v) formations, aquifers or strata to be sampled;
 - (vi) identify the potential sources of groundwater contamination that will be monitored by each point of compliance monitoring point;
 - (vii) a time-schedule for implementation; and
 - (viii) ambient groundwater quality data sufficient to characterize potentially impacted groundwater quality.
- (8) Release of Reclamation Liability: An Operator shall demonstrate, to the satisfaction of the Office, that reclamation has been achieved so that existing and reasonably potential future uses of groundwater are protected.
- (9) An Operator must provide the Office a written report within five (5) working days when there is evidence of groundwater discharges exceeding applicable groundwater standards or permit conditions imposed to protect groundwater quality when these other conditions are explicitly identified in the permit as requiring such notice.

For additional performance standards related to water, see Rules 3.1.5 and 3.1.6.

3.1.8 Wildlife

- (1) All aspects of the mining and reclamation plan shall take into account the safety and protection of wildlife on the mine site, at processing sites, and along all access roads to the mine site with special attention given to critical periods in the life cycle of those species which require special consideration (e.g., elk calving, migration routes, peregrine falcon nesting, grouse strutting grounds).

- (2) Habitat management and creation, if part of the Reclamation Plan, shall be directed toward encouraging the diversity of both game and non-game species, and shall provide protection, rehabilitation or improvement of wildlife habitat. Operators are encouraged to contact Colorado Parks and Wildlife and/or federal agencies with wildlife responsibilities to see if any unique opportunities are available to enhance habitat and/or benefit wildlife which could be accomplished within the framework of the Reclamation Plan and costs.

116(4)(g)

3.1.9 Topsoiling

- (1) Where it is necessary to remove overburden in order to mine the construction material, topsoil shall be removed and segregated from other spoil. If such topsoil is not replaced on a backfill area within a time short enough to avoid deterioration of the topsoil, vegetative cover or other means shall be employed so that the topsoil is protected from erosion, remains free of any contamination by toxic or acid-forming material, and is in a usable condition for reclamation.
- (2) Where practicable, woody vegetation present at the site shall be removed from or appropriately incorporated into the existing topsoil prior to excavation within the affected areas. The Operator should make a reasonable effort to ensure that existing vegetation is put to a beneficial use such as firewood, mulching, lumber, etc.

116(4)(g)
116(4)(j)

- (3) Topsoil stockpiles shall be stored in places and configurations to minimize erosion and located in areas where disturbance by ongoing mining operations will be minimized. Such stockpile areas must be included in the affected areas and subject to all reclamation requirements. The Board may require immediate planting of an annual and/or perennial on topsoil stockpiles for the purpose of stabilization.
- (4) Once stockpiled, the topsoil shall be rehandled as little as possible until replacement on the regraded, disturbed area. Relocations of topsoil stockpiles on the affected land require Board or Office approval. Approval in most cases would be granted by way of technical revision.
- (5) The Operator shall take measures necessary to assure the stability of replaced topsoil on graded slopes such as roughing in final grading to eliminate slippage zones that may develop between the deposited topsoil and heavy textured spoil surfaces.

116(4)(g)

- (6) If, in the discretion of the Board or Office, such existent topsoil is of insufficient quantity or of poor quality for sustaining vegetation, and if other materials can be shown to be more suitable for vegetation requirements, then the Operator shall remove, segregate, and preserve in a like manner such other materials which are best able to support vegetation.
- (7) When growing media is replaced, it shall be done in as even a manner as possible. Fertilizer or other soil amendments shall be added, if required in the Reclamation Plan or as the soil tests indicate.
- (8) Vegetative piles shall be removed from the area or utilized in accordance with the Reclamation Plan.

116(4)(f)

3.1.10 Revegetation

- (1) In those areas where revegetation is part of the Reclamation Plan, land shall be revegetated in such a way as to establish a diverse, effective, and long-lasting vegetative cover that is capable of self-regeneration without continued dependence on irrigation, soil amendments or fertilizer, and is at least equal in extent of cover to the natural vegetation of the surrounding area. Except for certain post mining land uses approved by the Board or Office, the use of species native to the region shall be emphasized. Greater emphasis on non-native species may be proposed for intensively managed forestry and range uses.
- (2) If the Operator's choice of reclamation is forest planting, they may, with the approval of the department, select the type of trees to be planted. If the Operator is unable to acquire sufficient planting stock of desired tree species from the state or elsewhere at a reasonable cost, they may defer planting until planting stock is available to plant such land as originally planned, or they may select an alternate method of reclamation.

116(4)(n)

- (3) If the Operator's choice of reclamation is for rangeland, the land shall be restored to slopes commensurate with the proposed land use and shall not be too steep to be traversed by livestock. The area may be seeded either by hand, or power, or by the aerial method.
- (4) The revegetation plan shall provide for the greatest probability of success in plant establishment and vegetation development by considering environmental factors such as seasonal patterns of precipitation, temperature and wind; soil texture and fertility; slope stability; and direction of slope faces. Similar attention shall be given to biological factors such as proper inoculation of legume seed, appropriate seeding and transplanting practices, care of forest planting stock, and restriction of grazing during initial establishment. The Board or Office, in consultation with the Landowner and the local Conservation District, if any, shall determine when grazing may start.
- (5) To insure the establishment of a diverse and long-lasting vegetative cover, the Operator shall employ appropriate techniques of site preparation and protection such as mechanical soil conditioning by disking and ripping; mulching; soil amendments and fertilizers; and irrigation.

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- (6) Methods of weed control shall be employed for all prohibited noxious weed species, and whenever invasion of a reclaimed area by other weed species seriously threatens the continued development of the desired vegetation. Weed control methods shall also be used whenever the inhabitation of the reclaimed area by weeds threaten further spread of serious weed pests to nearby areas.
- (7) When necessary, fire lanes or access roads shall be constructed through the area to be planted. These lanes or roads shall provide access for planting crews, supervision and inspection.

111
116(4)(q)(II)

- (8) Planting required for reclamation may be delayed, through the period of use related to places of refuse disposal, haulage roads and road cuts. Normal stabilization of surfaces is required. No planting is required:

- (a) on any affected land being used or proposed to be used by the Operator for the deposit or disposal of refuse until after the cessation of operations productive of such refuse;
- (b) on lands proposed for future mining;
- (c) within depressed haulage roads or final cuts while such roads or final cuts are being used or made;
- (d) where permanent pools or lakes have been formed; and
- (e) on any affected land so long as the chemical and physical characteristics of the surface and immediately underlying material of such affected land are toxic, deficient in plant nutrients, or composed of sand, gravel, shale, or stone to such an extent as to seriously inhibit plant growth and such condition cannot feasibly be remedied by chemical treatment, fertilization, replacement of overburden, or like measures.

116(4)(q)(III)

116(4)(8)

- (9) Where adverse characteristics of the surface, not feasibly remedied by artificial measures, would seriously inhibit plant growth, planting may be delayed or provided on substitute acres, depending upon natural corrective processes over a ten (10) year period.

116(4)(r)

3.1.11 Buildings and Structures

If the affected land is owned by a legal entity other than any local, state, or federal entity, any buildings or structures including those constructed or placed on the affected lands in conjunction with the mining operations or which are historic structures as determined by the State Historic Preservation Office may, at the option of the Operator and Landowner and with the approval of the Board, remain on the affected land after reclamation if such buildings or structures will not conflict with the post-mining land use and the structures conform to local building and zoning codes.

3.1.12 Signs and Markers

- (1) At the entrance of the mine site the Operator shall post a sign, which shall be clearly visible from the access road, with a minimum size equaling one hundred and eighty-seven (187) square inches, such as eleven (11) inches in height and seventeen (17) inches in width, with appropriate font size, with the following:
 - (a) the name of the Operator and the operation name;
 - (b) a statement that a reclamation permit for the operation has been issued by the Colorado Mined Land Reclamation Board; and
 - (c) the permit number.
- (2) The boundaries of the affected area will be marked by monuments or other markers that are clearly visible and adequate to delineate such boundaries.

- (a) for Limited Impact 110 Operations and Special 111 Operations the permit boundary for the purposes of this Rule shall be considered the affected area;
 - (b) for Regular 112 Reclamation Operations the area proposed to be disturbed by mining operations for which a Financial Warranty and Performance Warranty have been posted shall be the affected area.
- (3) The Office may approve an alternative plan for identifying the boundaries of the affected land if the Operator includes such a plan in the permit application.

3.1.13 Spill Reporting

The Operator shall notify the Office of a spill of any toxic or hazardous substance, including spills of petroleum products, that occurs within the mined land permit area or area encompassed by a Notice of Intent and which would be required to be reported to any Division of the Colorado Department of Public Health and the Environment, the National Response Center, the Colorado Emergency Planning Commission, any local Emergency Planning Commission, local Emergency Planning Committee, or the State Oil Inspector. The Operator shall:

- (1) within twenty-four (24) hours of the time the spill is reported to any other agency(ies) with jurisdiction over the spill, notify the Division of Reclamation, Mining and Safety, via phone or email;
- (2) include in the notice any relevant information known at the time contact is made with the Office that would assist the Office in assessing spill seriousness, such as:
 - (a) operation name, DRMS permit number and name of person reporting the spill,
 - (b) telephone number of a responsible company official for the Office staff to use as a contact,
 - (c) date and time of spill,
 - (d) type of material spilled (CAS number if applicable, from the material safety data sheet (MSDS) form),
 - (e) estimate of the amount spilled, whether any material has left the permit area, and where the spilled material went, and
 - (f) initial measures taken to contain and clean up spill.
- (3) copy the Office on any correspondence and/or written reports provided to other agencies. Supplement those reports if necessary to include the information outlined in Rule 3.1.13(2).
- (4) For permits approved prior to the effective date of these Rules, the requirements of Rule 3.13 shall supersede stipulations to permits regarding spill reporting.

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3.2 INSPECTION AND MONITORING

- (1) Entry upon lands for inspection: the Board or Office may enter upon the lands of the Operator at all reasonable times for the purpose of inspection to determine whether the provisions of the Act and these Rules have been complied with.
- (2) Persons authorized under the Act and these Rules to conduct inspections shall, prior to entry onto any lands, notify the Operator of their intent to enter and inspectors shall comply with all federal, state, local and company safety rules.
- (3) Any state official or employee of the Office shall promptly report to the Board any possible violation of a permit, law or these Rules of which they have knowledge, whether obtained from personal inspection or from written reports on mining operations.
- (4) Upon an Office determination of a possible violation, the Office shall issue a Notice of Possible Violation(s), and shall mail such notice by certified mail, return receipt to the last known address of the Permittee. The Office shall schedule the matter of possible violation(s) for a Board Hearing according to the provisions of Rules 3.3.1 or 3.3.2.
- (5) All inspections shall include a written report which:
 - (a) describes every possible violation of the permit, law, or these Rules;
 - (b) is personally signed by the Inspector; and
 - (c) is mailed within a reasonable time to the mine office, or other suitable location designated by the Operator.
- (6) A report of how and when a violation is resolved and a report of any subsequent inspection to verify compliance shall be filed.
- (7) All operations applying for a regular permit, conversion, or amendment thereto shall be inspected after the application is filed and prior to Board consideration. Other Applicants shall be so inspected as time and staff resources permit.
- (8) Mining operations shall be inspected a sufficient number of times each year to ensure compliance with the permit, law, and these Rules. The frequency of inspection shall be determined by the extent of the operation, rate of mining, degree of actual or potential environmental impact, and the Operator's past record of compliance.
- (9) The Board or Office is authorized to inspect any ongoing Exploration Operation or any Exploration Operation prior to the request for release of Performance and Financial Warranties, in order to determine compliance with these Rules.

113(8)

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3.3 ENFORCEMENT AND PROCEDURES

3.3.1 Operating Without a Permit or Conducting Exploration Without a Notice of Intent – Penalty

- 123(1) (1) Whenever an Operator or Person conducting extraction or exploration fails to obtain a valid Permit or file a Notice of Intent under the provisions of the Act, the Board or the Office may issue an immediate Cease and Desist Order. Concurrently with the issuance of such an Order, the Board or the Office may seek a restraining order or injunction pursuant to Rule 3.3.3. The Operator or Person conducting extraction or exploration shall be afforded an opportunity for a hearing before the Board. The Office shall schedule the matter for a hearing before the Board no sooner than thirty (30) days after issuance of such Cease and Desist Order; except that an earlier date for a hearing may be requested by the alleged violator and the hearing must be set no later than the next succeeding Board meeting if requested by the alleged violator.
- 123(2) (2) Operators who mine substantial acreage beyond their approved permit boundary may be found to be operating without a permit. Any Operator who operates without a permit shall be subject to a civil penalty of not less than one thousand dollars (\$1,000) per day nor more than five thousand dollars (\$5,000) per day for each day the land has been affected. Such penalties shall be assessed for a period not to exceed three hundred and sixty-five (365) days.
- 123(3) (3) Any Person conducting exploration without filing a Notice of Intent as required under the Act shall be subject to a civil penalty of not less than fifty dollars (\$50) nor more than two hundred dollars (\$200) per day for each day the land has been affected. Such penalties shall be assessed for not less than one (1) day and not more than sixty (60) days.
- 123(4) (4) In addition to the civil penalties imposed in Rules 3.3.1(2) and (3), the Board shall also assess a civil penalty in an amount not less than the amount necessary to cover the Office's costs expended in investigating the alleged violation.

3.3.2 Operating With a Permit or Conducting Exploration With a Notice of Intent – Failure to Comply

- 124(1) (1) Whenever the Board or Office has a reason to believe that there has occurred a violation of an Order, Permit, Notice of Intent, or regulation issued under the authority of the Act or these Rules, written Notice shall be given to the Operator of the possible violation at least thirty (30) days prior to the scheduled Board hearing date, unless such Notice is waived, in writing, by the Operator. Such Notice shall be served personally or by Certified Mail, Return Receipt Requested, upon the possible violator or the possible violator's agent, for service of process. The Notice shall state the provision alleged to be violated and the facts alleged to constitute the violation, and may include the nature of any corrective action proposed to be required. The Notice shall state the date, time and place of the Formal Hearing where the Board will consider the possible violation.
- (2) Following a determination, by the Office, of reason to believe a violation exists, the Board shall hold a hearing on whether or not there is a violation.

- 124(6)(a) (a) At the hearing, if the Board determines that a violation of the provisions of a Permit, a Notice of Intent, the Act, or these Rules has occurred, the Board may order the modification, suspension or revocation of the Permit. If the Board suspends or revokes the Permit of an Operator, the Operator may continue mining operations only for the purpose of bringing the mining operations into satisfactory compliance with the provisions of the Operator's Permit and all applicable safety regulations. Once such operations are complete to the satisfaction of the Board, the Board shall reinstate the Permit of the Operator.
- 124(7) (b) At the hearing, if the Board determines that a violation of the provisions of a permit, the Act, or these Rules has occurred, the Board shall assess a Civil Penalty of not less than one hundred dollars (\$100.00) per day nor more than one thousand dollars (\$1,000.00) per day for each day during which such violation occurs. Operators who affect substantial acreage beyond their approved permit boundary may be found to be operating without a permit and, in such case, the Civil Penalty shall be assessed according to the schedule in Rules 3.3.1(2) or (3).
- 124(2) (c) At the hearing, if the Board determines that a violation of the provisions of a permit, a Notice of Intent, the Act, or these Rules has occurred, the Board may issue a Cease and Desist Order. The order shall:
- (i) specify the provisions(s) violated;
 - (ii) specify the facts which constitute the violation(s);
 - (iii) set forth the time by which the violations(s), act(s), or practices(s) must be terminated;
 - (iv) include, at the Board's discretion, any corrective action; and
 - (v) be served personally or by Certified Mail, return receipt requested, upon the Operator or their agent for service of process.
- (3) After a finding by the Board of a failure to comply, pursuant to Rule 3.2, any expenses incurred by the Board or Office in carrying out corrective actions, including administrative costs, may be assessed against the violator.
- 124(3) **3.3.3 Injunctive Relief**
- (1) In the event any Operator fails to comply with a Cease and Desist Order, the Board may request the Attorney General to bring suit for a temporary restraining order, a preliminary injunction, or a permanent injunction to prevent any further or continued violation of such order.
 - (2) If the Board determines that the situation is an emergency, the emergency shall be given precedence over all other matters pending in such court.

3.3.4 Violation of a Cease and Desist Order - Surety Forfeiture

- 118(1)(a) The Board shall institute proceedings to have the surety of the Operator forfeited for violation by the Operator of a Cease and Desist Order entered pursuant to Rule 3.3. Such proceedings shall be conducted in accordance with Rule 4.20.

3.3.5 Non-Payment of Annual Fees

- 116(3)(b) Where an Operator is late in payment of the Annual Fee by longer than sixty (60) calendar days, the Office shall set the matter for a hearing before the Board for permit revocation and forfeiture of the financial warranty.

RULE 4: **PERFORMANCE WARRANTIES AND FINANCIAL WARRANTIES**

4.1 GENERAL PROVISIONS

- 109(3) (1) No governmental office of the state, other than the Board, nor any political subdivision of the state shall have the authority to require a Performance or Financial Warranty of any kind for any mining operation.
- 115(4)(a)
117(1)
117(3)(f) (2) No permit may be issued pursuant to the Act until the Board or Office receives and approves the Performance and Financial Warranties required herein. If these Warranties are not received within one (1) calendar year of approval of an application for any new permit, amendment or conversion, the Board shall hold a hearing, in accordance with the notification and comment provisions of Rule 1.6, to reconsider the previous approval. If the Board affirms the original application approval, the Board shall establish a new deadline for submittal of the Financial and Performance warranties. If the required warranties are not posted by the date set by the Board, the application shall be denied.
- 117(2) (3) Whenever two or more persons or entities are named as Operators in a single permit, the Operators may limit the scope of their individual Performance Warranties so long as the warranties, in the aggregate, warrant performance of all requirements of the Act.
- 117(3) (4) Whenever two or more persons or entities act as Financial Warrantors, they may limit the scope of their individual warranties so long as all Financial Warranties, in the aggregate, equal the amount required by the Board.
- 117(3)(a) (5) Financial Warranties may be provided by the Operator, by any Third-party, or by any combination of persons or entities.
- 117(3)(b) (6) Financial Warrantors who provide proof of financial responsibility of any type or types described in Rules 4.3.2, 4.3.7, 4.3.8, or 4.3.9 shall not be required to secure the same by the posting of Third-party sureties or otherwise pledging or encumbering property for the benefit of the state.
- 117(6)(a) (7) Financial Warranties shall be maintained in good standing for the entire life of any permit issued under the Act and these Rules. Financial Warrantors shall immediately notify the Board of any event which may impair their warranties.
- 119 (8) Where one Operator succeeds another at any uncompleted operation, the Office shall release the first Operator from all liability as to that particular reclamation operation and shall release all applicable Performance and Financial Warranties as to such operation if the successor Operator assumes, as part of the obligation under the Act, all liability for the Reclamation of the affected land, and the obligation is covered by replacement Performance and Financial Warranties as to such affected land.
- 118(5)
122 (9) 95% of the proceeds of all Financial Warranties forfeited under the provisions of Section 34-32.5-118, C.R.S., shall be deposited in a special account established by the Board for the purposes of reclaiming lands which were obligated to be reclaimed under the permits upon which such Financial Warranties have been forfeited.

- 117(4) (10) Proof of financial responsibility may be of any type and in such amount authorized herein, subject to approval by the Board or Office.

4.1.1 General Requirements - Performance Warranties

- 117(2) Each application for any Permit or amendments thereto shall be accompanied by a Performance Warranty.

- (a) The Performance Warranty shall be in a form approved and prescribed by the Board.
- (b) A Performance Warranty shall be signed by the Operator and/or by a person or persons authorized to bind the Operator.

4.1.2 General Requirements - Financial Warranties

110(6)
111(6)
117(3)(f)(VIII)

- (1) A Financial Warranty shall be signed by person or persons authorized to sign a Financial Warranty.
- (2) No Financial Warranty shall be required where the Operator is a unit of municipal or county government or the State Department of Transportation and the Operator submits a written guarantee, in lieu of a financial warranty, stating that the affected lands will be reclaimed in accordance with the terms of the permit, these Rules, and Section 34-32.5-116, C.R.S.

- 117(3)(g) (3) Any proof of financial responsibility submitted or revised on or after July 1, 1993, shall be in compliance with Rules 4.2.1(1) through (7), and 4.1.2(6) and (7).

- 117(3)(b) (4) If the Board or Office has reason to believe that any proposed Financial Warranty does not fully and accurately reflect the current financial condition of the Financial Warrantor, the Board or Office may decline to accept the Financial Warranty as submitted.

- 117(6)(b) (5) Each Financial Warrantor providing proof of financial responsibility in a form described in Rules 4.3.6, 4.3.7, 4.3.8, 4.3.9, or 4.3.10 shall annually cause to be filed with the Board or Office a certification by an independent auditor that, as of the close of the Financial Warrantor's most recent fiscal year, the Financial Warrantor continued to meet all applicable requirements of Rule 4. Financial Warrantors who no longer meet said requirements shall comply with Rule 4.15.

- 117(4)(c)(B) (6) The Board or Office may by permit condition require proof of value on a periodic basis of any Warranty held by the Board.

- 117(4)(b)
117(4)(c)(C) (7) The Board or Office may by permit condition limit certain types of Warranties to specific purposes only or require a designated percentage of the total Warranty be held in easily valued and convertible instruments.

- 117(3)(c) (8) The Board or Office may refuse to accept any type of Financial Warranty if:

- 117(3)(c)(I) (a) the value of the Financial Warranty offered is dependent upon the success, profitability, or continued operation, of the mine;
- (b) for Deeds of Trust, First Priority Liens or Salvage Credit, the Operator has not complied with Rule 4.9; or
- 117(3)(c)(II) (c) the Board determines that the Financial Warranty offered cannot reasonably be converted to cash within one hundred and eighty (180) days of forfeiture.
- (9) Any Operator/Applicant that desires to utilize a Financial Warranty described in Rule 4.3.6, 4.3.7, 4.3.8, 4.3.9, or 4.3.10 shall pay to the Office an Annual Fee for the reasonable and necessary cost of establishing and reviewing the Financial Warranty.
- (a) No costs may be charged hereunder unless and until the Operator/Applicant signs written fee agreements with the Office. Said agreements shall be in such form as the Board may prescribe. Invoices pursuant to said agreements shall include a statement for services and expenses included in the total amount;
- (b) rates charged by the Office hereunder may not exceed prevailing rates for similar services, and shall reflect the actual cost of establishing and reviewing the Financial Warranty;
- (c) the Operator/Applicant shall be responsible for all costs properly charged hereunder, even if no permit issues from the Board; and
- (d) funds paid to the Office are to be made available for the use of outside legal and financial advice for the purpose of reviewing the Financial Warranty of Operators/Applicants desiring to use the Self-Insurance provision.
- (10) The original bond documents shall be submitted to the Office and held in safekeeping by the State Treasurer's Office.

4.1.3 Provisions for Recovery of Costs

- 117(3)(e) Any instruments offered as a Financial Warranty pursuant to this Rule 4, shall provide that the Board or Office may recover the necessary costs, including attorney's fees or fees incurred in foreclosing on or realizing the collateral used to secure such Financial Warranty in the event such Financial Warranty is forfeited, in the following manner:
- (a) for any Corporate Surety Bond issued by a corporate surety company authorized to do business in this state, the face amount of the bond shall be increased by five hundred dollars (\$500);
- (b) for any irrevocable Letter of Credit issued by a bank authorized to do business in the United States, the face amount of the Letter of Credit shall be increased by five hundred dollars (\$500);
- (c) for any Certificate of Deposit, the face amount of the Certificate of Deposit shall not be increased;

- (d) for any Individual Reclamation Fund, the amount of the trust fund required to be maintained shall be increased by five hundred dollars (\$500);
- (e) for any Cash Escrow Account, the amount of the Cash Escrow Account required to be maintained shall not be increased; and
- (f) for any Deed of Trust or Security Agreement encumbering real or personal property creating a first priority lien in favor of the state, the value of the real or personal property available to secure the amount of the Financial Warranty attributable to costs of reclamation shall be reduced by an amount to be determined by the Board or Office, but in any case, a minimum of five thousand dollars (\$5,000) and up to a maximum amount of two percent (2%) of reclamation costs;
- (g) any monies collected and not used to fulfill the requirements of this Rule 4.1.3, shall be returned to the Financial Warrantor upon completion of reclamation and liability release by the Board or Office.

4.2 FINANCIAL WARRANTY LIABILITY AMOUNT

4.2.1 Adequacy of Financial Warranties

- 117(4)(b) (1) All Financial Warranties shall be set and maintained at a level which reflects the actual current cost of fulfilling the requirements of the Reclamation Plan.
- 117(4)(b)
117(4)(c)(II) (2) Financial Warranty Review - the Office or Board may, in its discretion, review any Financial Warranty for adequacy at any time. In the event the Office or Board determine that the Financial Warranty is insufficient to perform reclamation, the Permittee shall have up to sixty (60) days to post additional Financial Warranty from the date of written notice from the Office or Board of such insufficiency. If the Permittee disagrees with the Office Notice to Increase the Financial Warranty, the Office shall schedule the matter for a hearing before the Board. The Permittee may be scheduled for a Formal Board Hearing for possible revocation of the permit after sixty (60) days, from the date of notice of any such adjustment, if the amount of any increased Financial Warranty has not been provided.
- 117(4)(a) (3) The Board or Office shall prescribe the amount and duration of Financial Warranties, taking into account the nature, extent, and duration of the proposed mining operation, the magnitude, type and estimated cost of planned reclamation, and the requirements of the Act.
- 117(4)(b) (4) In any single year during the life of the permit, the amount of required Financial Warranties shall not exceed the estimated cost of fully reclaiming all lands to be affected in said year, plus all lands affected in previous permit years and not yet fully reclaimed. For the purpose of this Rule, reclamation costs shall be computed with reference to current reclamation costs. The amount of the Financial Warranty shall be sufficient to assure the completion of reclamation of affected lands if the Office has to complete such reclamation due to forfeiture. Reclamation includes all measures taken to assure the protection of water

resources, including costs to cover necessary water quality protection, treatment and monitoring as may be required by Permit, these Rules or the Act.

117(4)(b)(l)

- (5) The Financial Warranty amount shall include an amount equal to five percent (5%) of the amount of the cost of reclamation to defray the administrative costs incurred by the Office in conducting the reclamation.
- (6) When mining on federal land and the federal land management agency requires that a Financial Warranty be posted with their agency, the amount of Financial Warranty posted with the state shall be the difference between the amount required to be posted by the federal land management agency, and the amount required by the Mined Land Reclamation Board. In no event shall the amount of Financial Warranty posted with the state be less than one hundred dollars (\$100). In addition, the application shall contain a provision that in the event the federal land management agency reduces the Financial Warranty, the Permittee must post an acceptable replacement Warranty with the state prior to any release by the federal land management agency. The replacement Warranty shall be sufficient to cover the cost of reclamation liability unless the state conducts an inspection and concurs with the federal land management agency finding.

4.2.2 Specific Provisions - 110 and 110(6) Limited Impact Operations

110(2)

- (1) This Rule shall be applicable to Financial Warranties provided for Permits applied for pursuant to Section 34-32.5-110(1), C.R.S., as of July 1, 1993. The Financial Warranty for a Limited Impact Permit shall be in an amount to be determined by the Office.
- (2) The Financial Warranty for any Limited Impact Permit which is filed pursuant to Section 34-32.5-110(1), C.R.S., including those which are automatically issued as a result of Office inaction within thirty (30) days pursuant to the Act (Section 34-32.5-110(4), C.R.S.) shall be in an amount equal to the estimated cost of reclamation.
- (3) Divisions of state government and units of municipal and county government are exempt from submitting Financial Warranties and are not required to provide reclamation costs.

4.2.3 Permit Conversion

110(5)
110(7)
117(4)

The conversion of any 110 Limited Impact Permit to a 112 Reclamation Permit shall require a Financial Warranty in an amount equal to the estimated cost of reclamation.

4.2.4 Specific Provisions - 111 Special Operations

111(2)(b)(II)
117(4)(a)

- (1) The Financial Warranty for a 111 Special Operation Permit which is automatically issued as a result of Office inaction within fifteen (15) calendar days, pursuant to the Act (Section 34-32.5-111(5), C.R.S.), shall be in an amount of not less than two thousand five hundred dollars (\$2,500) per acre of affected land. However, the Office or Board may require such other greater amount necessary to ensure that estimated costs of reclamation are assured.
- (2) Divisions of state government and units of municipal and county government are exempt from submitting Financial Warranties and are not required to provide reclamation costs.

4.2.5 Specific Provisions - 112 Reclamation Permit Operations

- 117(4) (1) The Financial Warranty for any 112 Reclamation Permit shall be in an amount to be determined by the Board in accordance with the guidelines set forth herein.
- 115(3) (2) The Financial Warranty for any 112 Reclamation Permit which is automatically issued as a result of Board inaction within the one hundred and twenty (120) day period pursuant to the Act shall be in an amount equal to two thousand dollars (\$2,000.00) for each acre of Affected Land, or other such amount as the Board may determine at a subsequent hearing.
- (3) If, at a hearing, the Board determines that the Financial Warranty is not adequate, the Operator shall have sixty (60) days to post the additional Financial Warranty in a form and amount acceptable to the Board.

4.2.6 Specific Provisions - Exploration Notice

- 113(4) (1) Upon filing the Notice of Intent to Conduct Exploration, the person shall provide Financial Warranty in the amount of two thousand dollars (\$2,000.00) per acre of the land to be disturbed, or such other amount as determined by the Office, based on the projected costs of reclamation.
- 113(4)(b) (2) Statewide Warranties may be submitted for exploration, provided such warranties are in an amount equal to the estimated cost of reclamation per acre of affected land.

4.3 TYPES OF FINANCIAL WARRANTIES

Proof of financial responsibility may consist of any one or more of the following, subject to approval by the Board:

4.3.1 Cash Bond

Cash or Certified funds assigned to the Board.

4.3.2 Cash Escrow Account

A fund of cash or cash invested in

- (i) securities issued or directly and fully guaranteed or insured by the United States or any agency or instrumentality thereof, including treasury bills, discount notes of the Federal Home Loan Bank, Federal National Mortgage Association, and Federal Farm Credit System (provided that the full faith and credit of the United States is pledged in support thereof) having maturities of not more than one hundred and eighty (180) days from the date of acquisition;
- (ii) time deposits, certificates of deposit and banker's acceptances with maturities of not more than one hundred and eighty (180) days from the date of acquisition by such person of a

commercial bank having, or which is the principal banking subsidiary of a bank holding company having, a long-term unsecured debt rating of at least “AAA” or the equivalent thereof from Standard & Poor’s;

- (iii) repurchase obligations with a term of not more than seven (7) days for underlying securities of the types described in clause (i) above entered into with any bank meeting the qualifications specified in clause (ii) above;
- (iv) investments in money market funds substantially all assets of which are comprised of securities of the types described in clauses (i) through (iii) above; or
- (v) other instruments as approved by the Board established in the form of an escrow account.

117(3)(f)(I)

4.3.3 Corporate Surety Bonds

A Surety Bond issued by a corporate surety authorized to do business in this state.

117(3)(f)(II)

4.3.4 Irrevocable Letters of Credit

An Irrevocable Letter of Credit issued by a bank authorized to do business in the United States; the Operator/Applicant must provide evidence that the bank issuing the Letter of Credit is in good financial standing and condition, as may be evidenced by its rating by an appropriate rating system.

117(3)(f)(III)

4.3.5 Certificates of Deposit

A Certificate of Deposit assigned to the Board.

117(3)(f)(IV)

4.3.6 Deeds of Trust and Security Agreements

A Deed of Trust or security agreement encumbering real or personal property and creating a first lien in favor of the State.

117(3)(f)(VI)
117(3)(f)(VII)

4.3.7 Self-Insurance

Self-insurance through credit rating or net worth, as further described in Rules 4.10.1 and 4.10.2, respectively.

117(3)(f)(V)(A)

4.3.8 Individual Reclamation Fund

A trust fund which shall be funded by periodic cash payments representing a fraction of total receipts, providing assurance that the funds required for reclamation will be available.

117(3)(f)(V)(C)

4.3.9 Salvage Credit

Credit for the Salvage Value of project-related fixtures and equipment (excluding rolling stock) owned or to be owned by the Financial Warrantor within the permit area, represented by a security agreement creating an equipment lien, less the value of any encumbrances of higher priority, which encumbrances shall be limited to government encumbrances.

117(8)

4.3.10 First Priority Lien on Project-related Fixtures and Equipment

A Deed of Trust or security agreement encumbering specific project-related fixtures and equipment that must remain on-site upon completion of mining operations, or that must be demolished or removed in order for the Reclamation Plan to be performed, creating a first priority lien in favor of the State.

4.3.11 Negotiable Bonds of the United States Government

A Treasury note backed by the full-faith and credit of the United States Government.

117(3)(f)(V)(A)

4.4 SPECIFIC REQUIREMENTS FOR CASH BONDS

Cash or Certified funds shall be held in trust by the State Treasurer's Office. All interest shall accrue to the benefit of the Financial Warrantor except where a permit is revoked and the Financial Warranty is forfeited, the interest shall accrue to the Division of Reclamation, Mining and Safety. The accrued interest shall be used for reclamation of the site.

4.5 SPECIFIC REQUIREMENTS FOR CASH ESCROW ACCOUNTS

- (1) Cash Escrow Accounts shall be administered by an independent Escrow Agent other than the Office and shall consist of cash and/or cash invested in financial instruments as described in Rules 4.3.2. If the Escrow Agent is a bank, the bank shall be rated as well-capitalized as defined in the Uniform Bank Performance Report.
- (2) The Escrow Agent shall be a United States bank or other financial institution, company, corporation, business or firm.
- (3) Investment of the Cash Escrow Account(s) shall be proportioned as follows:
 - (i) not less than fifty percent (50%) of the Cash Escrow Account(s) shall be convertible into cash or other immediately available funds within twenty-four (24) hours; and
 - (ii) the balances of the Cash Escrow Account(s) shall be convertible into cash or other immediately available funds within one hundred and eighty (180) days.
- (4) All interest shall accrue for the benefit of the Operator.
- (5) All maintenance fees for the Cash Escrow Account(s) shall be paid for by the Operator.
- (6) The Escrow Agent shall provide to both the Operator and the Board monthly account statement detailing the activities and interests earned on the Cash Escrow Account(s), the cost and market value of the Cash Escrow Account(s), and the balances of the various types of instruments into which the Cash Escrow Account(s) are invested.

- (7) On the anniversary of the Cash Escrow Account(s), the Operator shall report to the Board the status of its activities under the Permit, including, but not limited to, the estimated reclamation costs for the area disturbed to date and the estimated amount of reclamation costs for the additional area to be disturbed during the following twelve (12) months. Based upon this annual report, the Board may require the balance of the Cash Escrow Account(s) be increased to an amount that is not less than the total amount of estimated reclamation costs. The Board shall notify the Operator in writing of any required increase in the amount of Cash Escrow Account(s) and, within sixty (60) days of the receipt of such notice, the Operator shall deposit the amount of the increase with the Escrow Agent. The Operator shall submit to the Board the corporation's annual report, which lists the Cash Escrow Account(s) in the report footnotes. The Operator shall also submit an annual report of the Escrow Agent.
- (8) In addition to the above requirements, any agreement establishing the Cash Escrow Account(s) shall provide the following:
 - (a) Upon order of forfeiture of the Cash Escrow Account(s) by the Board, the Escrow Agent shall release the principal of the Cash Escrow Account(s) to the Board within five (5) days after presentment of the Board forfeiture order to the Escrow Agent. The Operator agrees not to contest or otherwise challenge the Escrow Agent's disbursement of the Cash Escrow Account(s) in accordance with this Rule.
 - (b) The Operator may not use the Cash Escrow Account(s) as collateral for any loan, mortgage or other obligation or as a guarantee or security interest for any obligation of the Operator, including any security interest which may be filed under Article 9 of the Uniform Commercial Code as in effect in Colorado.
 - (c) The Board may file a security interest and lien upon the Cash Escrow Account(s) in accordance with Article 9 of the Uniform Commercial Code in effect in Colorado.
 - (d) The Board is not responsible for and is not indemnifying, insuring, or otherwise holding harmless the Escrow Agent or the Operator with respect to the agreement for any loss, liability, cost damage or expense including attorney's fees, the Escrow Agent may suffer or incur by reason of any action, claim or proceeding brought by or against the Escrow Agent arising out of or relating in any way to the agreement or the Cash Escrow Account(s).

4.6 SPECIFIC REQUIREMENTS FOR CORPORATE SURETY BONDS

- (1) The Operator/Applicant shall submit a fully executed Corporate Surety on a form provided by the Office.
- (2) A Power of Attorney authorizing the party signing on behalf of the insurance company shall be submitted with the Corporate Surety.

4.7 SPECIFIC REQUIREMENTS FOR IRREVOCABLE LETTERS OF CREDIT

- (1) The Irrevocable Letter of Credit shall be executed on the issuing bank's letterhead using the language provided by the Office.
- (2) The Irrevocable Letter of Credit shall be automatically renewable. The Letter of Credit shall provide that, in case of non-renewal, the bank must notify the Office and the Operator, by Certified Mail, at least ninety (90) days prior to the expiration date of the Letter of Credit.
- (3) The bank shall provide documentation in the form of a balance sheet certified by a Certified Public Accountant demonstrating that the Letter of Credit does not exceed ten percent (10%) of the bank's capital surplus accounts. This documentation shall be provided by the Operator, annually, as part of the Operator's Annual Report.

4.8 SPECIFIC REQUIREMENTS FOR CERTIFICATES OF DEPOSIT

- (1) The Certificate of Deposit shall be assigned to the State of Colorado/Mined Land Reclamation Board.
- (2) The Certificate of Deposit shall be automatically renewed.
- (3) The account shall be a public funds account.
- (4) The Certificate of Deposit shall be issued by an eligible public depository under the Public Deposit Protection Act (PDPA), as required by Section 11-10.5-101, C.R.S.

4.9 SPECIFIC REQUIREMENTS FOR DEEDS OF TRUST AND OTHER SECURITY INTERESTS IN REAL OR PERSONAL PROPERTY

4.9.1 General Provisions

117(3)(b)

- (1) The Board or Office may accept interests in real and personal property as Financial Warranties of not more than eighty-five percent (85%) of the estimated value of any such property.
- (2) Any person offering such Financial Warranty shall:
 - (a) submit current information necessary to show clear title to the property and the current appraised value of such property. This information shall contain a completed appraisal in a form approved by the Board.
 - (b) Submit together with the Annual Report as required by Rule 1.15, the following:
 - (i) an update by a qualified independent appraiser indicating any changes in property value;

- (ii) a statement summarizing any circumstances which may affect the adequacy of the Deed if it is a Trust or security agreement; and
 - (iii) proof that there are no past-due property taxes.
- (3) The Board or Office may refuse to accept any Deed of Trust or security agreement if the property or equipment offered is necessary in the functioning or completion of the approved Reclamation Plan.

4.9.2 Deed of Trust - Real Estate

117(3)

- (1) Rules 4.1.2(8)(a) and (c) shall be applicable for new Construction Materials Operations on July 1, 1993, and existing Construction Materials Operations on January 1, 1996, to Deeds of Trust existing as of July 1, 1993 and subsequent updates of these same Deeds of Trust used as collateral for Financial Warranties; and to any Financial Warranty completed before July 1, 1993 if the value of any such Financial Warranty includes any construction material value or if construction material value is used to update any such Financial Warranty. The value of any Financial Warranty described in this Rule shall include construction material value for the life of the Warranty. Updates shall mean only those changes that adjust the construction material or property value of an existing Deed of Trust, and does not include submissions of new properties.
- (2) Failure to provide the documents required by Rule 4.9.1(2) shall indicate a reason to believe the Financial Warranty is not being maintained in good standing as required by Rule 4.1(7).
- (3) A request for an increase in the bond by the Office shall require a reappraisal of any real property used as security for the bond. Such reappraisal shall be timely, provided by the Operator and shall be completed by an independent appraiser, acceptable to the Office.

4.9.3 First Priority Lien - Fixtures and Equipment

With respect to first priority liens on project-related fixtures and equipment described in Rule 4.3.10, above:

117(8)(a)

- (a) the Board or Office may, in its discretion, accept a first priority lien, in the amount of the Financial Warranty prescribed pursuant to Rule 4.2.1, on any project-related fixtures and equipment that must remain on-site in order for the Reclamation Plan to be performed, in lieu of including the cost of acquiring and installing such fixtures and equipment;

117(8)(a)
117(8)(b)

- (b) the Board or Office may accept a first priority lien on any project-related fixtures and equipment that must be demolished or removed from the site under the Reclamation Plan. The Board or Office may, in its discretion, accept such a lien as a portion of the proof of financial responsibility if the amount credited for such lien does not exceed the cost of demolishing or removing the subject fixtures and equipment or the market value of such fixtures and equipment, whichever is less; and

- (c) any fixtures and equipment accepted pursuant to this Rule shall be insured, with the MLRB named as the additional insured, and maintained in good operating condition and shall not be removed from the permit area without the prior consent of the Board or Office. Each Operator/Permittee or Applicant providing a lien on such equipment and fixtures shall file an Annual Report with the Office in sufficient detail to fully describe the condition, value and location of all pledged fixtures and equipment. Such Financial Warrantor shall not pledge such equipment and fixtures to secure any other obligation and shall immediately notify the Office of any other interest that arises in the pledged property, and shall comply with the requirements of Rule 4.15.

4.10 SPECIFIC REQUIREMENTS FOR SELF-INSURANCE

4.10.1 Self-Insurance - Credit Rating

117(3)(f)(VI)

The Operator/Permittee or Applicant shall submit to the Office a certified financial statement for the most recent fiscal year and a certification by an independent auditor, which shows:

- (a) the Financial Warrantor is the issuer of one or more currently outstanding senior credit obligations that have been rated by a nationally recognized rating organization;
- (b) said obligations enjoy a rating of "A" or better; and
- (c) at the close of the Financial Warrantor's most recent fiscal year, its net worth was equal to or greater than two (2) times the amount of all Financial Warranties.

4.10.2 Self-Insurance - Net Worth

117(3)(f)(VII)

The Operator/Permittee or Applicant shall submit to the Office a certified financial statement for the most recent fiscal year and a certification by an independent auditor, which shows that as of the close of said year:

- (a) the Financial Warrantor's net worth was at least ten million dollars (\$10,000,000.00) and was equal to or greater than two (2) times the amount of all Financial Warranties;
- (b) the Financial Warrantor's tangible fixed assets in the United States were worth at least twenty million dollars (\$20,000,000.00);
- (c) The Financial Warrantor's total liabilities-to-net worth ratio was not more than two to one; and
- (d) the Financial Warrantor's net income, excluding non-recurring items, was positive. Non-recurring items which affect net income shall be stated in order to determine if they materially affect self-bonding capacity.

4.10.3 Board or Office Right to Deny Self-Insurance

The Board or Office may deny self-insurance if the Operator/Permittee or Applicant has non-recurring items that affect self-bonding capacity.

4.11 SPECIFIC REQUIREMENTS FOR INDIVIDUAL RECLAMATION FUND

4.11.1 Establishment of Fund

- 117(3)(f)(V)(A)
- (1) Upon commencement of production, the Operator may establish an individual reclamation fund, to be held by an independent trustee for the Board, upon such terms and conditions as the Board may prescribe, which trust fund shall be funded by periodic cash payments representing such fraction of receipts as will, in the opinion of the Board, provide assurance that funds will be available for reclamation.
 - (2) Prior to issuance of a permit, the Operator will provide another form of Financial Warranty as described herein. As the reclamation fund increases in value, this form of Financial Warranty may be decreased in value so long as the sum of Financial Warranties is that amount specified by the Board or required by the Act.
 - (3) In approving the Individual Reclamation Fund as a Financial Warranty, the Board or Office shall:
 - (a) approve the form of the initial Financial Warranty;
 - (b) fix the fraction of receipts to be held in trust;
 - (c) identify the trustee to hold said funds for the Board;
 - (d) prescribe the terms and conditions applicable to the Operator or Warrantor's payment of funds into said trust; and
 - (e) prescribe the terms and conditions governing the trustee's handling of said funds.

4.12 SPECIFIC REQUIREMENTS FOR SALVAGE CREDIT

4.12.1 Requirements for Salvage Credit

A Financial Warranty based on Salvage Credit must meet the following requirements:

- 117(3)(f)(V)(C)
- 118(4)(b)
118(4)(c)
- (a) Project-related fixtures and equipment (excluding Rolling Stock) owned or to be owned by the Operator/Permittee or Applicant within the permit area will have a Salvage Value at least equal to the amount of the Financial Warranty, or the appropriate portion thereof;
 - (b) Existing liens and encumbrances applicable to said fixtures and equipment, other than liens in favor of the United States or the State of Colorado, any other state, and any political subdivisions, will be subordinated to the lien described in Section 34-32.5-118(4)(b) and (c), C.R.S. and Rule 4.20(6).

117(3)(f)(V)(E)

- (c) Said fixtures and equipment will be maintained in good operating condition, be properly insured against theft, loss, fire and vandalism, and will not be removed from the permit area without the prior consent of the Board. In addition, the Warrantor shall ensure that insurance premiums are always paid two (2) years in advance on said fixtures and equipment.

4.12.2 Determination of Salvage Credit

- (1) The Operator/Permittee or Financial Warrantor shall provide the Office with appraisals, information regarding invoice price, current value, cost of demolition and/or removal, and any other information as is necessary to establish the Salvage Value of the particular Project-related fixtures and/or equipment for which Salvage Credit is sought as all or part of the Financial Warranty for a Permit.
- (2) The Operator/Permittee or Financial Warrantor shall provide the Office with a list of all encumbrances, and shall affirm that no other encumbrances exist to the best of the Operator's or Financial Warrantor's knowledge and belief.
- (3) The Office may request the Operator/Permittee or Financial Warrantor to provide additional reasonable information to support the claimed Salvage Value and/or costs associated with any Project-related fixture or equipment for which Salvage Credit is sought.
- (4) Ten (10) days prior to any Board hearing regarding a Permit application for which Salvage Credit is offered as all or part of the Financial Warranty, the Office shall inform the Operator/Permittee or Financial Warrantor of its opinion as to the amount or estimate of the amount of the Salvage Value attributable to the Project-related fixtures and equipment for which Salvage Credit is sought.
- (5) At the hearing before the Board, the Office shall recommend an amount for Salvage Credit value.
- (6) The Board shall, after considering the Office's recommendation, testimony offered by the Operator, Warrantor, or any other person, and facts adduced at the hearing, fix the amount of the Salvage Credit for the Project-related fixtures and equipment, and attach conditions, as may be appropriate, to annually verify the value of the Salvage Credit.

4.13 SPECIFIC REQUIREMENTS FOR NEGOTIABLE BONDS OF THE UNITED STATES GOVERNMENT

- (1) The Treasury note shall be purchased from a U.S. bank or broker.
- (2) The Treasury note shall be for a period of five (5) years.
- (3) The Treasury note shall be registered to the custody agent (bank or broker) and pledged to the Board and held in a joint account with the bank or broker.
- (4) All interest shall be paid to the operator.

- (5) The Board shall accept the value of the Treasury note at ninety percent (90%) of face value.
- (6) The only authorized signatory on the account is that of the Board.
- (7) The operator shall provide to the Board:
 - (a) Book Entry receipt.
 - (b) An Assignment of U.S. Treasury Note to the Board.
- (8) Fees associated with the purchase and maintenance of Treasury Notes are the responsibility of the Permittee.
- (9) The custody agent shall provide monthly statements of the account to the Board.
- (10) If the market value of the U.S. Treasury Note drops below the required ninety percent (90%) of face value, the Permittee will supply the Board with additional funds or post an additional or replacement bond up to the required bond amount.

4.14 REDUCTION OF WARRANTY AMOUNT

4.14.1 Operator's Request for Reduction

- (1) An Operator may request that the Office reduce the amount of the Financial Warranty required.
- (2) Such a request must:
 - (a) be made in writing, separate from other correspondence;
 - (b) include an estimate of the actual cost to reclaim the site based on what it would cost an independent contractor to complete reclamation, including unit costs for reclamation activities as appropriate to the operation to comply with the provisions of Rule 3.1 and the Permit's Reclamation Plan.
- (3) Such request shall be processed as described in Rule 4.16, for Exploration operations, or Rule 4.17, for all other operations.

4.15 IMPAIRMENT OF FINANCIAL WARRANTIES

- (1) Each Financial Warrantor providing proof of financial responsibility in a form described in Rules 4.3.6, 4.3.7, 4.3.8, 4.3.9, and 4.3.10 shall notify the Board within sixty (60) days of any net loss incurred in any quarterly period.

- 117(6)(d) (2) Whenever the Board receives a notice under Rule 4.15(1) or fails to receive a certification or a substitute Warranty as required by Rule 4.1.2(5), or otherwise has reason to believe that a Financial Warranty has been materially impaired, it may convene a hearing for the purpose of determining whether impairment has in fact occurred.
- 117(6)(e) (3) Whenever the Board elects to convene a hearing pursuant to Rule 4.15(2), it may hire an independent consultant to provide expert advice at the hearing. The fees for any such consultant shall be paid by the Financial Warrantor, and no consultant shall be hired until the Financial Warrantor signs a written fee agreement in such form as the Board may prescribe. In the event that a Financial Warrantor refuses to sign such an agreement, the Board may, without hearing, order the Financial Warrantor to provide an alternate form of Financial Warranty.
- 117(6)(f) (4) At any such hearing, if the Board finds that a Financial Warranty has been materially impaired, it may order the Financial Warrantor to provide an alternate form of Financial Warranty.
- 117(6)(g) (5) A Financial Warrantor shall have ninety (90) days to provide an alternate warranty required under Rule 4.15(4).

113(5) **4.16 RELEASE OF WARRANTIES - EXPLORATION OPERATIONS**

117(5) **4.16.1 Operator Application for Release of Warranties**

- (1) Upon the completion of reclamation, any person that filed with the Board or Office an Exploration Notice of Intent and Financial Warranties shall submit to the Office by Certified Mail and separate from other types of communication to the Board or Office a Reclamation Report and request for reclamation responsibility release stating that reclamation is finished.
- (2) Such report shall contain, at a minimum:
- (a) the name of the operation, the name of the Person conducting exploration, file number of the Exploration Notice of Intent and the name, mailing address and phone number of the contact person;
 - (b) a signed statement by the Person conducting exploration that all reclamation requirements of the Exploration Notice have been satisfied;
 - (c) a narrative describing site grading, topsoil replacement, successful revegetation and other stabilization activities, as appropriate;
 - (d) suitable photographs of the reclaimed area; and
 - (e) a map of sufficient detail to determine the location of the exploration activity.

113(8) (3) The Office shall, within ninety (90) calendar days after receiving said report, or as soon thereafter as weather conditions permit, inspect the lands and reclamation described in the notice to determine if the Person conducting exploration has complied with all applicable requirements.

113(8) (4) If the Office finds the reclamation to be in compliance with the requirements of the Notice of Intent, Rules and Regulations, and the Act, the Office shall release all applicable performance and financial warranties. The financial warranty shall not be held for more than sixty (60) calendar days after the Office finds that the Notice of Intent Operator has successfully completed reclamation. However, an appeal to the release of the financial warranties shall stay the release on the sixtieth (60th) day pending a Formal Board Hearing.

4.17 RELEASE OF PERFORMANCE AND FINANCIAL WARRANTIES FOR MINING OPERATIONS

4.17.1 Operator Requirements

110(3)
111(4)
117(5) (1) The Operator of any mining operation possessing a 110 Limited Impact Permit, or a 111 Special Operations Permit, or a 112 Reclamation Permit may file a written notice of completion of reclamation and request for release of reclamation responsibility with the Office whenever an Operator believes any or all requirements of the Act, the Rules and Regulations, and the approved reclamation plan have been completed with respect to any or all of the Affected Lands.

(2) The Operator shall include in the notice to the Office the names and addresses and phone numbers of all owners of record to the affected land.

(3) The written notice requesting release shall be sent by Certified Mail and be separate from other types of communication to the Office.

(4) Such notice shall contain a signed statement by the Operator or their agent that all applicable portions of the Reclamation Plan requirements have been satisfied in accordance with these Rules and all applicable requirements under the Act.

4.17.2 Office Requirements

(1) The Office, upon receipt of said notice of completion of reclamation, shall immediately provide notice to all owners of record to the affected land and to the county(s).

117(5)(a) (2) The Office shall, within sixty (60) calendar days after receiving said notice, or as soon thereafter as weather conditions permit, inspect the lands and reclamation described in the notice to determine if the Permittee has complied with all applicable requirements.

117(5)(d) (3) If the Office fails to conduct an inspection within the time specified in Rule 4.17.2(2), or fails to advise the Permittee of deficiencies within the time specified in Rule 4.17.2(4), then all

Financial Warranties applicable to reclamation described in the notice shall be deemed released as a matter of law.

- (4) Where the Office finds that a Permittee has not complied with the applicable requirements of the Act, Rules and Regulations, or the approved reclamation plan, it shall advise the Permittee of such non-compliance not more than sixty (60) calendar days after the date of the inspection.
- (5) Where the Office finds that a Permittee has successfully complied with the requirements of the Act, Rules and Regulations, and the approved reclamation plan, the Office shall release all applicable performance and financial warranties. Release (pending an appeal) shall be in writing and mailed within thirty (30) calendar days to the Permittee after the date of such findings. However, an appeal to the release of the financial and performance warranties shall stay the release on the thirtieth (30) day pending a Formal Board Hearing.

4.18 PUBLIC NOTICE AND FILING OF WRITTEN OBJECTIONS REGARDING A REQUEST FOR RELEASE OF FINANCIAL WARRANTY

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- (1) Any person directly and adversely affected or aggrieved may submit written objections on the request for reclamation responsibility release so long as such comments are received by the Office within fifteen (15) days of notice by the Office to the county(s) and all owners of record to the affected land.
- (2) Notice of the Office's decision to release the Permittee from further reclamation responsibility shall be published in the next monthly agenda of the Board.

4.19 GENERAL PROVISIONS - APPEALS TO DECISION - RELEASE OF FINANCIAL WARRANTY

- (1) Any person directly and adversely affected or aggrieved by an Office decision to approve or deny the request for reclamation responsibility release and whose interest is entitled to protection under the Act may appeal the decision to the Board by submitting a request for Administrative Appeal to the Office according to the provisions of Rule 1.4.11. The request for Administrative Appeal must specify the basis for being directly and adversely affected or aggrieved, a statement of why the person's interest is protected by the Act, the permit number assigned by the Office and include a statement of the factual and legal issues presented by the appeal.
- (2) If the Office decision to release a Permittee from reclamation liability is reversed by the Board on appeal, all outstanding obligations under the permit, the financial warranty, and the performance warranty shall remain in effect.

118

4.20 FORFEITURE OF FINANCIAL WARRANTY

- 118(1) (1) A Financial Warranty shall be subject to forfeiture whenever the Board shall determine at a hearing that any one or more of the following circumstances exist:
 - 118(1)(a) (a) the Operator has violated a Cease and Desist order entered pursuant to Section 34-32.5-124, C.R.S. 1984, as amended, and, if corrective action was proposed in such order, has failed to complete such corrective action although ample time to have done so has elapsed; or
 - 118(1)(b) (b) the Operator is in default under the Performance Warranty and has failed to cure such default although they have been given written notice thereof and has had ample time to cure such default;
 - 118(1)(c) (c) the Financial Warrantor has failed to maintain the Financial Warranty in good standing as required by Section 34-32.5-117, C.R.S. 1984, as amended; or
 - 118(1)(d) (d) the Financial Warrantor no longer has the financial ability to carry out the obligations under the Act.
- 118(2) (2) Whenever the Board, based on information and belief, has reason to believe that a Financial Warranty is subject to forfeiture, the Board shall so notify the Operator and all Financial Warrantors. The Board shall afford the Operator and all Financial Warrantors the right to appear before the Board at a hearing to be held not less than thirty (30) days after the parties' receipt of said Notice.
- 118(3)(a) (3) At any such hearing, the Board shall be empowered to:
 - (a) withdraw or modify any determination that the Financial Warranty is subject to forfeiture;
 - (b) settle or compromise the determination; or
 - (c) confirm its determination that the Financial Warranty should be forfeited.
- 118(3)(b) (4) Upon finding that a Financial Warranty should be forfeited, the Board shall issue written findings of fact and conclusions of law to support its decision and shall issue an order directing affected Financial Warrantors to immediately deliver to the Board all amounts warranted by applicable Financial Warranties.
- 118(4)(a) (5) The Board, upon issuing any order pursuant to Rule 4.20(3), may request the Attorney General to institute proceedings to secure or recover amounts warranted by forfeited Financial Warranties. The Attorney General shall have the power, inter alia, to:
 - 118(4)(a)(I) (a) foreclose upon any real and personal property encumbered for the benefit of the state;
 - 118(4)(a)(II) (b) collect, present for payment, take possession of, and otherwise reduce to cash any property held as security by the Board;
 - 118(4)(a)(III) (c) dispose of pledged property.

- 117(3)(a)
118(4)(b)
- (6) The amount of any forfeited Financial Warranty shall be a lien in favor of this state upon any project-related fixtures or equipment offered as proof of financial responsibility pursuant to Section 34-32.5-117(3)(f)(V)(C)-(E), C.R.S. 1984, as amended.
- 118(4)(c)
- (7) Said lien shall have priority over all other liens and encumbrances irrespective of the date of recordation, except liens of record on the effective date of this Act and liens of the United States, the state, and political subdivisions thereof for unpaid taxes, and shall attach and be deemed perfected as of the date the Board approves issuance of the Permit.
- 118(5)
- (8) Funds recovered by the Attorney General in proceedings brought pursuant to Rule 4.20 shall be held in the account described in Section 34-32.5-122, C.R.S. 1984, as amended, and shall be used to reclaim lands covered by the forfeited warranties, except that, five percent (5%) of the amount of the Financial Warranty forfeited and recovered shall be deposited in the Mined Land Reclamation Fund, created in Section 34-32-127, C.R.S. 1984, as amended, to cover the administrative costs incurred by the Office in performing reclamation.
- (9) The Board shall have a right of entry to reclaim said lands. Upon completion of such reclamation, the Board shall present to the Financial Warrantor a full accounting and shall refund all unspent moneys.
- 118(6)
- (10) Defaulting Operators/Permittees shall remain liable for the actual cost of reclaiming Affected Lands, less any amounts expended by the Board pursuant to Rule 4.20(8), notwithstanding any discharge of applicable Financial Warranties.
- 118(7)
- (11) Notwithstanding any provision of this Rule to the contrary, a corporate surety may elect to reclaim Affected Lands in accordance with an approved plan in lieu of forfeiting a bond penalty, or in accordance with the approved Plan acceptable to the Board or Office, otherwise the Board may forfeit the fund and perform reclamation.

RULE 5: **EXPLORATION OPERATIONS**

5.1 NOTICE OF INTENT TO CONDUCT EXPLORATION OPERATIONS

5.1.1 General Provisions

- 113(1) Any person desiring to conduct exploration shall, prior to entry upon the land, file with the Office a Notice of Intent to Conduct Exploration on a form provided by the Board.

5.1.2 Application Requirements

Such notice form shall contain the following:

- (a) date of filing of the Notice of Intent;
- 113(2)(a) (b) the name, address, and telephone number of the Person conducting exploration;
- (c) the name address, and telephone number of the a person to contact concerning the information in the NOI and reclamation of lands affected by exploration;
- 113(2)(d) (d) a description of lands, including:
- (i) the site name, if applicable;
- (ii) the location, by each quarter section, section, township and range;
- (iii) where Public Land is involved, specify the land management agency, mailing address and telephone number;
- (iv) the estimated acreage of land surface to be affected by the exploration activities to include areas affected by access along routes for which reclamation is the responsibility of the Person conducting exploration; and
- (v) a U.S.G.S. 7.5 minute quadrangle, or similar map of adequate scale, that:
- (A) identifies the proposed exploration site(s) or activity areas involving surface disturbance. Activity areas may include all drill holes, mud pits, excavations, trenches, and explorations roads; and
- (B) includes sufficient detail to identify and locate all known exploration features and facilities that may be affected and those that are not anticipated to be affected. This includes the location of all drill holes, mud pits, excavations, trenches, and exploration roads.
- (vi) provide documentation of the legal right to enter to conduct exploration and reclamation, for Owners of Record described in Rule 1.6.2(1)(e)(i). This may include a copy of a lease, deed, abstract of title, a current tax receipt, or a signed statement by the Landowner and acknowledged by a Notary Public stating that the

Person conducting exploration has legal right to enter to conduct exploration and reclamation.

- 113(2)(e) (e) the approximate date of anticipated commencement and the date of completion of the above described exploration activity. Completion of activities and commencement of reclamation shall not exceed five (5) years unless approved by the Office or Board;
- 113(2)(c) (f) a narrative description of the methods to be used to conduct the exploration operation, including, but not limited to, the types and uses of equipment, drilling, road or other access route construction, excavations, and other site disturbance activities;
- 113(2)(f)
116(4) (g) the measures to be taken to reclaim any affected land consistent with the applicable requirements of Rule 3.1. Such reclamation must be completed within five (5) years of the completion of exploration activities notice provided for in Rule 5.6;
- 113(2)(b) (h) a statement that exploration will be conducted pursuant to the terms and conditions listed on the approved form; and
- (i) an application fee as specified in Section 34-32.5-125(a)(IX), C.R.S.

5.1.3 Office Review

Upon receipt by the Office of a NOI to Conduct Exploration, the Office shall timely notify the Person conducting exploration, in writing, of receipt of the NOI.

- (a) Review of a NOI and associated Financial Warranty information is required by the Office within twenty (20) working days of receipt by the Office. If the Person conducting exploration has not been notified of any deficiencies of the NOI form or Financial Warranty by the Office within twenty (20) working days of receipt by the Office of the NOI, exploration operations may commence. For activities on BLM or USFS lands, the twenty (20) working day period begins when the Office has received notification from the appropriate federal land management agency that they have received the notice of proposed activities, or the Office has otherwise determined that the appropriate federal land management agency has received the notice.
- (b) If the Office has notified the Person conducting exploration within twenty (20) working days of receipt of a NOI that it has not been filed in accordance with Rule 5.3, has been deemed complex, or of deficiencies in the Financial Warranty, the Person conducting exploration shall address all identified deficiencies or complexities within sixty (60) days of the Office notification. If the NOI deficiencies or Construction Materials Rule 5 complexities are not addressed within sixty (60) days, the Office may terminate the NOI file. The Office shall notify the Person conducting exploration of such termination.
- (c) (i) The Office shall send notice of its decision on a NOI to the Person conducting exploration;
- (ii) A prospective Person conducting exploration may appeal an Office determination within five (5) business days from the date the Office sends notice of its decision;

- (iii) The Board shall hear any such appeal at its next regularly scheduled meeting that is at least ten (10) calendar days from the date of such appeal; and
- (iv) The Office's determination shall not take effect until the expiration of the five (5) business days allowed for an appeal, or, in the case of an appeal, until the Board issues its decision.

5.2 CONFIDENTIALITY

113(3) 5.2.1 Notice, Not a Matter of Public Record

All information provided the Office in a Notice of Intent to Conduct Exploration shall be protected as confidential information by the Board and not be a matter of public record in the absence of written release from the Operator or upon a finding by the Board that reclamation is satisfactory, whichever may first occur.

113(3) 113(7)(c) 113(7)(d) 5.2.2 Permanently Confidential

Pursuant to Sections 34-32.5-113(3) and 34-32.5-113(7)(c) and (d), C.R.S. 1984, as amended, all information contained within the temporary and final reports, required in accordance with Rules 5.4.3 and 5.6.1 shall remain permanently confidential.

5.3 TERMS AND CONDITIONS FOR EXPLORATION OPERATIONS

5.3.1 Protection of Surface Areas

The Exploration Operations described in this notice will be conducted in such a manner as to minimize surface disturbances. In addition to the measures required in Rules 5 and 3.1, precautions to be taken include:

- (a) confinement of operations to areas near existing roads or trails where practicable;
- (b) drilling shall be conducted in such a way as to prevent cuttings and fluids from directly entering any dry or flowing stream channels;
- (c) timely abandonment of drill holes upon completion as required by Rule 5.4;
- (d) reclamation of affected lands upon completion of operations or phases of an operation; and
- (e) backfilling and revegetating any pits.

5.3.2 Protection of Wildlife

The Exploration Operation shall be conducted as to minimize adverse effects upon wildlife.

113(4)

5.3.3 Financial Warranty

- (1) Upon filing the Notice of Intent to Conduct Exploration, the person shall provide Financial Warranty in the amount of two thousand dollars (\$2,000.00) per acre of the land to be disturbed, or such other amount as determined by the Office, based on the projected costs of reclamation.
- (2) A person may submit statewide Warranties for exploration if Warranties are in an amount fixed by the Office, based on the projected costs of reclamation, and such person otherwise complies with the provisions of this Rule for every area to be explored. (Further information on Performance and Financial Warranty procedures may be found in Rule 4.)

113(5)

5.3.4 Notice of Completion of Exploration Prior to Initiating Reclamation

- (1) Upon completion of the exploration, there shall be submitted to the Office a Notice of Completion of Exploration Operations.
- (2) Within ninety (90) days after the submittal of the Notice of Completion the Office shall notify the person who had conducted the Exploration Operations of the steps necessary to reclaim the land. (In most cases, this will simply involve a conference to discuss the Reclamation Plans outlined in the Notice of Intent that was previously submitted by that person.)

113(8)

5.3.5 Post-Reclamation - Inspection and Release of Warranties

- (1) The Office shall inspect the lands explored within ninety (90) days after the Person conducting exploration on the lands submits a Reclamation Report and request for reclamation responsibility release, meeting the requirements of Rule 4.16.1(2), including permanent abandonment of all exploration drill holes as required by Rule 5.4.2 or 5.4.5. If the Office finds the reclamation satisfactory, the Office shall release the applicable Performance and Financial Warranties.
- (2) The Financial Warranty shall not be held for more than sixty (60) days after the date the Office determines that reclamation has been completed satisfactorily (including permanent abandonment of all exploration drill holes).

5.3.6 Compliance with State and Federal Laws

All Exploration Operations shall be conducted in such a manner as to comply with all applicable state and federal laws, air and water quality laws and regulations, the Act, and these Rules and Regulations.

5.4 ABANDONMENT OF EXPLORATION DRILL HOLES

5.4.1 General Provisions

113(6) (1) Without regard to any exemptions from reclamation responsibility described in or authorized under Rule 1.(13) or any other provision of the Act or these Rules, all drill holes sunk (drilled) for the purpose of exploration for locatable or leasable minerals shall be permanently plugged, sealed or capped pursuant to the requirements of this Rule immediately following the drilling of the hole and the collection of drill hole information; unless provision is made pursuant to Rule 5.4.3 to temporarily abandon the hole, pursuant to Rule 5.4.4 to maintain the hole for purposes of monitoring, or pursuant to Rule 5.4.5 to convert the hole to a water well.

(2) This Rule shall not apply to holes drilled within the affected area in conjunction with a mining operation for which the Board or Office has issued a permit, nor to wells or holes drilled for the purposes of coal exploration, exploration or removal of oil and gas, nor to geothermal wells or water wells, nor to holes drilled from within underground mine workings. For purposes of this Rule, "permanent abandonment" of a exploration drill hole shall be defined as abandonment in conformance with the requirements of Rule 5.4.2 or 5.4.5, or inclusion within the permit boundary of a mining operation for which the Board or Office has issued a Permit.

113(7)(d) (3) Permanent abandonment shall be attested by the submission of a final report, as described in Rule 5.6.

5.4.2 Permanent Abandonment of Exploration Drill Holes

113(7)(c) (1) Any drill hole which evidences artesian flow of groundwater to the surface shall be plugged with neat cement grout, or a similar material sufficient to prevent such artesian flow, as approved by the Office. The Operator should exercise care in evaluating the existence of artesian flow in fluid or mud-drilled holes, in which artesian flow may be temporarily inhibited by the presence of the drilling fluid or mud.

113(7)(a)(II)(A) (2) Any drill hole which encounters an aquifer in consolidated rock formations, shall be sealed, utilizing a high-quality sodium bentonite-type gel, specifically developed for use as an abandonment fluid, or an equivalent material or technique as approved by the Office.

(3) Any drill hole limited to unconsolidated material and less than ten (10) feet of penetration into bedrock, shall be backfilled with materials removed from the drill hole, or an equivalent material or technique as approved by the Office. If the materials removed from the hole during drilling are inadequate to backfill the drill hole, materials representative of the undisturbed unconsolidated materials shall be backfilled into the drill hole.

(4) Any drill hole that penetrates saturated unconsolidated materials and continues more than ten (10) feet into bedrock shall be abandoned in a manner sufficient to prevent inter-mixture of aquifers.

(5) Any drill hole that penetrates unsaturated unconsolidated materials and continues deeper than ten (10) feet into bedrock, but does not encounter an aquifer, shall be securely capped, as approved by the Office.

113(7)(d) (6) The Operator conducting the exploration shall submit to the Director of the Office a copy of the final report required under Rule 5.6.

5.4.3 Temporary Abandonment of Exploration Drill Holes

113(7)(b)

An exploration drill hole may be temporarily abandoned without being permanently plugged or sealed. However, no drill hole which is to be temporarily abandoned without being plugged or sealed shall be left in such a condition as to allow fluid communication between aquifers, consistent with the Rules and Regulation for Water Well Construction, Pump Installation, and Monitoring and Observation Hole/Well Construction ("Water Well Construction Rules"), 2 CCR 402-2, and specifically Rules 10.1 and 10.4.5 of the Water Well Construction Rules, and their applicable subsection therein. Such temporarily abandoned drilled holes shall be securely capped in a manner which prevents unauthorized entry and injury to persons and animals. (Copies of the above-referenced Rule may be reviewed at the Office during normal business hours (8:00 a.m. to 5:00 p.m.) on working days. Contact the Minerals Program Supervisor at the Office address. The Water Well Construction Rules are also available from the Board of Examiners of Water Well Construction and Pump Installation Contractors ("Board of Examiners") at the Division of Water Resources or can be viewed and obtained at the Board of Examiners' web site at www.boe.state.co.us)

5.4.4 Conversions to a Monitoring Well

An exploration drill hole may be converted to a monitoring well for the purpose of groundwater or geophysical monitoring, if the Operator conducting the exploration:

- (a) has obtained the necessary permit from the State Engineer (Division of Water Resources);
- (b) cases and seals the drill hole in accordance with the requirements of the Water Well Construction;
- (c) caps the drill hole to prevent unauthorized entry and injury to persons and animals; and
- (d) submits to the Office a copy of the "Well Construction and Test Report" submitted to the Division of Water Resources describing the method and materials used in casing and sealing the drill hole to prevent commingling of aquifer waters.

5.4.5 Use as, or Conversion to, a Water Well

113(7)(b)(IV)

- (1) If any exploration drill hole or monitoring well will ultimately be used as, or converted to, a water well:
 - (a) the user of the water well must have obtained an approved well permit from the Colorado Division of Water Resources, in accordance with Articles 90, 91 and 92 of Title 37, C.R.S.; and
 - (b) the Operator conducting the exploration shall submit to the Office the permanent abandonment report required by Rule 5.6 with an attached copy of the completely executed "Well Construction and Report," submitted to the Colorado Division of Water Resources as required by the Board of Examiners of the Water Well Construction and Pump Installation Contractors.

- (i) The Operator need not complete those portions of the permanent abandonment report which duplicate information contained on the "Well Construction and Test Report."
- (2) The user of the water well may assume the Operator's responsibility for maintenance of the temporary abandonment and completion of the permanent abandonment of a exploration drill hole or monitoring well proposed to be converted to a water well, if the following requirements are satisfied:
 - (a) the user of the water well must submit a copy of the completely executed well permit to the Mined Land Reclamation Office; and
 - (b) the user of the water well and the Operator conducting the exploration must submit a completely executed "Request for Transfer of Responsibility for Abandonment of a Exploration Drill Hole Converted to a Water Well" to the Office.

5.5 SURFACE RECLAMATION

5.5.1 General Requirements

All lands affected by drilling must be reclaimed to a condition appropriate for the land use existing prior to exploration, or other beneficial use, upon completion of exploration.

5.5.2 Specific Requirements

This reclamation shall include, but not be limited to, the following:

- (a) trash must be removed from the site;
- (b) vegetation cleared from the site must be properly disposed of or dispersed;
- (c) drill cuttings must be spread to a depth no greater than one-half (1/2) inch or buried in an approved disposal pit;
- (d) mud pits, excavations, trenches, or other disturbance shall be backfilled and graded to blend with the surrounding land surface;
- (e) if vegetative cover was destroyed, an appropriate seed mix shall be used in the first normal period favorable for planting;
- (f) if necessary to assure successful revegetation, the drill site area shall be scarified, mulched and the seed covered; and
- (g) reclamation shall be completed in accordance with all applicable requirements of Rule 3.1.

5.6 FINAL REPORT

5.6.1 General Requirements

113(7)(c)
113(7)(d)

- (1) No later than sixty (60) days after the completion of the abandonment of any drill hole which has artesian flow at the surface, or no later than twelve (12) months after the completion of the abandonment of any other drill holes, the Operator conducting the exploration shall submit to the Director of the Office a report containing:
 - (a) the date of completion of abandonment;
 - (b) the location of such hole:
 - (i) for holes having artesian flow at the surface, within two hundred (200) feet of its actual location; or
 - (ii) for all other holes, to the nearest forty (40) acre subdivision.
 - (c) For holes having artesian flow at the surface, the estimated rate of flow (if such is known); and
 - (d) a description of the plugging, sealing, and capping techniques used.
 - (i) When mud is used for abandonment, the description shall include the viscosity (marsh funnel viscosity) of the mud when the drill hole reached bottom, the trade name of the abandonment mud utilized, and the final viscosity (marsh funnel viscosity) of the abandonment mixture.
 - (ii) When cement is used to abandon the drill hole, the description shall include a description of the cement grout mixture utilized to seal and plug the hole.
- (2) In the case of closely spaced drill holes having similar geologic and hydrologic characteristics, the Operator may, with the approval of the Office, submit a single consolidated final report including the locations of all drill holes, and the abandonment technique.
- (3) The final report and all information contained therein shall be confidential in nature and shall not be matter of public record.
- (4) The report shall be signed by the Operator conducting the exploration operation, attesting to the accuracy of the information contained therein.

5.7 WAIVER OF SPECIFIC REPORTING REQUIREMENTS REGARDING AQUIFERS

113(7)(e)

The Director of the Office may waive the administrative provisions of Rules 5.4.2(6) and 5.4.4(c) which pertain to aquifers (report requirements) upon approval of a written application submitted to the Director.

5.8 ANNUAL REPORT AND FEE

- (1) An annual report must be submitted by the anniversary date of the Notice of Intent (NOI) approval for each year until a reclamation responsibility release is granted. The Annual Report shall include all information specified on the Annual Report Form, in the format required by the Office. The annual report shall contain:
 - (a) an updated map showing the location of all holes drilled, any roads constructed, areas disturbed and areas reclaimed to date, including identification of disturbance and reclamation activities which have occurred in the preceding year. Exploration disturbance and reclamation must be identified on a site map of adequate scale to field locate these areas, which may include;
 - (i) coordinates reported in latitude and longitude in degrees, minutes and seconds or in decimal degrees to an accuracy of at least five (5) decimal places (e.g., latitude 37.12345 N, longitude 104.45678 W); or
 - (ii) coordinates based on the Universal Transverse Mercator (UTM) North American Datum (NAD). For UTM, the Prospector will need to specify NAD 1927, NAD 1983 or WGS 84, and the applicable zone, measured in meters.
- (2) On the anniversary date of the Notice of Intent (NOI) approval, the Person conducting exploration shall submit to the Office an annual fee as specified in Section 34-32.5-125(b)(iv), C.R.S.

RULE 6: **PERMIT APPLICATION EXHIBIT REQUIREMENTS**

6.1 REQUIREMENTS FOR SPECIFIC OPERATIONS

6.1.1 General Provisions

This Rule provides for the specification of Exhibits required to be submitted along with each type of Permit application.

6.1.2 110, 110(6) Limited Impact, 111 Special Operations

These operations shall provide all the Exhibits, as described in Rule 6.3. Rule 6.5 (Geotechnical Stability Exhibit) may also be required on a case-by-case basis.

6.1.3 112 Reclamation Permit Operations

These operations shall provide all the Exhibits, as described in Rule 6.4. Rule 6.5 (Geotechnical Stability Exhibit) may also be required on a case-by-case basis.

6.2 GENERAL REQUIREMENTS OF EXHIBITS

6.2.1 General Requirements

- (1) This Rule provides for the guidelines for, and information requirements of, each Exhibit required to be submitted with the permit application, as specified according to Rule 6.1.
- (2) Maps and Exhibits
 Maps, except the index map, must conform to the following criteria:
 - (a) show name of Applicant;
 - (b) must be prepared and signed by a registered land surveyor, professional engineer, or other qualified person;
 - (c) give date prepared;
 - (d) identify and outline the area which corresponds with the application;
 - (e) with the exception of the map of the affected lands required in Section 34-32.5-112(2)(d), C.R.S. 1984, as amended, shall be prepared at a scale that is appropriate to clearly show all elements that are required to be delineated by the Act and these Rules. The acceptable range of map scales shall not be larger than 1 inch = 50 feet nor smaller than 1 inch = 660 feet. Also, that a map scale, appropriate legend, map title, date and a north arrow shall be included.

110
112

110
111

6.3 SPECIFIC PERMIT APPLICATION EXHIBIT REQUIREMENTS - 110 OR 110(6) LIMITED IMPACT and 111 SPECIAL OPERATIONS

6.3.1 EXHIBIT A - Legal Description and Location Map

- (1) The legal description must identify the affected land, specify affected areas and be adequate to field locate the property. Description shall be by (a) township, range, and section, to at least the nearest quarter-quarter section, and (b) location of the main entrance to the mine site reported as latitude and longitude, or the Universal Transverse Mercator (UTM) Grid as determined from a USGS topographic map. A metes and bounds survey description is acceptable in lieu of Township, Range, and Section. Where available, the street address or lot number(s) shall be given. This information may be available from the County Assessor's office or U.S. Geological Survey (USGS) maps.
- (2) The main entrance to the mine site shall be located based on a USGS Topographic map showing latitude and longitude or Universal Transverse Mercator (UTM). The operator will need to specify coordinates of latitude and longitude in degrees, minutes and seconds or in decimal degrees to an accuracy of at least five (5) decimal places (e.g., latitude 37.12345 N, longitude 104.45678 W). For UTM, the operator will need to specify North American Datum (NAD) 1927, NAD 1983, or WGS 84, and the applicable zone, measured in meters.
- (3) A map showing information sufficient to determine the location of the affected land on the ground and existing and proposed roads or access routes to be used in connection with the mining operation. Names of all immediately adjacent surface owners of record shall also be shown. A standard U.S. Geological Survey topographic quadrangle or equivalent is acceptable. The location of the proposed operation shall be shown and labeled with the mine site name.

6.3.2 EXHIBIT B - Site Description

Items (a)-(c) below must be addressed to the extent necessary to demonstrate compliance with the applicable performance standard requirements of Rule 3. At a minimum, the Operator/Applicant shall include the following information:

- (a) a description of the vegetation and soil characteristics in the area of the proposed operation. The local office of the Natural Resources Conservation Service (NRCS) may provide you with this information as well as recommendations for Exhibit D - Reclamation Plan;
- (b) identify any permanent man-made structures within two hundred (200) feet of the affected area and the owner of each structure. Each structure should be located on Exhibit E - Map;
- (c) a description of the water resources in the area of the proposed operation. Identify any streams, springs, lakes, stock water ponds, ditches, reservoirs, and aquifers that would receive drainage directly from the affected area. Provide any information available from publications or monitoring data on flow rates, water table elevations and water quality conditions; and

- (d) A wildlife statement prepared by the Colorado Parks and Wildlife (CPW) is not required for 111 Special Operations, or 110, or 110(6) Limited Impact Operations. The Operator/Applicant may contact the local CPW representative to verify that no critical or important wildlife habitats or wildlife species will be impacted by the proposed operation.

6.3.3 EXHIBIT C - Mining Plan

The purpose of the mining plan is to describe how mining will affect the permit area for the duration of the operation. This plan must be correlated to Exhibit E - Map. The description of the mining plan must be adequate to satisfy the requirements of Rule 3.1 and demonstrate compliance with Rule 3. At a minimum, the Operator/Applicant must include the following information:

- (a) specify the estimated dates that mining will commence and end. If the operation is intended to be an intermittent operation as defined in C.R.S 34-32.5-103(11)(b), the Applicant should include in this exhibit a statement that conforms to the provisions of Section 34-32.5-103(11)(b), C.R.S.;
- (b) the estimated depth to which soil, suitable as a plant growth medium, will be salvaged for use in the reclamation process. This description must be consistent with information provided in Exhibit B. Sufficient soil must be salvaged to meet the vegetation establishment criteria of Rule 3.1.10. If plant growth medium is not reapplied on a graded area immediately after salvage, then the Operator/Applicant must specify how the topsoil will be stockpiled and stabilized with a vegetative cover or other means until used in reclamation. Plant growth medium stockpiles must be located separate from other stockpiles, out of the way of mine traffic and out of stream channels or drainage ways. The location of plant growth medium stockpiles must be shown on Exhibit E - Map;
- (c) specify the thickness of overburden or quantity of waste rock, if any, to be removed to reach the deposit. The location of any overburden stockpiles or waste rock fills must be shown on Exhibit E - Map;
- (d) specify the thickness of the deposit to be mined;
- (e) describe the major components of the mining operation such as: roads and access routes, pit, office, shop/maintenance buildings, plant, processing facilities, and any underground openings such as adits or ventilation facilities. These components must be located on Exhibit E - Map;
- (f) specify the dimensions of any significant disturbances to the land surface such as pit excavations, mine benches, impoundments, stockpiles, waste rock disposal areas, etc.;
- (g) specify the dimensions of any existing or proposed roads that will be used for the mining operation. Describe any improvements necessary on existing roads and the specifications to be used in the construction of new roads. New or improved roads must be included as part of the affected lands and permitted acreage. Affected land shall not include off-site roads which existed prior to the date on which notice was given or permit application was made to the office and which were constructed for purposes unrelated to the proposed mining operation and which will not be substantially upgraded to support the mining

operation. Describe any associated drainage and runoff conveyance structures to include sufficient information to evaluate structure sizing;

- (h) specify how much water will be used in conjunction with the operation, and the source of this water;
- (i) if groundwater will be encountered and/or surface water intercepted or disturbed, describe how mining will affect the quantity and quality of the surface or groundwater and the methods to be used to minimize disturbance to the surface and groundwater systems including proposed dewatering, sediment-containment or chemical treatment systems, storm water run-off controls, and groundwater points of compliance;
- (j) specify how you will comply with applicable Colorado water laws and regulations governing injury to existing water rights;
- (k) if refuse and acid or toxic producing materials are exposed during mining, describe how they shall be handled and disposed of in a manner that will control unsightliness and protect the drainage system from pollution;
- (l) describe what measures will be taken to minimize disturbance to the hydrologic balance, prevent off-site damage, and provide for a stable configuration of the reclaimed area consistent with the proposed future land use;
- (m) specify whether the deposit will be processed on-site. If the deposit will be processed, then describe the nature of the process, facilities and chemicals utilized. The process area and any structures must be described on Exhibit E - Map;
- (n) identify the primary and secondary commodities to be mined/extracted and describe the intended use; and
- (o) name and describe the intended use of all expected incidental products to be mined/extracted by the proposed operation.
- (p) Specify if explosives will be used in conjunction with the mining or reclamation operation. In consultation with the Office, the Applicant must demonstrate, pursuant to Rule 6.5(4), Geotechnical Stability Exhibit, that off-site areas will not be adversely affected by blasting during mining or reclamation operations.

6.3.4 EXHIBIT D - Reclamation Plan

- (1) The purpose of the Reclamation Plan is to describe the timing, procedures, criteria and materials that will be used to reclaim the affected land to the proposed future land use. This plan must be correlated to Exhibit E - Map. The description of the Reclamation Plan must be adequate to satisfy the requirements of Rule 3.1 and demonstrate compliance with Rule 3. At a minimum, the Application shall include the following information:
 - (a) specify at what point in the mining plan and to what depth(s) overburden will be replaced in relation to ongoing extraction.

- (b) specify the maximum gradient of reclaimed slopes (horizontal:vertical). If the Application proposes slopes steeper than 3:1, the Operator/Applicant must include a justification that supports steeper slopes for the proposed post-mining land use, and demonstrates compliance with the applicable performance standards of Rule 3.1.
- (c) specify the measures that will be taken to revegetate the site, if applicable, including
 - (i) state the thickness of plant growth medium to be replaced. Sample and analyze available soils sufficiently to establish quantity and quality;
 - (ii) state at what point in the mining plan the site will be seeded. Explain how the seedbed will be prepared to eliminate compacted conditions (e.g., plowed, chiseled, disced). State the type, application rate, and soil incorporation methods of fertilizer application, if any. NOTE: Soil amendments shall only be applied where soil tests indicate nutrient deficiencies for the plant species to be established;
 - (iii) state the grass, forb, shrub and tree species to be planted and the applicable quantities. Specify the quantity of each grass and forb species as pounds of pure live seed per acre;
 - (iv) specify the application method for grass and forb seeding. If the seed is to be broadcast, the application rate shall be twice the rate required for seed drilling. If the seedbed has not been adequately roughened prior to seeding, the seed shall be raked or harrowed after broadcast application;
 - (v) if a mulch is needed, specify the kind to be used, the crimping method, and rate of application; and
 - (vi) explain the establishment methods for each species of shrub and/or tree, and state the number of each to be established per acre.
- (d) Specify which ponds, streams, roads and buildings, if any, will remain after reclamation. These features must be shown on the Exhibit E - Map. If ponds are part of the Reclamation Plan, slopes from five (5) vertical feet above to ten (10) vertical feet below the expected average water level cannot be steeper than 3H:1V; remaining slope lengths may not be steeper than 2H:1V. Where wildlife habitat is the proposed future land use, shorelines should be irregularly shaped to promote a diverse wildlife habitat. Colorado Parks and Wildlife (CPW) must be consulted where wildlife use is the proposed future land use.
- (e) Specify the reclamation treatment of any waste rock dumps, underground mine openings, ditches, sediment control facilities, buildings and other features specified in your mine plan but not previously addressed in the Reclamation Plan narrative. These features must be shown on Exhibit E - Map. This should describe the measures taken to minimize disturbance to the hydrologic balance, prevent off-

site damage, and provide for a stable configuration consistent with the proposed future land use.

117(4)(a)

- (2) All 110 Limited Impact and 111 Special Operation applications must provide an estimate of the actual costs to reclaim the site based on what it would cost the State of Colorado using an independent contractor to complete reclamation. (Such estimates are not required for activities contemplated by the operator and approved by the Office to be outside the scope of the proposed reclamation plan.) The unit costs should include estimates for the following activities as appropriate to the operation: backfilling, grading, topsoil application, seeding, mulching, fertilization, and labor to complete reclamation. Determine and specify the point during the operation when the site has reached a point of maximum disturbance. The cost to reclaim the site to the specifications of the Reclamation Plan at this point must be estimated. Unit costs (cost per cubic yard), volumes, haul or push distances, and grades must be included when backfilling and grading are part of the Reclamation Plan. Volume and unit costs for finish grading, subsoil and topsoil application must be provided in terms of cost per cubic yard. The estimated cost for fertilizer, seed and mulch acquisition and application must be provided as cost per acre.
- (a) Equipment costs must include such factors as equipment operator wages and benefits, fuel and lubricant consumption and depreciation. The cost to mobilize and demobilize the equipment from the nearest population center known to have the required equipment availability should be estimated.
- (b) All items referenced in the Reclamation Plan must be included in the cost calculation. These items in addition to earthwork, such as building demolition, fencing, monitoring well sealing or stream channel reconstruction must also be included in the reclamation cost estimate.
- (c) After the direct costs noted above have been estimated, the Office may add up to an additional maximum eighteen and one-half percent (18.5%) of that total, which includes private contract, typical overhead costs. This additional cost is required to cover indirect costs that an independent contractor would incur when performing reclamation of the site. Five percent (5%) additional cost shall be added to cover Office administration cost in the event of bond forfeiture and permit revocation.

6.3.5 EXHIBIT E - Map

- (1) In addition to the requirements of Rule 6.2.1(2), the Operator/Applicant must provide a map that clearly describes the features associated with the mining plan and the components of the Reclamation Plan. Include one (1) map for the mine plan and one (1) map for the Reclamation Plan. The map(s) must be drawn to a scale no smaller than appropriate to clearly show all elements that are required to be delineated by the Act and these Rules; show a north arrow, note any section corners adjacent to the proposed operation, and indicate the date illustrated. At a minimum, maps must include the following information:
- (2) Mining Plan Map
- (a) outline and label the permit boundaries, described in Exhibit A - Legal Description; for all 110 Limited Impact and 111 Special Operations, the Office considers the area bounded by the permit boundary to be analogous to the affected area;

- (b) label the names of owner(s) of record of the surface of the affected area and of the land within two hundred (200) feet of the affected area, identify the owner of the substance to be mined, and the type of structure and owners of record of any permanent or man-made structures within two hundred (200) feet of the affected area;
 - (c) outline and label all major surface features to be used in connection with the proposed operation such as: existing and proposed roads, pit boundary, topsoil stockpiles, overburden stockpiles, product stockpiles, waste rock fills, stream channels, buildings, processing plant, underground openings such as adits or ventilation facilities, ponds, impoundments, dewatering pumps, diversions or waste disposal areas;
 - (d) indicate the direction that construction material extraction will proceed;
 - (e) note the location of any significant, valuable, and permanent man-made structures within two hundred (200) feet of the affected area. A narrative description must be provided in Exhibit B - Site Description; and
 - (f) outline and label existing disturbance within and/or adjacent to the permit boundary (e.g., previously mined areas, roads or excavations resulting from utility construction). Re-disturbance of previously disturbed areas, by the proposed mining operation, must be included in the permit area and addressed in Exhibit D - Reclamation Plan.
- (3) Reclamation Plan Map
- (a) show the gradient of all reclaimed slopes (horizontal:vertical) sufficient to describe the post mine topography;
 - (b) indicate where vegetation will not be established and the general area(s) for shrub or tree planting;
 - (c) if ponds are a part of the Reclamation Plan, outline the final shore configuration of the ponds and shallow areas if the future land use is for wildlife;
 - (d) state the average thickness of replaced overburden by reclamation area or phase; and
 - (e) state the average thickness of replaced topsoil by reclamation area or phase.

6.3.6 EXHIBIT F - List of Other Permits and Licenses Required

Provide a statement identifying which of the following permits, licenses and approvals which are held or will be sought in order to conduct the proposed mining and reclamation operations: effluent discharge permits, air quality emissions permits, radioactive source materials licenses, disposal of dredge and fill material (404) permits, permit to construct a dam, well permits, explosives permits, State Historic Preservation Office clearance, highway access permits, U.S. Forest Service permits,

Bureau of Land Management permits, county zoning and land use permits, and city zoning and land use permits.

6.3.7 EXHIBIT G - Source of Legal Right-to-Enter

Provide documentation of the legal right to enter to conduct mining and reclamation, for Owners of Record described in Rule 1.6.2(1)(e)(i). This may include a copy of a lease, deed, abstract of title, a current tax receipt, or a signed statement by the Landowner(s) and acknowledged by a Notary Public stating that the Operator/Applicant has legal right to enter to conducting mining and reclamation.

6.3.8 EXHIBIT H - Municipalities Within a Two-mile Radius

List the mailing address and telephone number of the governing body for all municipalities within a two (2) mile radius of the proposed mining operation.

6.3.9 EXHIBIT I - Proof of Filing with County Clerk

An affidavit or receipt indicating the date on which the application was placed with the local County Clerk and Recorder for public review, pursuant to Rule 1.6.2(1)(c).

6.3.10 EXHIBIT J - Proof of Mailing of Notices to Board of County Commissioners and Conservation District

Proof that notice of the permit application was sent to the Board of County Commissioners and, if the mining operation is within the boundaries of a Conservation District, to the Board of Supervisors of the local Conservation District, pursuant to Rule 1.6.2(1)(a)(ii).

6.3.11 EXHIBIT K - Terms of Governmental Contract

For Special 111(1)(a) Operation applicants only, provide a copy of the signed government contract or other documentation verifying the necessity of a Special 111(1)(a) Operation permit. Provide any required evidence of Performance and Financial Warranties provided under the governmental contract.

6.3.12 EXHIBIT L - Permanent Man-Made Structures

Where the affected lands are within two hundred (200) feet of any significant, valuable and permanent man-made structure, the applicant shall:

- (a) provide a notarized agreement between the Applicant and the Person(s) having an interest in the structure, that the Applicant is to provide compensation for any damage to the structure; or
- (b) where such an agreement cannot be reached, the Applicant shall provide an appropriate engineering evaluation that demonstrates that such structure shall not be damaged by activities occurring at the mining operation; or

- (c) where such structure is a utility, the applicant may supply a notarized letter, on utility letterhead, from the owner(s) of the utility that the mining and reclamation activities, as proposed, will have "no negative effect" on their utility.

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6.4 SPECIFIC EXHIBIT REQUIREMENTS - 112 RECLAMATION OPERATION

6.4.1 EXHIBIT A - Legal Description

- (1) The legal description must identify the affected land, specify affected areas and be adequate to field locate the property. Description shall be by (a), township, range, and section, to at least the nearest quarter-quarter section and (b), location of the main entrance to the site reported as latitude and longitude, or the Universal Transverse Mercator (UTM) Grid as determined from a USGS topographic map. A metes and bounds survey description is acceptable in lieu of township, range, and section. Where available, the street address or lot number(s) shall be given. This information may be available from the County Assessor's office or U.S. Geological Survey (USGS) maps.
- (2) The main entrance to the mine site shall be located based on a USGS topographic map showing latitude and longitude or Universal Transverse Mercator (UTM). The operator will need to specify coordinates of latitude and longitude in degrees, minutes and seconds or in decimal degrees to an accuracy of at least five (5) decimal places (e.g., latitude 37.12345 N, longitude 104.45678 W). For UTM, the operator will need to specify North American Datum (NAD) 1927, NAD 1983, or WGS 84, and the applicable zone, measured in meters.

6.4.2 EXHIBIT B - Index Map

An index map showing the regional location of the affected land and all roads and other access to the area. A standard U.S. Geological Survey topographic quadrangle or equivalent is acceptable. Scale criteria need not be followed for this map.

6.4.3 EXHIBIT C - Pre-mining and Mining Plan Map(s) of Affected Lands

One or more maps may be necessary to legibly portray the following information:

- (a) all adjoining surface owners of record;
- (b) the name and location of all creeks, roads, buildings, oil and gas wells and lines, and power and communication lines on the area of affected land and within two hundred (200) feet of all boundaries of such area;
- (c) the existing topography of the area with contour lines of sufficient detail to portray the direction and rate of slope of the affected land;
- (d) the total area to be involved in the operation, including the area to be mined and the area of affected lands (see definition of "Affected Land");
- (e) the type of present vegetation covering the affected lands; and

- (f) in conjunction with Exhibit G - Water Information, Rule 6.4.7, if required by the Office, further water resources information will be presented on a map in this section.
- (g) Show the owner's name, type of structures, and location of all significant, valuable, and permanent man-made structures contained on the area of affected land and within two hundred (200) feet of the affected land.
- (h) In conjunction with Exhibit I - Soils Information, Rule 6.4.9, soils information may be presented on a map in this section.
- (i) Aerial photos, if available, may be included in this section.

112(3)(c)
115(4)(e)

6.4.4 EXHIBIT D - Mining Plan

The mining plan shall supply the following information, correlated with the affected lands, map(s) and timetables:

- (a) description of the method(s) of mining to be employed in each stage of the operation as related to any surface disturbance on affected lands;
- (b) earthmoving;
- (c) all water diversions and impoundments; and
- (d) the size of area(s) to be worked at any one time.
- (e) An approximate timetable to describe the mining operation. The timetable is for the purpose of establishing the relationship between mining and reclamation during the different phases of a mining operation. An Operator/Applicant shall not be required to meet specific dates for initiation, or completion of mining in a phase as may be identified in the timetable. This does not exempt an Operator/Applicant from complying with the performance standards of Rule 3.1. If the operation is intended to be an intermittent operation as defined in Section 34-32.5-103(11)(b), C.R.S., the Applicant should include in this exhibit a statement that conforms to the provisions of Section 34-32.5-103(11)(b), C.R.S. Such timetable should include:
 - (i) an estimate of the periods of time which will be required for the various stages or phases of the operation;
 - (ii) a description of the size and location of each area to be worked during each phase; and
 - (iii) outlining the sequence in which each stage or phase of the operation will be carried out.

(Timetables need not be separate and distinct from the mining plan, but may be incorporated therein.)

- (f) A map (in Exhibit C - Pre-Mining and Mining Plan Maps(s) of Affected Lands, Rule 6.4.3) may be used along with a narrative to present the following information:
 - (i) nature, depth and thickness of the deposit to be mined and the thickness and type of overburden to be removed (may be marked "CONFIDENTIAL," pursuant to Rule 1.3(3)); and
 - (ii) nature of the stratum immediately beneath the material to be mined in sedimentary deposits.
- (g) Identify the primary and secondary commodities to be mined/extracted and describe the intended use; and
- (h) name and describe the intended use of all expected incidental products to be mined/extracted by the proposed operation.
- (i) Specify if explosives will be used in conjunction with the mining (or reclamation). In consultation with the Office, the Applicant must demonstrate pursuant to Rule 6.5(4), Geotechnical Stability Exhibit, that off-site areas will not be adversely affected by blasting.
- (j) Specify the dimensions of any existing or proposed roads that will be used for the mining operation. Describe any improvements necessary on existing roads and the specifications to be used in the construction of new roads. New or improved roads must be included as part of the affected lands and permitted acreage. Affected land shall not include off-site roads which existed prior to the date on which notice was given or permit application was made to the office and which were constructed for purposes unrelated to the proposed mining operation and which will not be substantially upgraded to support the mining operation. Describe any associated drainage and runoff conveyance structures to include sufficient information to evaluate structure sizing.

6.4.5 EXHIBIT E - Reclamation Plan

- (1) In preparing the Reclamation Plan, the Operator/Applicant should be specific in terms of addressing such items as final grading (including drainage), seeding, fertilizing, revegetation (trees, shrubs, etc.), and topsoiling. Operators/Applicants are encouraged to allow flexibility in their plans by committing themselves to ranges of numbers (e.g., 6"-12" of topsoil) rather than specific figures.
- (2) The Reclamation Plan shall include provisions for, or satisfactory explanation of, all general requirements for the type of reclamation proposed to be implemented by the Operator/Applicant. Reclamation shall be required on all the affected land. The Reclamation Plans shall include:
 - (a) A description of the type(s) of reclamation the Operator/Applicant proposes to achieve in the reclamation of the affected land, why each was chosen, the amount of acreage accorded to each, and a general discussion of methods of reclamation as related to the mechanics of earthmoving;

- (b) A comparison of the proposed post-mining land use to other land uses in the vicinity and to adopted state and local land use plans and programs. In those instances where the post-mining land use is for industrial, residential, or commercial purposes and such use is not reasonably assured, a plan for revegetation shall be submitted. Appropriate evidence supporting such reasonable assurance shall be submitted;
- (c) A description of how the Reclamation Plan will be implemented to meet each applicable requirement of Rule 3.1;
- (d) Where applicable, plans for topsoil segregation, preservation, and replacement; for stabilization, compaction, and grading of spoil; and for revegetation. The revegetation plan shall contain a list of the preferred species of grass, legumes, forbs, shrubs or trees to be planted, the method and rates of seeding and planting, the estimated availability of viable seeds in sufficient quantities of the species proposed to be used, and the proposed time of seeding and planting;
- (e) A plan or schedule indicating how and when reclamation will be implemented. Such plan or schedule shall not be tied to any specific date but shall be tied to implementation or completion of different stages of the mining operation as described in Rule 6.4.4(e). The plan or schedule shall include:
 - (i) An estimate of the periods of time which will be required for the various stages or phases of reclamation;
 - (ii) A description of the size and location of each area to be reclaimed during each phase; and
 - (iii) An outline of the sequence in which each stage or phase of reclamation will be carried out.

(The schedule need not be separate and distinct from the Reclamation Plan, but may be incorporated therein.)
- (f) A description of each of the following:
 - (i) Final grading - specify maximum anticipated slope gradient or expected ranges thereof;
 - (ii) Seeding - specify types, mixtures, quantities, and expected time(s) of seeding and planting;
 - (iii) Fertilization - if applicable, specify types, mixtures, quantities and time of application;
 - (iv) Revegetation - specify types of trees, shrubs, etc., quantities, size and location; and

- (v) Topsoiling - specify anticipated minimum depth or range of depths for those areas where topsoil will be replaced.

6.4.6 EXHIBIT F - Reclamation Plan Map

The map(s) of the proposed affected land, by all phases of the total scope of the mining operation, shall indicate the following:

- (a) The expected physical appearance of the area of the affected land, correlated to the proposed mining and reclamation timetables. The map must show proposed topography of the area with contour lines of sufficient detail to portray the direction and rate of slope of all reclaimed lands; and
- (b) Portrayal of the proposed final land use for each portion of the affected lands.

6.4.7 EXHIBIT G - Water Information

- (1) If the operation is not expected to directly affect surface or groundwater systems, a statement and sufficient demonstration of that expectation shall be submitted.
- (2) If the operation is expected to directly affect surface or groundwater systems, the Operator/Applicant shall:
 - (a) Locate on the map (in Exhibit C) tributary water courses, wells, springs, stock water ponds, reservoirs, and ditches on the affected land and on adjacent lands where such structures may be affected by the proposed mining operations;
 - (b) Identify all known aquifers; and
 - (c) Submit a brief statement or plan showing how water from de-watering operations or from runoff from disturbed areas, piled material and operating surfaces will be managed to protect against pollution of either surface or groundwater (and, where applicable, control pollution in a manner that is consistent with water quality discharge permits), both during and after the operation.
- (3) The Operator/Applicant shall provide an estimate of the project water requirements including flow rates and annual volumes for the development, mining and reclamation phases of the project.
- (4) The Operator/Applicant shall indicate the projected amount from each of the sources of water to supply the project water requirements for the mining operation and reclamation.
- (5) The Operator/Applicant shall affirmatively state that the Operator/Applicant has acquired (or has applied for) a National Pollutant Discharge Elimination System (NPDES) permit from the Water Quality Control Division at the Colorado Department of Health and Environment, if necessary.

6.4.8 EXHIBIT H - Wildlife Information

- (1) In developing the wildlife information, the Operator/Applicant may wish to contact the local wildlife conservation officer. The Operator/Applicant shall include in this Exhibit, a description of the game and non-game resources on and in the vicinity of the application area, including:
 - (a) a description of the significant wildlife resources on the affected land;
 - (b) seasonal use of the area;
 - (c) the presence and estimated population of threatened or endangered species from either federal or state lists; and
 - (d) a description of the general effect during and after the proposed operation on the existing wildlife of the area, including but not limited to temporary and permanent loss of food and habitat, interference with migratory routes, and the general effect on the wildlife from increased human activity, including noise.
- (2) The application may be reviewed and commented upon by Colorado Parks and Wildlife (CPW). If CPW has comments, they must be provided prior to the end of the public comment period specified in Rule 1.7.1(2)(a) to be considered by the Board and Office.

6.4.9 EXHIBIT I - Soils Information

- (1) In consultation with the Natural Resources Conservation Service (NRCS) or other qualified person, the Operator/Applicant shall indicate on a map (in Exhibit C) or by a statement, the general type, thickness and distribution of soil over the affected land. Such description will address suitability of topsoil (or other material) for establishment and maintenance of plant growth. If necessary, at its discretion, the Board may require additional information on soils or other growth media to be stockpiled and used in revegetation.

6.4.10 EXHIBIT J - Vegetation Information

- (1) The Operator/Applicant shall include in this Exhibit a narrative of the following items:
 - (a) descriptions of present vegetation types, which include quantitative estimates of cover and height for the principal species in each life-form represented (i.e., trees, tall shrubs, low shrubs, grasses, forbs);
 - (b) the relationship of present vegetation types to soil types, or alternatively, the information may be presented on a map; and
 - (c) estimates of average annual production for hay meadows and croplands, and carrying capacity for range lands on or in the vicinity of the affected land, if the choice of reclamation is for range or agriculture.

- (2) The Operator/Applicant shall show the relation of the types of vegetation to existing topography on a map in Exhibit C. In providing such information, the Operator/Applicant may want to contact the local Conservation District.

6.4.11 EXHIBIT K - Climate

Provide a description of the significant climatological factors for the locality.

6.4.12 EXHIBIT L - Reclamation Costs

- (1) All information necessary to calculate the costs of reclamation must be submitted and broken down into the various major phases of reclamation. The information provided by the Operator/Applicant must be sufficient to calculate the cost of reclamation that would be incurred by the state.
- (2) The Office may request the Operator/Applicant to provide additional, reasonable data to substantiate said Operator/Applicant's estimate of the cost of reclamation for all Affected Lands.

6.4.13 EXHIBIT M - Other Permits and Licenses

A statement identifying which of the following permits, licenses and approvals the Operator/Applicant holds or will be seeking in order to conduct the proposed mining and reclamation operations: effluent discharge permits, air quality emissions permits, radioactive source material licenses, the State Historic Preservation Office clearance, disposal of dredge and fill material (404) permits, permit to construct a dam, well permits, explosives permits, highway access permits, U.S. Forest Service permits, Bureau of Land Management permits, county zoning and land use permits, and city zoning and land use permits.

6.4.14 EXHIBIT N - Source of Legal Right to Enter

Provide documentation of the legal right to enter to conduct mining and reclamation, for Owners of Record described in Rule 1.6.2(1)(e)(i). This may include a copy of a lease, deed, abstract of title, a current tax receipt, or a signed statement by the Landowner and acknowledged by a Notary Public stating that the Operator/Applicant has legal right to enter to conduct mining and reclamation.

6.4.15 EXHIBIT O - Owner(s) of Record of Affected Land (Surface Area) and Owners of Substance to be Mined

The complete list of all owners can be submitted as a list or on a map in Exhibit C.

6.4.16 EXHIBIT P - Municipalities Within Two Miles

A list of any municipality(s) within two (2) miles of the proposed mining operation and address of the general office of each municipality.

6.4.17 EXHIBIT Q - Proof of Mailing of Notices to Board of County Commissioners and Conservation District

Proof that notice, of the permit application was sent to the Board of County Commissioners and, if the mining operation is within the boundaries of a Conservation District, to the Board of Supervisors of the local Conservation District, pursuant to Rule 1.6.2(1)(a)(ii).

6.4.18 EXHIBIT R - Proof of Filing with County Clerk and Recorder

An affidavit or receipt indicating the date on which the application was placed with the local County Clerk and Recorder for public review, pursuant to Rule 1.6.2(1)(c).

115(4)(e)

6.4.19 EXHIBIT S - Permanent Man-made Structures

Where the affected lands are within two hundred (200) feet of any significant, valuable and permanent man-made structure, the applicant shall:

- (a) provide a notarized agreement between the applicant and the person(s) having an interest in the structure, that the applicant is to provide compensation for any damage to the structure; or
- (b) where such an agreement cannot be reached, the applicant shall provide an appropriate engineering evaluation that demonstrates that such structure shall not be damaged by activities occurring at the mining operation; or
- (c) where such structure is a utility, the Applicant may supply a notarized letter, on utility letterhead, from the owner(s) of the utility that the mining and reclamation activities, as proposed, will have "no negative effect" on their utility.

6.5 GEOTECHNICAL STABILITY EXHIBIT

116(4)(i)

- (1) On a site-specific basis, an Applicant shall be required to provide a geotechnical evaluation of all geologic hazards that have the potential to affect any proposed impoundment, slope, embankment, highwall, or waste pile within the affected area. A geologic hazard is one of several types of adverse geologic conditions capable of causing damage or loss of property and life. The Applicant may also be required to provide a geotechnical evaluation of all geologic hazards, within or in the vicinity of the affected lands, which may be de-stabilized or exacerbated by mining or reclamation activities.
- (2) On a site-specific basis, an Applicant shall be required to provide engineering stability analyses for proposed final reclaimed slopes, highwalls, waste piles and embankments. An Applicant may also be required to provide engineering stability analyses for certain slopes configuration as they will occur during operations, including, but not limited to embankments. Information for slope stability analyses may include, but would not be limited to, slope angles and configurations, compaction and density, physical characteristics of earthen materials, pore pressure information, slope height, post-

placement use of site, and information on structures or facilities that could be adversely affected by slope failure.

- (3) Where there is the potential for off-site impacts due to failure of any geologic structure or constructed earthen facility, which may be caused by mining or reclamation activities, the Applicant shall demonstrate through appropriate geotechnical and stability analyses that off-site areas will be protected with appropriate factors of safety incorporated into the analysis. The minimum acceptable safety factors will be subject to approval by the Office, on a case-by-case basis, depending upon the degree of certainty of soil or rock strength determinations utilized in the stability analysis, depending upon the consequences associated with a potential failure, and depending upon the potential for seismic activity at each site.
- (4) At sites where blasting is part of the proposed mining or reclamation plan, the Applicant shall demonstrate through appropriate blasting, vibration, geotechnical, and structural engineering analyses, that off-site areas will not be adversely affected by blasting.

RULE 7: **FOR THE PURPOSES OF THIS ACT, THIS RULE HAS BEEN DELETED IN ITS
ENTIRETY**

RULE 8: **EMERGENCY NOTIFICATION BY OPERATORS, AND EMERGENCY RESPONSE
AUTHORITY OF THE OFFICE**

8.1 SITUATIONS THAT REQUIRE EMERGENCY NOTIFICATION BY THE OPERATOR

Operators shall notify the Office, as soon as reasonably practicable, but no later than twenty-four (24) hours, after the Operator has knowledge of a failure or imminent failure of any impoundment, embankment, stockpile or slope that poses a reasonable potential for danger to persons or property

**8.2 OPERATOR'S GENERAL NOTIFICATION RESPONSIBILITIES FOR REPORTING
EMERGENCY CONDITIONS**

8.2.1 Emergency Reporting Procedure

Telephone notice shall be given to the Office staff as follows:

- (a) during regular business hours (8:00 am to 5:00 pm, on working days), the notice shall be given to the Office.
- (b) outside regular business hours, or if the Office cannot be contacted, notice shall be given to the Colorado Department of Public Health and Environment 24 hour Colorado Emergency and Incident Reporting Line. Specify to this agency, that the emergency authority is coordinated through the Division of Reclamation, Mining and Safety, and to activate that Division's response network.

8.2.2 Emergency Notification Information Required

Notice required pursuant to this Rule 8 shall contain the following information (to the extent known at the time of the notice, and so long as no delay occurs in reporting results):

- (a) that this is notification of an emergency condition as required by Rule 8;
- (b) the nature of the condition;
- (c) the time and duration of the occurrence and if it is on-going, or urgency of the pending situation;
- (d) any known or anticipated impacts to persons or property;
- (e) precautions and corrective actions taken by the Operator; and
- (f) the Operator's name(s) and contact number(s) for persons to be contacted for further information and response by the Office.

8.2.3 Follow-up Notice Requirements

As soon as practicable after an emergency situation or condition is reported and addressed, the Operator shall provide a written report of the event to the Office. The report shall provide a description of:

- (a) actions taken to respond to and correct the emergency situation or condition;
- (b) any known or anticipated adverse impacts to persons or property;
- (c) name(s), address(s), telephone numbers and e-mail address of the Operator's contact person for additional information and follow-up by the Office;
- (d) monitoring and analyses that are necessary to evaluate the situation and corrective actions, copies of all pertinent data; and
- (e) results of the Operator's investigation to assess the conditions or circumstances that created the emergency situation, and what corrective or protective measures will be taken to prevent a similar event from occurring in the future.

8.3 THIS RULE DELETED, RESERVED FOR FUTURE USE

8.4 EMERGENCY RESPONSE AUTHORITY OF THE OFFICE

8.4.1 Responsibilities of the Office

The Office may:

- (a) establish an Emergency Response Team, which may include other Offices and Agencies;
- (b) enter properties to take necessary emergency, safeguarding and corrective measures;
- (c) after consultation with, and authorization from the Office, issue a written cease and desist order for the activity(ies) suspected of causing the emergency situation;
- (d) apply to a district court for a temporary restraining order, temporary injunction, or permanent injunction to require cessation of the activity(ies) determined to be causing the emergency situation.
- (e) The Financial Warranty funds shall be available for the state to operate any facilities as may be necessary to terminate an emergency as defined by these Rules.

8.4.2 Office's Determination that an Emergency Exists

The Office may exercise its emergency authority to respond to situations at construction material extraction operations. The determination may be based upon the following:

- (a) the Operator, or another person fails or refuses to stop engaging in any activity not permitted by, or which constitutes a possible violation of the Act, the Rules or permit

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conditions, and which is presenting an unwarranted risk of serious harm to person or property;

- (b) the Operator or another person, fails or refuses to take corrective actions necessary to contain, control, safeguard, or manage an emergency situation;
- (c) an Operator fails or refuses to respond to a Board Order requiring corrective actions for:
 - (i) any failure or imminent failure of any impoundment, embankment, stockpile, or slope identified in the permit;
 - (ii) any specific Permit condition which is intended to protect persons or property.

8.5 THIS RULE DELETED, RESERVED FOR FUTURE USE

8.6 FOLLOW-UP MONITORING AND REPORTING REQUIREMENTS

The Board or Office may require that a post-emergency situation inspection or monitoring program be performed to evaluate any possible adverse impacts, and to insure that the corrective actions taken are sufficient to address the circumstances creating the initial emergency situation.

RULE 9: **CHANGE OF NAME – LEGAL EFFECT**

Any statute enacted prior to or on August 9, 2006 changing the name of the Division of Minerals and Geology to the Division of Reclamation, Mining and Safety, shall not impair the legal status or effect of any and all permits, permit obligations, financial warranties, performance warranties, contracts, property rights and/or any other obligations or legal relationships that were entered into between any entity or individual and the Division of Minerals and Geology prior to the name change. All such obligations will remain legally binding and shall not be impaired by any such name change. Any statute enacted after August 9, 2006 changing the name of the Division of Reclamation, Mining and Safety to any other name, shall not impair the legal status or effect of any and all permits, permit obligations, financial warranties, performance warranties, contracts, property rights and/or any other obligations or legal relationships that were entered into between an entity or individual and the Division of Reclamation, Mining and Safety prior to such name change. All such obligations will remain legally binding and shall not be impaired by any such name change.